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**BEFORE THE
FEDERAL MARITIME COMMISSION**

WASHINGTON, D.C.

PETITION No.: PZ-02

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FEDERAL MARITIME COMM

**PETITION OF THE ASSOCIATION OF BI-STATE MOTOR CARRIERS, INC. TO INVESTIGATE
TRUCK DETENTION PRACTICES OF THE NEW YORK TERMINAL CONFERENCE
AT THE NEW YORK/NEW JERSEY PORT DISTRICT**

ACTION REQUESTED

The Association of Bi-State Motor Carriers, Inc ("Bi-State") respectfully submits this Petition, pursuant to 46 C.F.R. § 502.69, requesting the Federal Maritime Commission ("FMC" or "Commission") to initiate an investigation for the reasons stated below under Section 1 l(c) of the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 ("OSRA"), 46 U.S.C. app. § 1710(c) (the "Act" or the "Shipping Act") concerning activities in the New York/New Jersey Port District (the "Port")

INTRODUCTION

The Bi-State submits that the practices and tariff regulations of the Marine Terminal Operator ("MTO")² members of the New York Terminal Conference ("NYTC")³ regarding Truck Detention constitute unjust and unreasonable practices and regulations in violation of Section 10(d)(1) of the Act, 46 U.S.C. app. § 1709(d)(1). The NYTC is comprised of MTOs

¹ The Bi-State members comprise several former members of the Bi-State Harbor Carriers Conference of the New Jersey Motor Truck Association. Any reference to "the Bi-State" is meant exclusively to encompass the Petitioner herein.

² The Shipping Act of 1984 defines Marine Terminal Operator as "a person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in chapter 11 of chapter 135 of title 49, United States Code." 46 U.S.C. app § 1702(14).

³ Participating Marine Terminal Operators of the NYTC are: American Stevedoring, Inc ("ASI"), Port Newark Container Terminal ("PNCT"), and Universal Maritime Service Corp ("UMS")

which collectively set rates, charges and practices pursuant to the provisions of the Act providing antitrust immunity to MTOs which submit such agreements to the FMC for approval. The NYTC publishes and files for its members a Terminal Tariff, Marine Terminal Schedule No. 011408, which appears to have been last revised April 29, 2002 (the "Tariff"). See relevant provisions attached hereto as Exhibit A. The Tariff publishes the rates, charges, rules, regulations, and practices that apply to the loading and unloading of cargo at the Port, and the attendant interchange of containers and chassis in the foreign commerce of the United States. Both in the application of several Tariff provisions and by certain other practices, the NYTC members routinely violate the Shipping Act. The Bi-State summarizes below the key practices and regulations in violation of Section 10(d)(1) of the Shipping Act of 1984, as amended, 46 U.S.C. app. § 1709(d)(1).

Among several violations at issue, the following constitute the most egregious unreasonable practices:

- Port congestion at the Port and the terminal's manipulation of entry to the terminal gate or "point of processing" results in excessive waiting time for trucks idling in the queue outside the terminal gate.
- Terminals do not compensate truckers for the excessive queue waiting time outside the terminal gate, nor is this time combined with the waiting time inside the terminal in calculating Truck Detention Penalties
- Port congestion caused by the NYTC terminals results in excessive waiting time for truckers within the marine terminal.
- Within the terminal, several Tariff provisions protect the NYTC terminals from having to pay Truck Detention Penalties to truckers by requiring the passage of excessive free time before the penalties begin to accrue.

- Terminals require trucks at the Port to use off-site chassis depots or other off-site facilities, spending time that is excluded from the calculation of Truck Detention Penalties, even though the trucker must access such off-site facilities due to the terminal's failure to provide a road-ready chassis or container inside the terminal.
- Following a dispute and arbitration concerning the payment of Truck Detention Penalties between some NYTC members and trucker members of the Bi-State, the NYTC members collectively retaliated by modifying the Tariff to effectively remove the provision subject of the dispute, thereby preventing reasonable Truck Detention Penalties from being paid to the truckers

As a result, the members of the Bi-State are left holding the bag for the excessive cost of doing business at the Port, both in terms of lost time and financial losses. The excessive delay caused to trucks awaiting access to containers and equipment at the Port causes inordinate delay in the delivery of cargo flowing through the Port. Some of the attendant costs are inevitably passed on to the importing or exporting community, while trucking companies servicing the Port are forced to absorb these costs. These burdens and costs are a direct result of the unjust and unreasonable practices and regulations of the NYTC members at the Port as described in further detail below.

I. INTEREST OF THE PETITIONERS

The Bi-State is comprised of approximately 40 members, at least 33 of which are trucking companies⁴ servicing the Port. The Port handles approximately 34% of the U.S. volume of trade for a 10-state, 260-mile radius area. Trucking companies perform hundreds of daily pick-ups and deliveries, and a majority of these services are provided by the members of the Bi-State. See Exhibit B, Affidavit of Mr. Dick Jones ("Jones Affidavit") at ¶ 2. The members of

⁴ See Exhibit B at Attachment A for Bi-State Member List.

the Bi-State are mostly small to medium-sized independent motor carriers. These truckers provide the local drayage to and from the immediate commercial zone and the immediate areas of the Port on the one hand, and the MTOs contained within the Port, on the other. These companies operate, to a large extent, through independent owner-operators. However, some of the Bi-State members employ drivers directly.

It is the members of the Bi-State, their drivers, and their customers (the importers and exporters that utilize the Port), which are most affected by the unreasonable and unjust practices of the NYTC and its members. Truckers and their drivers are seriously impacted financially because the excessive waiting time often results in a single transaction for the day. Oftentimes, such costs are prohibitive and cannot be absorbed by small trucking operations or independent owner-operators. Importers and exporters are impacted because, in the environment created by the terminals, truckers cannot offer competitive pricing for drayage. As a result of the unreasonable practices and regulations of the NYTC members, importers and exporters experience inordinate delays in receiving and delivering containers and other equipment. In short, the public interest is adversely affected by these practices and regulations by all the ill social effects of port congestion

II. BACKGROUND OF PORT CONGESTION PROBLEM

Port congestion remains an unresolved problem that affects truckers, importers and exporters, and the efficiency of the Port See Exhibit C, Various Industry Publication Articles Concerning Congestion and Truck Detention at the Port; see also, Jones Affidavit at ¶ 3. Despite many efforts to attempt self-regulation by the NYTC members to resolve these problems, the port congestion issues remain at the Port See Jones Affidavit at ¶¶ 4-6 Notwithstanding that truckers spend many hours waiting to accomplish the equipment and cargo interchanges, truckers

are rarely compensated for these extraordinary delays in view of the unreasonable and unjust regulations in place at the NYTC terminals See Jones Affidavit at ¶ 17; see also, Exhibit D, Affidavit of Bi-State Members (“Members Affidavit”) at ¶ 2-3. The Truck Detention regulations of the NYTC are clearly not intended to fairly compensate truckers or to mitigate port congestion. Therefore, Truck Detention Penalty Tariff provisions, as they are currently implemented, do not give any incentives for MTOs to provide efficient cargo and equipment flow. In fact, the practices of the NYTC participating members with regard to Truck Detention constitute patently unjust and unreasonable practices and regulations.

Due to port congestion, individual drivers generally are not able to complete more than one transaction daily at the terminals of the MTOs that are members of the NYTC. See Members Affidavit at ¶ 18. Recently, due to the routine nature of the long queues which develop at the Port, in particular at the PNCT, The Port Authority of NY & NJ, issued notices as a safety alert “to all truckers” indicating special traffic patterns to be observed by the truckers. See Exhibit E. Along the same lines, the PNCT issued a notice to truckers acknowledging the safety traffic issues and congestion which arises at their terminal. See Exhibit F. Further, the Bi-State members estimate that at the PNCT during the last year, and longer, they estimate that for seven (7) out of every ten (10) trucking transactions for either delivery or receipt of containers, chassis equipment, or other cargo handling, their truckers must wait in the queue outside the terminal gate before reaching the processing gate. See Members Affidavit at ¶ 4. It has been their experience that the queue wait outside the processing gate is generally a minimum of thirty (30) minutes to as many as five (5) hours. Id. at ¶ 4. Similarly, the Bi-State members estimate that at the AS1 terminal during the last year, and longer, five (5) out of every ten (10) of the same trucking transactions result in a queue wait outside the ASI processing gate of generally a

minimum of thirty (30) minutes up to two (2) hours. Id. at ¶ 6. Finally, the Bi-State members estimate that at the UMS terminal during the last year, and longer, five (5) out of every ten (10) of the same trucking transactions result in a queue wait outside the UMS processing gate of generally a minimum of thirty (30) minutes up to three (3) hours. Id. at ¶ 5. Therefore, the wait is quite substantial at the NYTC ports to simply get into the terminal.

These issues are of great concern to the general shipping public, i.e., importers and exporters. The importing and exporting public loses valuable days in delivering or receiving cargo. It is clear that trucking costs would be positively impacted if drivers could provide two or three port moves per day, instead of the one move that unfortunately, has become the standard at the NYTC terminals. See Id. at ¶ 15. Members also report that the effect of the congestion, whereby truckers are often limited to one practicable move per day, has made hiring truckers to service the port much more difficult. This is all the more important because federal law prohibits a trucker from driving longer than ten (10) hours per day without taking an 8-hour rest, which includes time idling in the queue because a driver is behind the wheel of a truck. Id. at ¶ 16. Additionally, a driver cannot work longer than fifteen (15) hours total per day (including no more than ten (10) hours behind the wheel and a maximum of five (5) additional hours of “on-duty” time necessary to complete moves. Id. Finally, truckers cannot cumulatively work longer than sixty (60) hours per seven-day period. Id. Consequently, truckers that must wait in the queue without Truck Detention compensation, and are prevented from completing more than one practicable move per day, are impacted because the terminals effectively consume most, if not all, of a trucker’s legally allowable “on-duty” time. Id. Conversely, making additional moves per day would make servicing the Port profitable for truckers and lessen the cost-prohibitive nature of doing business at the Port as a trucker. Id.

Providing more than just one or two moves per day would greatly benefit truckers. Id. It is in the interest of the Bi-State's members to not only control operating expenses and costs associated with the delivery and pick-up of international ocean cargo and equipment, but also to ensure the efficient flow of cargo to and from the Port to lessen environmental impact and costs to the importing and exporting communities

It is a rule of thumb that a truck / man hour costs the trucking companies approximately \$50 an hour. See Jones Affidavit at ¶ 19; see also, Members Affidavit at ¶ 16. This means that on a local move where truckers charge approximately \$200 to \$225, the red ink is already running after only four hours spent at the terminal See Id. This is a serious problem because a longer wait is the rule rather than the exception at the NYTC terminals. See Id. at ¶¶ 11, 17, 21-22. Therefore, as manifested by very long waiting lines for motor carriers, the inefficient operations at the Port results in congestion

The extensive truck lines are formed into a queue outside the terminal gates See Id. at ¶¶ 20, 22-23, and Attachment "C" to Jones Affidavit (showing several captioned photographs taken at the Port depicting extensive waiting lines for truckers and the locations concerned); see also, Members Affidavit at ¶ 7. In fact, port congestion is so prevalent that the Port Authority of New York & New Jersey has recently converted the shoulder area of the road leading to the PNCT terminal gates, by paving it, to accommodate the long lines of idling trucks that form See Members Affidavit at ¶ 8. At times, there are also special traffic alerts issued to deal with the long lines that develop on public streets surrounding the Port. Id. at ¶ 9. As the sample Terminal Operations Reports attached to the Jones Affidavit as Attachment "B" demonstrate, the waiting time is excessive at these terminals. In particular, these sample PNCT Terminal Operations Reports show that it is not uncommon for truckers to wait in line outside the terminal in very

long queues before reaching the terminal “point of processing” The above reports only highlight a “snapshot” of the congestion problem, which represents how many trucks are waiting to enter the terminal gates at a particular time in the morning and the afternoon for loading or unloading cargo or returning or picking-up chassis or other equipment.

Generally, only **after** long waits, will the terminals issue a gate pass to begin computing Truck Detention Penalties. The Bi-State members are generally not compensated with Truck Detention Penalties for their wait of several hours in the queue, a wait that occurs even before arriving at the “point of processing” for issuance of a gate pass See Id. at ¶¶ 12-13. *t i o n* , because the delays are excessive, they are detrimental to the timely and safe delivery of cargo and containers in the export and import commerce which moves through the Port See Id. at ¶¶ 21-22.

In summary, by applying the current NYTC Tariff rules, for example, even if there are no ‘roadability’ issues, and equipment is available, a trucker might still have to wait in a queue outside the terminal for one and one-half hours (1%) to three (3) hours. The trucker would then possibly wait another three and one-half hours (3%) on a double move inside the terminal. See Jones Affidavit at ¶ 11. On top of this, the trucker must wait an additional twenty-nine (29) minutes before detention charges can be claimed by the trucker. In other words, the trucker on a double move would have to wait between five hours and thirty minutes to seven hours, before truckers would be eligible to charge for detention. The range would depend on how long the trucker waited idling outside the terminal. In other words, the NYTC has reduced Truck Detention provisions in its Tariff to a dead letter. In effect, the NYTC has unilaterally

⁵“**Roadability**” is the term utilized at the Port to **indicate** that either a chassis or container or both are not road worthy, and need repair before exiting the terminal. It indicates that equipment such as containers and chassis require adjustments, repairs, modifications, or **annual** FHWA inspections before meeting highway safety standards,

“contracted” its members out of any liability on Truck Detention in its Tariff. This excessive “free time” structure before Truck Detention charges start to accrue is an unjust and unreasonable regulation and practice in violation of the Shipping Act.

III. SUMMARY OF UNJUST PRACTICES AND REGULATIONS

A. *Terminals Unreasonably and Unjustly Calculate Truck Detention Penalties Under the Tariff*

The Commission has previously concluded that unreasonable tariff provisions and practices as to Truck Detention cause delays and contribute to the severity of port congestion. See Truck and Lighter Loading; and Unloading Practices at New York Harbor, FMC Docket No. 1153, Initial Decision of A.L. Jordan, Examiner (“Initial Decision”), 6 S.R.R. 138 (1965), aff’d 7 S.R.R. 199 (1966). Likewise, the unreasonable rules and practices of the NYTC members also frustrate an objective of the Shipping Act, which is to ensure the efficient flow of foreign commerce through the nation’s ports by regulating maritime entities for the benefit of the shipping public. Further, in light of today’s increased national security concerns, taking steps to reduce port congestion is tantamount to enhancing security measures at the Port.⁶

The Bi-State submits that the Tariffs current provisions pertaining to Truck Detention Penalty calculations fail to account for the waiting time of truckers from the moment a truck enters the queue outside the terminal gate to the time when the trucker finally reaches the terminal’s “point of processing.” Currently, the terminals only give a gate pass at the point of processing, which begins the recordation of time for Truck Detention Penalty calculations against the NYTC members. This “queue wait” has been the status quo at the Port for all cargo

and therefore, would not be allowed out the terminal until those items are addressed by the trucker or the terminal maintenance facility.

⁶ Federal legislation relating to Port Security will ultimately look to reduce port congestion as a security factor. See generally, Maritime Transportation Security Act of 2002 (S.1214), passed by Congress on November 14, 2002.

loading and unloading, and for the pick-up and delivery of containers and chassis. The failure of the Tariff to compensate truckers for the queue wait before reaching the point of processing does not address the many hours **often** spent by truckers in queues on public streets before reaching the point of processing to receive a gate pass.

This failure to “start the clock” for purposes of calculating Truck Detention Penalties when truckers first arrive at the terminal facilities and line up in the queue awaiting entry to the terminal gate constitutes an unjust and unreasonable practice by the NYTC and its members, as defined in the Shipping Act. Additionally, the current Tariff provides that Truck Detention penalties only apply after the truck has moved past the point of processing in the terminal and spent at least the following “free time” inside the terminal. one-hundred and seventy-nine (179) minutes for a single transaction, and two-hundred thirty-nine minutes (239) for a double transaction. Moreover, for purposes of calculating Truck Detention Penalties, the Tariff excludes the time wasted by a trucker when ocean carrier equipment is not available at the terminal (e.g., chassis, containers, etc.).

Therefore, the Bi-State submits that, for purposes of calculating Truck Detention Penalties, the following Tariff regulations and NYTC practices constitute unjust and unreasonable regulations and practices by the NYTC and its members. (1) the Tariffs omission of a provision to include the queue waiting time outside the terminal is an unjust and unreasonable practice, (2) the Tariff provisions and the practices providing for excessive free time inside the terminal before Truck Detention may be charged; and (3) the Tariff provisions and the practices providing an exclusion for the calculation of Truck Detention penalties of a trucker’s waiting time caused by the unavailability of containership line equipment.

*(1) The NYTC Tariff unreasonably and unjustly omits a **provision** to include time spent by truckers outside the terminal's **point of processing** in the calculation of Truck Detention Penalties.*

The Tariff unreasonably and unjustly provides that Truck Detention Penalties will begin to accrue at “the point of processing” rather than at the truck’s “arrival at the terminal.” See Exhibit A, NYTC Tariff, Amended April 29, 2002 § II, ¶ 14(B)⁷ (Computation of Free Time) (stating that “Computation of free time will be based upon the truck’s arrival *at the first point of processing on the terminal*” (emphasis added)). Previously, the Tariff permitted Truck Detention Penalties to begin accruing once the trucker “arrived at the terminal.” See Exhibit G, Former Tariff, Effective October 2, 1998, § II, ¶ 15(2) (Computation of Free Time). Former Section 15, relating to delays at the container terminal, stated that “[c]omputation of time will be based upon the truckers arrival at the terminal, as recorded by an automatic reader, or if the truck is not so equipped, at the first point of processing” (emphasis added). It appears that the former version of the Tariff only required Truck Detention to accrue at the first point of processing *if* a truck did not have an “automatic reader.” Otherwise, Truck Detention would commence to accrue upon arrival at the queue awaiting entry to the terminal gate. NYTC members changed this provision to conform the rule to NYTC’s current unjust and unreasonable practice of only computing time at the “point of processing ”

*(2) The NYTC Tariff unreasonably and unjustly provides for excessive **and self-serving free time** within the terminal for the calculation of Truck Detention Penalties, and provides egregious exclusions to the **application of** the penalties.*

The Tariffs “free time” provisions serve only to exacerbate the truck detention situation. For example, even after the excessive delays encountered by trucker’s before reaching the point of processing, the NYTC Tariff will only allow detention compensation to truckers after

⁷ The Tariff was recently amended on October 1, 2002, but these amendments did not alter the provisions **subject** of this Petition.

recording 150 minutes (single container moves) or 210 minutes (double moves)⁸ of “free time” after a trucker passes the point of processing. However, even after initially setting excessively long free time provisions, the NYTC egregiously, unjustly, and without reason, adds an additional period of twenty nine (29) minutes before any detention charges can be assessed See Tariff, Exhibit A, § II, ¶ 14(D); see also, Members Affidavit at ¶¶ 11-13. These time periods of 150 minutes and 210 minutes of free time prior to November 15, 2001 applied only when there were “roadability” issues with containership line equipment such as a chassis or container, otherwise the time periods were 90 minutes and 150 minutes respectively, a whole hour less than the free time applicable to moves with roadability issues See Former Tariff at § II, ¶ 15(1). Today, the excessive free time provisions of 150 and 210 minutes apply to all transactions, whether or not roadability issues truly exist

The Bi-State submits that it is the obligation of the MTO and its principals, the vessel operators, to provide road-ready equipment when the truckers are provided notice that the cargo is ready for pick-up, notification which is provided by the MTO. Additionally, adding insult to injury, the MTOs do not pay Truck Detention Penalties to the truckers for the time expended while waiting for the MTO to repair faulty equipment. Similarly, the NYTC Tariff contains an exclusion at Section II, Paragraph 14(C) for Truck Detention Penalties when the trucker arrives at the terminal and the particular vessel operator does not have equipment available – i.e., generally, a particular carrier’s chassis might not be available. Since the MTO acts as agent for the vessel operator in providing delivery and receiving services, it is incomprehensible, and certainly unreasonable and unjust, that this gross inefficiency is placed at the door step of the trucker. These are patently unreasonable and unjust regulations and practices.

⁸ See Exhibit A, Tariff, § II, ¶ 14, Delays at Container Terminal (stating schedules and conditions which apply to the subject matter of this proceeding)

*(3) The NYTC members **unreasonably** and **unjustly** require that truckers use off-site facilities for chassis or container return **and/or** pickup, which often results in additional uncompensated truck detention time for the trucker.*

The Bi-State **further** submits that the NYTC members, and in particular PNCT, utilize off-site facilities, and require truckers to act on their behalf, without compensation, as yard switchers, yard “jockeys”, and between-site **draymen**; activities which are traditionally performed by terminal labor hired to reposition equipment. In addition to its main terminal site at Port Newark, PNCT maintains two additional off-site facilities where empties and chassis are positioned. As a result of this, truckers who perform double moves are **often** required to form in a queue twice to enter the off-site facility and then the terminal gate. Yet again, none of the double queue wait time is captured for purposes of Truck Detention.

Further, while picking-up or delivering a chassis and/or empty container at the off-site locations, the terminal does not capture the wait time for purposes of calculating Truck Detention Penalties even while the trucker is in the off-site facility. For instance, a trucker could be delivering a load at PNCT’s main terminal, and then have to go to one of the off-site locations to pick-up a chassis and an empty container. During these transactions, the only time captured for purposes of Truck Detention Penalties is the time spent inside the main terminal dropping off the loaded container already on its chassis. However, the terminal is unaccountable for the time a trucker spent traveling to the off-site facility to pick up the new chassis and empty container. The Bi-State submits that these practices constitute unjust and unreasonable practices by the NYTC and its members, as defined in the Shipping Act.

The Bi-State submits that the following constitute unjust and unreasonable Tariff provisions and practices of the NYTC members. (1) the omission of a reasonable Tariff provision that allows time calculations to commence for the purposes of Truck Detention

penalties, upon a truck's entry into the queue, even if that queue commences on a public street outside the terminal gate or point of processing; (2) improper tariff provisions, such as the exclusion of Truck Detention charges when the vessel operator does not have road-ready equipment available; and (3) the omission of a provision to capture the time spent by truckers accessing off-site facilities in the calculation of Truck Detention Penalties

B. Retaliatory Behavior of Terminals Manifested by Manipulation of Free Time for Moves with Roadability Issues

As stated above, prior to November 15, 2001, the Tariff provided additional free time to the terminal when there were roadability issues with ocean carrier equipment See Exhibit G, and Exhibit H (Former Tariff, Effective November 15, 2001, § II, ¶ 14(A), which made the changes subject of this section)). In effect, whenever ocean carrier equipment was not road-ready, for whatever reason, the terminal gave itself additional free time to correct the problem, while the trucker waited a longer period of uncompensated time. In fact, for a period prior to November 15, 2001, the NYTC interpreted all "moves" as "requiring roadability" on the basis that the issuance of a Trailer Interchange Receipt ("TIR") somehow constituted a roadability issue, triggering the "roadability" provision, which existed at the time, allowing extra free time to the terminal. To allow itself additional free time of sixty minutes without compensating a trucker, the NYTC terminals treated all moves as requiring "roadability", and did not allow Truck Detention for any moves, except after the expiration of one hundred and fifty (150) minutes for single moves and two hundred and ten (210) minutes for double moves. The result was an automatic extension of free time for the NYTC terminals of sixty (60) minutes for all moves since practically all moves require the issuance of a TIR.

Several truckers, most of which are members of the Bi-State or its predecessor Association, commenced arbitration proceedings against members of the NYTC on the basis that

the issuance of a **TIR** did not automatically trigger “roadability” procedures, and that, therefore, the lesser free times (90 minutes and 150 minutes respectively) should apply. In fact, an arbitration claim against UMS was settled. The settlement appeared to ensure that prospectively Bi-State members would be compensated for an additional hour of Truck Detention time for moves that had no real roadability issues and only required a TIR. However, as explained below, the NYTC terminals manipulated their Tariff to prevent just such a result.

The NYTC, in retaliation for this settlement, revised its Tariff shortly after the **above-**referenced arbitration on November 15, 2001, defining “free time” for single and double moves with an increase of sixty (60) minutes, without regard to “roadability” or the issuance of a **TIR**. It no longer made a difference whether the move had roadability problems; all moves would be treated as if they did. In other words, the NYTC unilaterally, unjustly and unreasonably changed its Tariff to allow itself the higher free time period against truckers. Even without any profound analysis, it is clear that the NYTC, a terminal conference acting pursuant to antitrust exemptions under the Act, was collectively retaliating for the aforementioned arbitration settlement, rendering prospective claims for Truck Detention penalties less costly to the terminals by up to 60 minutes per move.

Consequently, the **Bi-State** submits that the following constitute additional unjust and unreasonable practices by the NYTC and its members, as defined in the Shipping Act: (1) Tariff provisions and practices applying “roadability” as a factor for purposes of calculating **free** time, as existed prior to November 15, 2001 and which resulted in an additional hour of free time to the terminals; and (2) the Tariff provisions and practices that resulted in the retaliatory action collectively taken by the NYTC members after the aforementioned arbitration settlement, which

extended "free time" in the Tariff by sixty (60) minutes for all moves, regardless of whether there were roadability issues with the moves.

IV. THE BI-STATE'S RATIONALE FOR BRINGING THIS PETITION

In light of the above, the Bi-State submits that the MTO members of the NYTC violate Section 10(d)(1) of the Shipping Act of 1984, which provides that "[n]o . . . marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property." 46 U.S.C. app. §1709(d)(1). It is the view of the Bi-State that the NYTC will not be commercially persuaded to take corrective action to establish just and reasonable regulations and practices unless the Commission commences an investigation which results in enforcement of the Shipping Act to require the NYTC to take such corrective steps

The Bi-State does not bring this Petition lightly. It is only **after** years of repeated failed attempts by the Bi-State membership to persuade the NYTC to establish just and reasonable regulations and practices, that the Bi-State now resorts to the Commission's jurisdiction on this important matter.⁹ In fact, the NYTC continues to exacerbate the problem by revising Truck Detention rules to further "stack the deck" against the truckers, and ultimately, the shipping community. We note again that as recently as November 15, 2001, the NYTC amended the Truck Detention rules to increase "free time" from ninety (90) minutes for a single move to one hundred fifty (150) minutes; for a double move, free time increased from one hundred **fifty** (150) minutes to two hundred ten (210) minutes; and in all instances, an additional twenty-nine (29)

⁹ It should be noted that the Bi-State membership, and other industry groups, **including** the Port Authority of New York and New Jersey, have over extended periods met with terminal operators over port congestion issues, including truck detention matters, and have met with some success in these joint industry efforts. These successes are especially notable at **Maher** Terminals, Inc., Jersey City, N.J., and at **Howland** Hook **Container** Terminal, Inc., Staten Island, N Y Neither of these MTOs are members of the NYTC. It is after repeated frustration with prolonged failures with the NYTC in the resolution of some of these issues that brings the Bi-State to the Commission.

minute wait period is applied. Also as previously noted, the NYTC modified its initial Truck Detention Penalty trigger from calculation at “arrival to the terminal” to the “point of processing.” The actions of the NYTC are regressive, and do nothing to serve the public interest.

As such, the Bi-State requests that the Commission intervene and investigate the terminal regulations and practices of the NYTC, which cause long delays at the Port, to determine whether these practices and delays in the handling and interchange of cargo and equipment between ocean and motor carriers, and in effect the shipping public, violate Section 10(d)(1) of the Shipping Act of 1984.

V. HISTORY OF TRUCK DETENTION ISSUES AT THE COMMISSION

Efficient terminal operations are essential to eliminate port congestion and ensure the timely movement of break-bulk and containerized cargo. The Port is undoubtedly one of the busiest ports in the nation and as such, congestion has always been a problem. During the 1960's, in an effort to ameliorate congestion at the Port associated with the interchange of cargo and equipment between ocean and motor carriers, the Commission promulgated rules to govern the practices of the Port regarding Truck Detention, which were in place through the early 1990's.¹⁰ These Truck Detention Rules (the “Rules”) attempted to reduce congestion at the Port by mandating that an MTO pay Truck Detention Penalties to motor carriers for excessive waiting time to deliver or pick-up cargo or containers. This created incentives for MTOs in the Port to increase the **efficiency** of their operations and help alleviate the congestion created by the previously unregulated practices of the MTOs

At the time the Rules were implemented, they proved partially effective in reducing congestion in and around the Port. However, these Rules on their face, can only partially address the Truck Detention problems currently existing in the Port. For instance, the Rules did not take

into consideration the considerable technological advancements of the last decade, which could markedly increase efficiency at the Port and that could also accurately account for truckers as they are queued in line to await entry to the terminal and/or the Port. However, the history of the enactment of the Truck Detention Rules is important and instructive because it highlights several of the Commission's findings and conclusions, which are applicable even today,

Historically, the Commission has clearly established that port congestion is against public policy; that port congestion decreases the efficiency of terminals; that port congestion increases costs to importers, exporters, and truckers; and that the MTOs require incentives to create efficiency, such as reasonable and just Truck Detention regulations, to ease the congestion caused by the MTOs. These policy conclusions are already part of the Commission's legal precedence, and it is hereby requested that the FMC revisit the standards developed to address these important policy conclusions.

By the 1960's, port congestion at the Port had become a serious problem that resulted in an investigation by the Commission See Initial Decision, 6 S.R.R 138 (1965), aff'd 7 S.R.R. 199 (1966). The Commission's findings, among others, were summarized and recognized on appeal as follows:

1. "For many years congestion at the New York Harbor terminals has been a major problem to those charged with the duty of protecting the public interest in the efficient flow of commerce[;]"
2. "TRUCKMEN HAVE A RIGHT TO EXPECT HANDLING as expeditiously as possible, and they have a right to get better handling than they have had in many specific cases[;]" (Emphasis in original).
3. The Terminals cause delay because of insufficient labor and equipment,
4. The Terminals are affected with a public interest, furnishing the types of services contemplated by the statute;

¹⁰ See Exhibit I, Truck Detention at the Port of New York (formerly codified at 46 C.F.R. pt 530 (1992)).

5. Detention payments operate as a deterrent against inefficient use of equipment due to unreasonable detention, decreases freight handling costs, facilitates the flow of commerce, and therefore benefits the general public.

See American Export-Isbrandtsen Lines, Inc. v. Federal Maritime Commission, 444 F.2d 824, 834-35 (1970) ("American Export-Isbrandtsen II") (citations omitted). The Bi-State believes the foregoing findings are instructive as to the public policy reasons for requiring that the MTO members of the NYTC relieve congestion through the implementation of reasonable terminal practices, and in particular, reasonable and just Tariff provisions with regard to Truck Detention.

It is also clear that the onus is on the MTO to increase its efficiency. In fact, one court stated that:

These Terminals stand athwart the path of trade. A substantial part of all ocean-going export and import cargo that flows through the Port of New York passes over their piers. Efficiency of manpower, ships and vehicles is dependent upon the prompt handling of such cargo and determines whether the flow of interstate and foreign commerce is obstructed or facilitated. The public interest in their efficient operation is unquestioned.

American Export-Isbrandtsen II, 444 F.2d at 828. (emphasis added) The Bi-State believes, therefore, that the Commission should investigate and find that the *current practices* of the NYTC are patently unreasonable, and order the NYTC to modify the provisions of its Tariff concerning Truck Detention. It is imperative that the NYTC regulations better serve the interests of the general public and adequately compensate truckers for the total time they are in the queue, or in the more desirable alternative, the MTOs should improve their operations so that penalties are not necessary. At the end of the day, truckers and truck drivers want to move several boxes a day, not collect penalty money.

Even under the Shipping Act of 1916, Congress expressly granted the Commission the authority to "promulgate and enforce just and reasonable regulations and practices related to or

connected with the receiving, handling, storing, or delivering of property at harbor terminal facilities.” See American Export-Isbrandtsen II, 444 F.2d at 829 (citing Section 17 of the Shipping Act of 1916. At the time of the American Export-Isbrandtsen II decision, the controlling statute was Section 17 of the Shipping Act of 1916, which stated in relevant part that:

Every such carrier and every other person subject to this chapter shall establish, observe, and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property. Whenever the Board finds that any such regulation or practice is unjust or unreasonable it may determine, prescribe, and order enforced a just and reasonable regulation or practice.

Id. Construing the Shipping Act of 1916, the court readily found that the NYTC is a “related service to public transportation . . . charged with a public interest and [] properly subject to the type of regulation . . . ordered in accordance with the Shipping Act of 1916.” *Id.* at 829. Congress has preserved the Commission’s jurisdiction over the MTOs under Section 17 of the Shipping Act of 1984, as amended, 46 U.S.C. app. § 1709(d)(1). Furthermore, the relevant language of the Shipping Act of 1984 pertaining to prohibited acts retains substantially similar language to Section 17 of the Shipping Act of 1916. Section 10(d)(1) currently provides that:

No common carrier, ocean transportation intermediary, *or marine terminal operator may fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.*

46 U.S.C. app. § 1709(d)(1) (emphasis added). Therefore, the Commission, having proper jurisdiction and statutory authority to regulate MTOs, is still charged with enforcement authority over the unreasonable practices of MTOs. Accordingly, the FMC should investigate this matter of urgency to the shipping public.

**VI. THE FMC SHOULD RETAIN PRIMARY JURISDICTION OVER MARITIME
TERMINAL PRACTICES CONCERNING PORT CONGESTION AND TRUCK
DETENTION BASED ON PUBLIC POLICY.**

The FMC, which is charged with regulating the MTO, should address port congestion and Truck Detention charges, especially when state legislatures may well enact provisions that could murky the waters of port congestion regulation.

Air pollution is an ongoing problem that impacts the health and safety of all citizens. Truck idling at ports is a major cause of pollution that can be controlled by requiring the NYTC to operate in a manner that reduces truck idling while waiting to load or unload at the terminal. The NYTC, through its employees and agents, and with its equipment, control and direct the trucks that conduct transactions at the terminal. Therefore, the MTO is in the best position to shoulder the responsibility for long lines at the terminal where trucks are forced to idle for extended periods of time. This problem is exacerbated by the continuous cycle that truckers are forced to bear. Truckers arrive at the terminal earlier to compensate for the long lines, which results in an increase in the number of trucks idling for greater periods of time, creating a greater pollution threat and economic loss to many industry segments.

The Commission's primary authority under Section 17 of the Shipping Act of 1916 was tested in American Export-Isbrandtsen II, 444 F.2d 824 (1970) (an appeal of a Commission order directing the NYTC to show cause why FMC regulations should not be imposed for Truck Detention). The order was the result of a Commission investigation into whether the rates, rules, regulations or practices of the NYTC violated relevant sections of the Shipping Act of 1916 including, Section 17. See Initial Decision, 6 S.R.R. at 142. The investigation construed a provision, among others, of the NYTC members' tariff, whereby the NYTC members disclaimed liability for delays caused to motor vehicles. See Id. at 159. The FMC Examiner found that this

practice was unreasonable and in violation of Section 17 of the Shipping Act of 1916. See Id. at 162. The Commission affirmed the findings of the Examiner concerning Section 17. See Truck and Lighter Loading and Unloading Practices at the New York Harbor, 7 S R.R. 199, 211 and 218 (1966). The Commission then ordered the MTOs in the NYTC to modify their tariff to include a Truck Detention penalty provision, so as to comply with the requirements of the Section 17. Id., aff'd, American Export-Isbrandtsen v. Federal Maritime Commission, 389 F.2d 962, 974 (1968) (“American Export-Isbrandtsen I”).

Thereafter, the Commission and representatives from the NYTC and the trucking industry conducted meetings to develop a reasonable Truck Detention rule to comply with the Commission’s order See American Export-Isbrandtsen II, 444 F.2d at 827. Unable to devise an agreeable rule, the Commission set out to prescribe its own rule and regulations through its rulemaking authority. Id. It was during the Commission’s rulemaking process that the NYTC MTOs submitted their own detention rule draft. Id. Subsequently, the Commission issued an Order rejecting the NYTC’s proposed rule as ‘unreasonable’ and ordered that the NYTC MTOs adopt the rule promulgated by the Commission, or show cause why the rule should not be adopted. Id.

The Court found that the Commission’s promulgation of the Truck Detention rule was not inconsistent with the Commission’s Order, and the Court went on to consider “. . . whether it is a just and reasonable practice for the Terminals to be made responsible, to the extent that the Rule makes them responsible, for delays due to insufficient or inefficient labor . . .” See Id. at 831. Recognizing that the labor situation was heavily affected by the policies of a third party, the New York Waterfront Commission, the court nevertheless reasoned that “[b]y filing tariffs the Terminals hold themselves out to furnish cargo handling services . . . [t]he Terminals thereby

voluntarily assumed the responsibility for having sufficient labor available for the efficient discharge of the services they have voluntarily undertaken to provide.” Id. Furthermore, in upholding the Commission’s analysis supporting the order, the court concluded that “the Commission properly determined that the responsibility for labor shortages came within that range of activities properly determined to be within the Terminals’ responsibility.” See Id. at 835.

As a result of the above litigation, the FMC’s important role was established with regard to regulating MTOs on Truck Detention issues. The Commission enacted several regulations concerning Truck Detention charges, which addressed the concerns of the Examiner in his Investigation. These regulations, were last published in 46 C.F.R. Part 530 (1992). See Exhibit I. In its Notice of Proposed Rulemaking, the Commission removed the Truck Detention Rules at Part 530. See FMC Docket No. 92-29, Served October 7, 1992. The Commission indicated that the comments submitted in support of retaining the rule were not sufficiently specific concerning the type of damage that would result if the rules were removed. Id. The Commission reasoned that changes in transportation circumstances, i.e., the rise of containerized cargo and the shift to more efficient, containerized handling operations at the terminals, constituted a sufficient justification for the removal of the rule. Id. The Bi-State respectfully requests that the Commission, in view of the current state of affairs, revisit this conclusion. Only the FMC, with its statutory mandate and well-established jurisdiction can correct these problems and deal with the underlying commercial issues and industry groups effectively.

VII. THE CURRENT TRUCK DETENTION SITUATION

Congestion and excessive delays still persist, not only at the Port, but at many ports around the nation, resulting in economic, environmental, and public welfare problems.

Consequently, containerized shipping, in itself, has not proven to be the panacea for the Port's congestion problems. Rather, concerned about the effects associated with port congestion, and absent federal regulations addressing even the most basic effect of port congestion, state officials have begun to consider legislation to regulate the activities of **MTOs** at ports situated within their state boundaries. For example, the California State Assembly, which aims to protect California citizens from the health and safety issues associated with air pollution resulting from excessive truck idling during the typical Truck Detention," recognizes that the public interest is served by the efficient operation of the ports and **MTOs**. In fact, the California legislation, which was recently signed into law by the governor, recognizes the huge problem of excessive waiting by trucks to enter the terminal gates at California ports. For the purposes of this Petition, the relevant provisions of the California act state that.

- Each marine terminal in the state shall operate in a manner that does not cause the engines on trucks to idle or queue for more than 30 minutes while waiting to enter the gate into the marine terminal.

(Exhibit J, Assemb. B. No. 2650, Chap. 1129 §2(a) (Cal. 2002))

- Any owner or operator of a marine terminal that operates in violation of this subdivision is subject to a \$250 fine per vehicle per violation.

(Id. § 2(a)(1))

- Any action taken by the marine terminal to assess, or seek reimbursement from, the driver or owner of a truck for a violation of this subdivision shall constitute a violation of Article 3 (commencing with Section 42400) of Chapter 4.

(Id. § 2(a)(4))

¹¹ The Bi-State members note that it "is neither efficient nor cost effective for the truckers to turn their engines off and on while **waiting in line**. As such, each day hundreds of trucks remaining **idling** for extended hours, causing environmental concerns." Members **Affidavit** at ¶ 17.

- Any owner or operator of a marine terminal or port, or any agent thereof, who takes any action intended to avoid or circumvent the requirements of this subdivision or to avoid or circumvent the reduction of emissions of particulate matter from idling or queuing truck is subject to a seven hundred ~~fifty~~ dollar (\$750) fine per vehicle per violation, including, but not limited to, either of the following actions’

(A) Diverting an idling truck to area freeways or alternative staging areas, including, but not limited to, requiring a truck to idle or queue inside the gate of a marine terminal.

(B) Requiring or directing a truck driver to turn on and off an engine while queuing.

(Id. §§ 2(a)(5) and 5(A)-(B))

There are, of course, several exceptions to the above provisions. For example, the forgoing provisions of the subdivision do not apply “. . . to any marine terminal that provides, as determined by the district, two continuous hours of uninterrupted, fully staffed receiving and delivery gates two hours prior to and after, peak commuter hours each had, at least five days per week.” Id. § 2(b)(1). This clearly provides an incentive to lengthen the work day which would conceivably reduce port congestion in that it would space port activity throughout a longer “working” day, and to some degree, avoid congestion related to normal traffic congestion patterns of cities. Other similar provisions exist in the bill regarding exception to the application of the above rules for extended work hours. The California legislature, however, clearly sees the need to take action on a problem that has federal implications pursuant to the Shipping Act.

It is clear from the action taken by the California Assembly, and others, that there exists a need for the Commission to reassert national leadership and ensure uniformity in the matter of terminal operations and the obligations of MTOs in discharging their duties with regard to the public interest. The Commission should continue to assert itself as the leading forum to deal with

terminal issues, which today, in view of security concerns are more than ever, national in scope.

Section 10(d)(1) of the Shipping Act is the vehicle that the Commission has traditionally utilized concerning Truck Detention regulations. Its findings and the subsequent case history make clear that there is a strong public policy rationale for relieving port congestion.

There is also a clear historical understanding recognized by the Commission that unreasonable Truck Detention regulations are against the public interest, especially in view of the negative impact on commerce and on importers and exporters, who end up paying for the resultant inefficiencies. In addition, the Commission, up to 1992, has attempted to remedy Truck Detention and port congestion issues through efforts to modify the NYTC Tariff and by promulgating regulations. However, even these regulations failed to address the issues raised herein by the Bi-State. Therefore, the time is ripe for an investigation of the current day practices concerning Truck Detention at the Port

VII. VIOLATIONS OF THE SECTION 10(D)(1) OF THE SHIPPING ACT OF 1984, AS AMENDED

In view of the above, the Bi-State avers that the following unreasonable and unjust regulations and practices constitute violations of Section 10(d)(1) of the Act:

A. Regulations and Practices That Omit Queue Waiting Time and Off-Site Facility Waiting Time for Purposes of Truck Detention Penalties.

1. The regulation (Tariff § II, ¶ 14(B), "Computation of Time") and practice of the NYTC to exclude the calculation of "queue waiting time" for truckers, which routinely wait for long periods outside the processing gate, is clearly unreasonable, unjust, and in violation of Section 10(d)(1) of the Act

2. It is an additional breach of the Act that NYTC members do not allow the truckers to include, for purposes of calculating Truck Detention Penalties, the time spent at the queue

outside the processing gates at both of the off-site locations – i.e , where the container is dropped off and the second location where the chassis is returned or a load picked-up.

3. Further, the practice of NYTC members to require truckers who are requested to return empty containers to a location outside the main terminal, and then to again return to the main terminal to either return the chassis or to pick up a loaded container, is also an unreasonable and unjust practice and regulation which contravenes the Act because the terminal requires the trucker to reposition equipment for the benefit of the MTO and its customers (vessel operators) without compensation.

B. Regulations and Practices That Otherwise Allow for Excessive Free Time for Calculating Truck Detention Penalties

4. The regulations, in violation of the Act, describe “Free Time” as “Containers, single move . . . 150 minutes; Containers double move . . . 210 minutes”. See Tariff § II, ¶ 14(A) This is excessive “Free Time” before Truck Detention can be charged These free time regulations, up until November 15, 2001, were applied by the NYTC Tariff only when “roadability” issues arose, and now apply as if all transactions require “roadability” free time. Therefore, such regulations, in that they require excessive “Free Time” before Truck Detention charges are allowed, are unjust and unreasonable and violate the Act.

5. It is unjust and unreasonable for an MTO to provide for “Free Time” to allow repair time when “roadability” issues arise with regard to equipment such as containers and chassis that are under the exclusive control of the MTO or its principals before they are interchanged to the truckers.

C. Regulations or Practices that Allow for Improper Exclusions

6. It is an unreasonable and unjust practice in violation of the Act for the MTO to tender to the trucker, the trucker’s customers, and the shipping public, equipment that is not

ready for immediate use on public roads when the trucker arrives at the terminal. It is unreasonable and unjust for an MTO to penalize a trucker by excluding repair time expended by the trucker by not allowing that time for purposes of Truck Detention Penalties.

7. It is an unreasonable and unjust rule (Tariff § II, ¶ 14 (C), "Exclusions") and practice in violation of the Act that Truck Detention is excluded when there is a "shortage of containership line equipment" when the trucker arrives at the terminal to pick up a load or empty. The trucker has no control over the availability of containership equipment, and to penalize the trucker for this circumstance, which is in the exclusive control of the MTO or its principals, is clearly an unjust and unreasonable practice and regulation in violation of the Act.

8. It is an unjust and unreasonable practice that the members of the NYTC amended their tariff to allow themselves additional free time for loading and unloading cargo and chassis following an arbitration proceeding in which NYTC members were compelled to pay disputed Truck Detention Penalties to some trucker members of the Bi-State. Shortly **after** the payment of these Truck Detention charges in arrears, the NYTC amended its tariff to eliminate compensation for wait time associated with chassis that are not road-ready, and to increase the free time allowed for "single" and "double" moves to diminish future Truck Detention compensation. Therefore, this retaliatory act is an unjust and unreasonable practice to punish truckers for disputing Truck Detention charges and to reduce Truck Detention Penalties prospectively from the time of the tariff amendments.

RELIEF REQUESTED

The Bi-State respectfully requests that the Commission immediately initiate an investigation pursuant to Section 1 l(c) of the Shipping Act into the current Truck Detention

practices of the NYTC. Therefore, the Bi-State requests that the Commission, upon a finding of violations of the Shipping Act.

1. Order the NYTC to modify its “Computation of Time” tariff provision to include a reasonable calculation that captures the “queue waiting time” experienced by truckers outside the point of processing and more accurately reflects the truck’s arrival at the terminal.

2. Order the NYTC to modify its Tariff to include a reasonable free time provision before Truck Detention Penalties begin to accrue, rather than the excessive free time reflected in the current Tariff.

3. Order the NYTC members to cease and desist from the practice of requiring trucker’s to reposition equipment without offering compensation to the truckers for the services provided, including any additional time spent performing such services.

4. Order the NYTC to remove from its Tariff certain “Exclusions” that permit the NYTC to exempt from its “Calculation of time” provision relating to terminal delays, the time spent by truckers due to lack of equipment, repositioning of equipment, or maintenance and repair of equipment

5. Order the NYTC to modify its “Free Time” tariff provision to distinguish free time under typical circumstances from free time when roadability issues are present

6 Order the NYTC to cease and desist from its practice of tendering defective equipment to truckers upon arrival at the terminal by requiring the NYTC to maintain a pool of road ready equipment sufficient to meet the needs of the truckers during the terminal's daily operations. In the event roadability issues arise, the NYTC should not be allowed to exclude the resultant delays from the trucker's Truck Detention charges

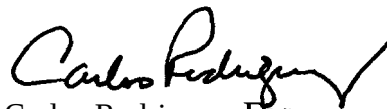
7. Order the NYTC to modify its unjust and unreasonable Tariff, which was amended to retaliate against Bi-State members seeking compensation in an arbitration for Truck Detention Penalties in arrears, which retaliatory amendments allow the NYTC members additional **free** time for loading and unloading cargo and chassis and eliminating compensation for wait time associated with chassis that have roadability problems due solely to the failure of the NYTC members to present road-ready equipment.

WHEREFORE, the undersigned submit the foregoing Petition on behalf of the Bi-State, and ask that the Commission investigate the practices and regulations outlined above and issue the relief requested.

Respectfully submitted,

ASSOCIATION OF BI-STATE MOTOR CARRIERS, INC.

By:



Carlos Rodriguez, Esq.

Usbaldo Angel, Esq.

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Washington, DC 20036

202-293-3300 (Telephone)

202-293-3307 (Facsimile)

Attorneys for Petitioner

Dated in Washington, D.C. this 1 8th day of November, 2002.

CERTIFICATE OF SERVICE

I hereby certify that I have this 18th day of November, 2002, served a copy of foregoing Petition of the Association of Bi-State Motor Carriers, Inc. to Investigate Truck Detention Practices of the New York Terminal Conference at the New York/New Jersey Port District, upon the parties, named herein, by causing an original and fifteen copies thereof to be hand delivered to the following:

Mr. Bryant L. VanBrakle
Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Room No. 1046
Washington, D.C. 20573

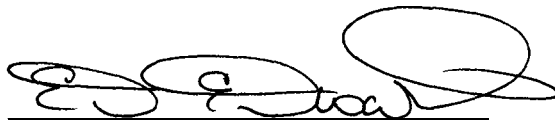
and via first class mail, postage prepaid, upon the following:

American Stevedoring, Inc.
138 Marsh Street
Port Newark, New Jersey 07114

Universal Maritime Service Corp.
Giralda Farms
Madison, New Jersey 07094

Port Newark Container Terminal
23 1 Tyler Street
Port Newark, New Jersey 07 114

New York Terminal Conference
P.O. Box 875
Chatham, New Jersey 07928



Mr. Eddie L. Edwards
RODRIGUEZ O'DONNELL ROSS
FUERST GONZALEZ & WILLIAMS, P.C.
1211 Connecticut Avenue, N. W.
Suite 8 12
Washington, DC 20036
(202) 293-3300 (Telephone)
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NEW YORK TERMINAL CONFERENCE

George J. Lair, Chairman • P.O. Box 875, Chatham, N.J. 07928 • 908-233-6974

April 22, 2002

NOTICE TO SUBSCRIBERS

ENCLOSED FIND AMENDED PAGES NOS. 12, 13 & 14 OF NEW YORK
TERMINAL CONFERENCE RATE SCHEDULE NO. 011408
AMENDMENTS ARE PREFACED BY A GREEN DOT INDICATING THE
REVISED SECTIONS AND PAGES OF THE RATE SCHEDULE. THESE CHANGES
ARE EFFECTIVE APRIL 29, 2002.

NEW YORK TERMINAL CONFERENCE

York Terminal Conference**Page 12 of 35****Revised Date
29 April, 2002****A. Free-time:**

"Containers, single move, 150 minutes

"Containers, double move 210 minutes

B. Computation of Time

Computation of **free** time **will** be based upon the truck's arrival at the first **point of** processing on the terminal. Terminal time **will** terminate when the trucker exits the outbound gate of the terminal.

C. Exclusions:

NYTC **will** not be responsible for delays caused by **severe** weather, **and/or** delays caused by a disruption of **power**, telephone, shortage of **containership line equipment**, or data services **such as** those supplied to **U.S.** Customs, which **are** beyond the control of NYTC. The force **majeure** exclusions will not **include** delays due to failure(s) of **NYTC's** computer systems,

Motor Carriers have an obligation to utilize the technologies **and services** which are made available by **NYTC** to pre-check or **pre-clear a shipment** prior to dispatching a driver to the terminal. If a paperwork or documentation problem is discovered after the driver is on the **terminal**, a problem that could have been avoided if the trucker pre-checked the shipment, all **previous** time will be voided. **The terminal** time will start when the documentation **time** is corrected.

NYTC may deny **payments** of detention penalties to truckers, who on a regular basis, **fail to pre-check** prior to the arrival at **terminals**, or fail to follow terminal procedures which result in **delays** to themselves or other **truckers**.

Detention payments **will** not be paid to motor carriers arriving at the terminal **facility with a bare chassis** upon which they request a container, which **is** already on **a chassis, to be placed unless the terminal** operator **shall** have been notified of the intended method of **removal of the** container from **the** terminal facility prior to the **vessel's** discharge,,

Detention payments will not be paid to motor carriers requiring **genset mounting** for reefer cargo **unless the terminal operator** shall **have** been notified no less than 24 **hours** prior to the intended pick up. **For** purposes of this paragraph, such notification may only be **given during** the periods from 8:00 a.m. to 12:00 noon and **from 1:00 p.m. to 5.00 p.m.**, Monday to Friday (all **LLA** holidays **specified** in the collective bargaining agreement in effect in **the Port of New York** governing **the** employment of **longshore** labor **being** excepted)

Detention payments **will not be paid with respect to my transaction** if the motor carrier requests assistance for such transaction. This includes transactions which may **require** such **assistance, e.g.** documentation for hazardous cargo and motor vehicles.

Detention payments will not be paid unless submitted to the terminal operator by the motor carrier who performed the move within 45 days of the transaction. All requests for payment of detention must be individually specified on such forms and in such a manner as may be specified by the terminal operator.

If any employee, agent or representative of a Motor Carrier (or any other person with actual or implied consent of the Motor Carrier) is found to have stolen, pilfered or vandalized and chassis component(s) or other property belonging to the terminal operator, its customers or other persons present on the terminal with the consent of the terminal operator the Motor Carrier will be held fully responsible for the cost of repairing or replacing said equipment. The Motor Carrier will also forfeit its ability to submit any invoicing pertaining to trucker detention at the terminal.

D. Payment of Penalties:

When the power vehicle is delayed beyond the allowable free time, NYTC shall be charged at a rate of \$12.50 per 15 minutes. However, there shall be no penalties paid for detentions less than twenty-nine (29) minutes. False or unsubstantiated claims for detention reimbursement filed by a motor carrier are subject to a \$50.00 processing fee per each occurrence to such motor carrier and denial of claim.

Claims shall be filed within forty-five (45) calendar days from the date on which the claim arose or said claim shall be barred.

E. Settlement of Disputes

All disputes arising pursuant to this provision shall be arbitrated pursuant to the Commercial Arbitration Rules of the American Arbitration Association.

15. PREREQUISITE FOR PALLETIZED, PREUNITIZED AND SKIDDED RATE

In addition to any other requirements specified elsewhere, the following rules shall apply:

- A. Wherever rates in this schedule are based upon cargo being palletized, preunitized or skidded, said rates are applicable in the case of truck unloading only if the cargo is situated on the truck so the terminal's forklift truck blades may be directly inserted without any necessity of shifting cargo prior to such insertion. If the cargo is not so situated on the truck, triple the truck unloading rates will be charged. Cargo must be deemed suitable for safe handling.
- B. In both loading and unloading situations, N.O.S. (3.99) rates shall apply if the pallets, platforms, skids, etc. are not serviceable and safe to handle,

16. OPENING AND CLOSING PACKAGES AND CONTAINERS FOR U.S. GOVERNMENT AGENCY INSPECTION AND OTHER INSPECTION/SAMPLING AND MISCELLANEOUS TERMINAL SERVICES

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Petition No.: _____

**PETITION OF THE ASSOCIATION OF BI-STATE MOTOR CARRIERS, INC. TO INVESTIGATE
TRUCK DETENTION PRACTICES OF THE NEW YORK TERMINAL CONFERENCE
AT THE NEW YORK/NEW JERSEY PORT DISTRICT**

AFFIDAVIT OF MR. DICK JONES IN SUPPORT OF THE PETITION

I, Mr. Dick Jones with a business address at 118 Export Street, Port Newark, NJ 07114, declare the following to the best of my personal knowledge and information:

1. I am the Executive Director of the Association of Bi-State Motor Carriers, Inc. ("Bi-State"), a position I have held from October, 2002 to the present.

2. The Bi-State is currently comprised of 36 members, 33 of which are trucking companies servicing the Port. The Port handles approximately 34% of the U.S. volume of trade for a lo-state, 260-mile radius area. Trucking companies perform hundreds of daily pick-ups and deliveries, and a majority of these services are provided by the members of the Bi-State. The Bi-State expects the membership numbers to increase in the coming months due to continued port congestion at the port,

3. As Executive Director of Bi-State, I routinely encounter the poor conditions at the NYTC terminals, including excessive delays in the pick-up and delivery of containers. I have encountered similar problems while I was Executive Director of the Bi-State Harbor Carriers Conference of the New Jersey Motor Truck Association ("Harbor Carriers Conference"), which position I previously held for eight years until I became Executive Director of the Bi-State

4. In the past, several current members of the Bi-State, all of which were previous members of the Harbor Carrier Conference, have encouraged self-regulation by

terminals to alleviate congestion problems. As such, Bi-State members have worked with Marine Terminal Operators (“MTO”) to address terminal congestion and efficiency problems

5. In the past, Bi-State has encouraged self-regulation by terminals to alleviate congestion problems. As such, Bi-State members have worked with MTOs to address terminal congestion and efficiency problems. Bi-State member have had success in dealing with several MTO’s operating in the Port District of Greater New York and New Jersey (the “Port District”) and vicinity, most notably **Maher** Terminals and **Howland Hook** Container Terminal, whereby long delays and congestion at their terminals have been reduced.

6. Similarly, for months, Bi-State members attempted to work with the members of the New York Terminal Conference (“NYTC”) on congestion and efficiency problems at its terminals, but the NYTC has thwarted the efforts of the Bi-State members’ efforts in this area

7 Indicative of the extent of the Port District’s congestion problems are the conditions at the Port Newark Container Terminal (“PNCT”), Universal Maritime Service Corp. (“UMS”), and American Stevedoring, Inc (“ASI”), all of which are a participating members of the NYTC.

8 For instance, I have reviewed Terminal Operations Reports from PNCT for the purposes of loading and unloading cargo during approximately the last six months

9. As the attached sample Terminal Operations Reports demonstrate, the waiting time is excessive at these terminals. See Attachment “A” In particular, the attached PNCT Terminal Operations Reports show that it is not uncommon for truckers

to wait in line outside the terminal in very long lines before reaching the terminal “point of processing.”

10. The above reports only highlight a “snapshot” of the congestion problem, which reports show how many trucks are waiting to enter the terminal gates at a particular time in the morning and the afternoon for delivery and pick-up of containers and other equipment or chassis.

11. The reports identify a substantial congestion problem at a particular time of the day, but fail to show what a more thorough investigation would confirm, namely that the time spent by truckers outside the terminal gate is commonly excessive, at times as long as three or four hours or even much longer. I have even witnessed trucks take as long as 1 ½ hours to 3 hours in the queue outside the gate to reach the terminal’s point of processing and then wait another 1 ½ to 3 ½ hours waiting within the terminal on a double transaction move.

12. All of the time spent outside the “point of processing” is not included in the calculation of free time or truck detention penalties, which includes the excessive time spent waiting outside the terminal gate while the terminals control access to the “point of processing.”

13. At times, it also appears that the terminals manipulate the entry of trucks past the “point of processing” to diminish the amount of truck detention penalties that could arise once inside the all-important “point of processing.”

14. Once a trucker enters the terminal gate and reaches the point of processing at PNTC, UMS, and ASI, the current NYTC tariff rules allow for one hundred fifty (150) minutes (single move) and two hundred ten (210) minutes (double move) of “free time” before detention charges begin to accrue.

15 Furthermore, an additional twenty nine (29) minutes are allowed before actual detention charges are applied. Therefore, commonly on a double move, the Bi-State believes that a trucker may spend as much as five (5) to seven (7) hours at the terminal before any detention penalty applies from the moment the trucker first reaches the long lines outside the terminal gate.

16. Several members also report that the effect of the congestion, whereby truckers are **often** limited to one practicable move per day, has made hiring truckers to service the port much more difficult. In fact, federal law prohibits a trucker from driving longer than ten (10) hours per day without taking an S-hour rest, which includes time idling in the queue because a driver is behind the wheel of a truck. Additionally, driver cannot work longer than fifteen (15) hours total per day (including no more than ten (10) hours behind the wheel and a maximum of five (5) additional hours of "on-duty" time necessary to complete moves. Finally, truckers cannot cumulatively work longer than sixty (60) hours per seven-day period. Consequently, truckers that must wait in the queue without Truck Detention compensation, and are prevented from completing more than one practicable move per day, are impacted because the terminals effectively consume most, if not all, of a trucker's legally allowable "on-duty" time. Conversely, making additional moves per day would make servicing the Port profitable and lessen the **cost-**prohibitive nature of doing business at the port as a trucker.

17. As such, the current NYTC tariff rules make it unlikely that detention charges will apply to an ordinary move even though much time is spent by truckers waiting for service by the port or its employees to pick-up and delivery containers or chassis. And if detention charges do begin to accrue, which appears to be rare, the rules

make it certain that only minimal amounts will apply, even though a trucker routinely wastes an entire day at the terminal to pick up or load cargo.

18. As stated, with the current congestion and the associated delays, truckers are only practically capable of making one move per day.

19. With an average truck/man hour cost of approximately \$50 per hour for Bi-State members, and an average move with a charge of \$200 – \$250, truckers are operating in the red after spending approximately four (4) hours at the terminal, which consistently occurs at the NYTC terminals.

20. Due to the excessive terminal delays, many drivers are refusing to go to the NYTC terminals because they know that it is very likely they will be forced to spend the majority of the day in long lines before even entering the terminals.

21. Aside from the obvious negative economic impact this has on the truckers and the shipping community, the excessive delays and overall congestion caused by the NYTC's unreasonable rules and practices, raises homeland security issues that are of concern because the trucks carry containers to and from the port that sit outside or inside the terminal for hours at a time

22. It is neither efficient nor cost effective for the truckers to turn their engines off and on while waiting in line. As such, each day hundreds of trucks remain idling for extended hours, causing severe environmental concerns.

23. I have also reviewed several pictures included as Attachment "B", many of which I took personally at the PNTC terminal, and some of which were taken by other members of the association at the UMS terminal. These photographs clearly demonstrate that on various days, the lines outside NYTC member terminal gates are lengthy and

results in extensive waiting time in the queue outside of the terminal “point of processing.”

24. Finally, after a period of six (6) months from the date that the accompanying Petition for Investigation is filed, we will supplement this affidavit with accumulated data recorded by some **Bi-State** trucker members stating the time they spent in the queue outside the terminal “point of processing” and the time spent within the terminal to document the excessive wait before truckers are permitted to deliver or pick-up containers or other equipment.

WHEREFORE, I declare, under penalty of perjury, pursuant to 28 U.S.C. § 1746,
that the foregoing statements are true and correct to the best of my knowledge and belief.

Respectfully submitted,



Mr. Dick Jones
Executive Director
Association of Bi-State
Motor Carriers, Inc.
118 Export Street
Port Newark, NJ 07114
973-466-0014 (Telephone)
973-466-0085 (Facsimile)

Executed this 13 day of November, 2002.

Attachment A

	ASSOCIATION OF BI-STATE MOTOR CARRIERS, INC. MEMBERSHIP LIST
1	A.S.A. Apple, Inc. -- Frank Cardaci 100 Middlesex Ave Carteret, NJ 07008
2	All City Leasing & Warehousing, Inc. -- Christopher Antonucci P O Box 6466 Jersey City NJ 07306
3	Aqua Gulf Xpress -- Joseph Browne 660 Deer Road Cherry Hill NJ 08034
4	Atlantic Star Trucking, Inc. -- Joseph Magiera 436 Doremus Ave Newark NJ 07105
5	B. C. Transportation, Inc. -- Robert Leef 99 E. Peddie St Newark NJ 07114
6	Best Transportation, Inc. -- Tom Heimgartner 395 Kellogg St Port Newark, NJ 07114
7	Commercial Transportation, Inc. -- Tony Coppola 7700 State Road Philadelphia, PA 19136
8	Commonwealth Trucking, Inc. -- Christopher Brienza 100 Central Ave Bldg-21 S. Kearny NJ 07032
9	ContainerPort Group, Inc. -- Evans Papantouros 1140B Polaris St Elizabeth NJ 07201
10	Coty Enterprises, Ltd. -- Steve Coty 1201 Corbin St Elizabeth NJ 07201
11	Donald F. La Penna Assoc, Inc. -- Mike De Stasio P O Box 1868 Cranford NJ 07016
12	Export Transport Co., Inc. -- Erick Bierman 136 Mohawk St Port Newark, NJ -7114
13	Golden Carriers -- Jeffrey A. Bader PO Box 1324 Paramus NJ 07653
14	Harbor Freight Transport Corp. -- Steve Liberti 301 Craneway St Port Newark NJ 07114
15	Inter-Metro Freight, Inc. -- Ralph Ippolito P O Box 131 Kearny NJ 07032
16	International Motor Freight, Inc. -- William Grato 120 Tyler St Port Newark, NJ 07114
17	ITZ-Ohlson Transport, Inc. -- Charlie ITZ 20 Rover St Everett MA 02149
18	J Way Company -- John Kruse 639 Ramsey Ave Hillside NJ 07205
19	Kensway, Inc. -- Lou Rotolo 1201 Corbin St Elizabeth NJ 07201
20	Marine Container Services, Inc. -- Joe Noonan 802-814 Bergen St Newark, NJ 07108
21	Marine Transport, Inc. -- George Fuller 215 Marsh St Port Newark, NJ 07114
22	MTI , INC. -- David Cannillo 1140 C POLARIS ST ELIZABETH, NJ 07201
23	National Packers Express, Inc. -- Tom Gerity 42 C Hackensack Ave S. Kearny NJ 07032
24	Newark Refrig Whse, Inc. -- Gerard A. Von Dohlen 104 Avenue "C" Newark NJ 07114
25	OST Trucking Co., Inc. -- Ross Pantano 1 Atlanta Plaza Elizabeth, NJ 07206
26	P. J. T. Transport, Inc. -- Peter J Toscano 90 Jacobus Ave S. Kearny NJ 07032
27	P. Judge & Sons, Inc. -- Partrick J. Judge III 201-A Export St Port Newark NJ 07114
28	R H P Transportation -- Raymond Noonan 69 North Hook Road Bayonne, NJ 07002
29	Rail Bridge Terminals Corp. -- Mark Schep 322 Third St Elizabeth NJ 07206
30	Richmond Express Co. -- 1201 Corbin St Elizabeth NJ 07201
31	Safeway Trucking Corp. -- Marc Lebovitz 1140 Polaris St Elizabeth NJ 07201
32	Sea Lane Express, Inc. -- Guy Mazarin 60 Cutter Mill Rd-Suite 206 Great Neck, NY 11021
33	Uncommon Carrier, Inc. -- Tim Shea Port Kearny Bldg #3 S. Kearny NJ 07032
34	Van Brunt Port Jersey Whse -- Ken Gross 197 Maracaibo St Port Newark NJ 07114
35	Weiss, Weitzman & Weiss, LLP -- Leonard Weitzman P O Box 255 Bedminster NJ 07921-0255
36	Westchester Motor Lines, Inc. -- Ronald Esposito PO Box 8176 New Haven, CT 06530
NOTE	# 11, 29, and 35 Are Allied Members (Non Truckers)

Attachment B

Subj: **PNCT- Terminal Operations update #2 07/30**
Date: **7/30/02 10:38:22 AM** Pacific Daylight Time
From: **James.Burgess@pnct.net**
To: **Shipping@pnct.net**
cc: **Alan.Miles@pnct.net, joe.assante@pnct.net, Joe.Abbate@poportsna.com, Del.Bobish@pnct.net**
Sent from the Internet (Details)

Terminal Operations - Tuesday **07/30/02**

As of **13:00** hours there are 84 containers
and 32 Bobtails waiting to enter from Tyler Street
and 4 Empty containers waiting to enter from
Starboard Street.

As of **13:00** There are 22 trucks on the grids
and
there are 71 trucks queued to move onto the
grids. Grid line is still heavy this afternoon.

As of 13:00 the following moves are in
progress:

Received 170 exports Delivered 495 imports -
Total 665

Received 214 empties Delivered 48 empties -
Total 262

Received 128 chassis Delivered 50 chassis -
Total 178

Total transactions 1108 (including those
still in progress)

Out-bound lanes are running normal **with** no
delays to trucks exiting.

Please look at our web page and click on
Empty Park for notification of which Empties go to which gate.
This information changes daily depending
on Vessels. the address is **www.pnct.net**

Regards,
James Burgess

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sender and do not necessarily represent the opinions and
policies of P&O Ports North America.

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and intended solely **for** the use of the person or entity
to which it is addressed. If you have received this in

Tuesday, July 30, 2002 America Online: **DJBistate**

Subj: **PNCT- Terminal Operations Update 07130**
 Date: **7/30/02 8:16:26** AM Pacific Daylight Time
 From: **James.Burgess@pnct.net**
 To: **Shipping@pnct.net**
 c c: **Alan.Miles@pnct.net, joe.assante@pnct.net, Joe.Abbate@poportsna.com, Del.Bobish@pnct.net**
Sent from the Internet (Details)

Terminal Operations - Tuesday **07/30/02**

As of 11:00 hours there are 51 containers and 27 Bobtails waiting to enter from Tyler Street and 4 Empty containers waiting to enter from Starboard Street.

As of **11:00** There are 22 trucks on the grids and there are 87 trucks **queued** to move onto the grids.

As of 11:00 the following moves are in progress:

Received 104 exports Delivered 352 imports -
Total 466

Received 156 empties Delivered 30 empties -

Total 186 Received 90 chassis Delivered 41 chassis -
Total **131**

Total transactions 774 (including those still in progress)

Out-bound lanes are running normal **with** no delays to trucks exiting.

Please look at our web page and click on Empty Park for notification of which Empties go to which gate. This information changes daily depending on Vessels. the address is **www.pnct.net**

Regards,
James Burgess

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Tuesday, July 30, 2002 America online: **DJBistate**

Subj: **PNCT- Terminal Operations Update 07/30**
Date: **7/30/02 8:16:26 AM** Pacific Daylight Time
From: **James.Burgess@pnct.net**
To: **Shipping@pnct.net**
cc: **Alan.Miles@pnct.net, joe.assante@pnct.net, Joe.Abbate@poportsna.com, Del.Bobish@pnct.net**
Sent from the Internet (Details)

Terminal Operations - Tuesday **07/30/02**

As of 1 **1:00** hours there are 51 containers
and 27 Bobtails waiting to enter from Tyler Street
and 4 Empty containers waiting to enter from
Starboard Street.

As of 1 **1:00** There are 22 trucks on the grids
and
there are 87 trucks queued to move onto the
grids.

As of **11:00** the following moves are in
progress:

Received 104 exports Delivered 362 imports -
Total 466

Received 156 empties Delivered 30 empties -
Total 186

Received **90 chassis** Delivered 41 chassis -
Total 131

Total transactions 774 (including those
still in progress)

Out-bound lanes are running normal **with** no
delays to trucks exiting.

Please look at our web page and click on
Empty Park for notification of which Empties go to which gate.
This information changes daily depending on
Vessels. the address is **www.pnct.net**

Regards,
James Burgess

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Tuesday, July 30, 2002 America Online: **DJBistate**

Subj: **PNCT- Terminal Operations update #2 07/30**
Date: **7/30/02 10:38:22 AM** Pacific Daylight Time
From: **James.Burgess@pnct.net**
To: **Shipping@pnct.net**
cc: **Alan.Miles@pnct.net, joe.assante@pnct.net, Joe.Abbate@poportsna.com, Del.Bobish@pnct.net**
Sent from the Internet (Details)

Terminal Operations - Tuesday **07/30/02**

As of 13:00 hours there are 54 containers
and 32 Bobtails waiting to enter from Tyler Street
and 4 Empty containers waiting to enter from
Starboard Street.

As of 13:00 There are 22 trucks on the grids
and
there are 71 trucks queued to move onto the
grids. Grid line is still heavy this afternoon.

As of 13:00 the **following** moves are in
progress:

Received 170 exports Delivered 495 imports -
Total 665 Received 214 empties Delivered 46 empties -
Total 262 Received 128 chassis Delivered 50 chassis -
Total 178

Total transactions 1106 (including those
still in progress)

Out-bound lanes are running normal with no
delays to trucks exiting.

Please look at our web page and click on
Empty Park for notification of which Empties go to which gate.
This information changes daily depending
on Vessels. the address is **www.pnct.net**

Regards,
James Burgess

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policies of P&O Ports North America.

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to which it is addressed. If you have received this in

Tuesday, July 30, 2002 America Online: **DJBistate**

Subj: RE: Update Reports
 Date: 9/6/02 8:40:53 AM Pacific Daylight Time
 From: James.Burgess@pncl.net
 To: djblstate@aol.com
 Sent from the Internet (Details)

69 containers and 58 bobtails = 127. Measuring from gate to end of line right now has grown around export again. which phone number are you trying? 973-522-2212 or 973-332-7838 (cellphone). I have not recieved any of your messages thus far. The truck count should always include from gate to the end of the line, wherever that may be.

-----Original Message-----

From: Forward Dick Jones
 Sent: Friday, September 06, 2002 11:33 AM
 To: James Burgess
 Subject: Re: Update Reports

James:

I am confused with the reports since the new gates have opened. The one that was just received 09/06/02/1115 hours, states that there are 69 trucks in line.

Where are we measuring from ?

How many trucks do you count from the terminal gate complex to the street gate ?

I assume that your reported count starts at the street gate. Is this correct ?

I tried to reach you by phone several times, but they are not being answered.

Regards, Dick Jones

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Friday, September 06, 2002 America online: DJBistate

To: Carlos Rodriguez

9/6/02

Subj: PNCT Gate Report
Date: 9/6/02 8:45:38 AM Pacific Daylight Time
From: DJBistate
BCC: ron@allcityleasing.com, joen@mcsi.com, mmorrow@ludgeom.com, llocastr@eamerica.com, silbert@harborfrt.com, deef@bctrans.com, mlebovitz@romarklogistics.com, jwayjohn, FXExpress, JONESD1853, Rippolito, shalewicz@hmt.net, w.grato@imfni.com, ddoolay@comcast.net, dcio@portiersey.com, jeff@goldencarriers.com, PAVN@Earthlink.net, acoppola@cltrans.com, mmurphy@aquegulf.com, rpbenezal@fleetwoodfwd.com, OLQALAN, george@marine-trans.com, rick@asaapple.com, noe@eclipse.net, e-mail@maintrucking.com, WEngels450, RAILHD CFS, JIMAGS, tshea@uncommoncarrier.com, Pato@vanbruntwarehouse.com, jmarcellino@aquegulf.com, PMu1111076, mdesaye@fmiint.com, ksavulich@fmiint.com, owynne@ludgeom.com, OnlySafeTrucks, dking@bctrans.com, TommyO@omtrucking.com, peter@bigroup.com, lrotolo@americanlogistical.com, ron@rxconl.com, jim@rxconl.com, davep@vanbruntwarehouse.com, lpartridge@uncommoncarrier.com, alicedibene@wminhct.com, andy@besttrans.com, tavanza@aquegulf.com, lllac59@earthlink.net, leekupper@hotmail.com, sdzielinski@romarklogistics.com, dcannillo@mtitrucking.com, alex@allcityleasing.com, gvondohlen@hotmail.com, RsiVWMLNHCT, billm@mcsi.com, tadamski@allpoints@yahoo.com, rswenon@cltrans.com, nwbttisaf@btinc.com, patdejeso@wminhct.com, Erickbierman@msn.com, SCoty007, les@goldencarriers.com, JSnodgrass@triangelnetwork.com, smcatine@panynl.gov, dmcorath@panynl.gov, Lourde.Pierre-Louis@panynl.gov, DPMTW, pudge@ludgeom.com, tom@besttrans.com

To all members:

I did not receive any gate report from PNCT for Thursday, September 5, 2002. However, my observations were as follows:

At 0930 hours, the truck lines extended through the gate complex through Calcutta Street to Export Street, south to Starboard Street, a total of over 150 trucks in line outside the gate.

Police directing traffic at the scene advised that "PNCT has laid off 11 checkers, and the result has been a slowdown of gate processing".

Average processing time for trucks in the queue was 2 1/2 to 4 1/2 hours.

Trucks were processed until 2300 hours on Thursday evening.

Today, I have received a report, which I have just e-mailed to you. I have questioned PNCT regarding their count of the trucks in line, as we seem to differ on the amount.

Right now, the line is through Calcutta Street to Export Street.

Queue only

why?

F.Y.I.

Friday, September 06, 2002 America Online: DJBistate

Subject: **PNCT- Terminal Operations Update 09/06**
Date: **9/6/02 8:16:40 AM Pacific Daylight Time**
From: **James.Burgess@pnct.net**
To: **Shipping@pnct.net**
CC: **Alan.Miles@pnct.net, Joe.assante@pnct.net, Joe.Abbate@poportsna.com, Del.Bobish@pnct.net**
Sent from the Internet (Details)

Terminal Operations - Friday 09/06/02

As of 11:15 hours there are 69 containers
and 68 Babbles waiting to enter from Gate complex on Calcutta St.

127

As of 11:15 There are 23 trucks on the grids
and there are 81 trucks queued to move onto the
grids. Grids are heavy this morning

As of 11:15 the following moves are in
progress:

Received 108 exports Delivered 231 imports -

Total 339

Received 80 empties Delivered 19 empties -

Total 99

Received 15 chassis Delivered 0 chassis -

Total 15

Total transactions 464 (including those
still in progress)

Out-bound lanes are running moderate with
no delays to trucks exiting.

Please look at our web page and click on
Empty Depot for notification of which Empties are accepted at Calcutta St.
For all Empties not on list, please contact steamship lines for return
location.

This information changes daily depending on
Vessels. the address is www.pnct.net

Regards,
James Burgess

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sender and do not necessarily represent the opinions and
policies of P&O Ports North America.

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and intended solely for the use of the person or entity

Friday, September 06, 2002 America Online: DJBistate

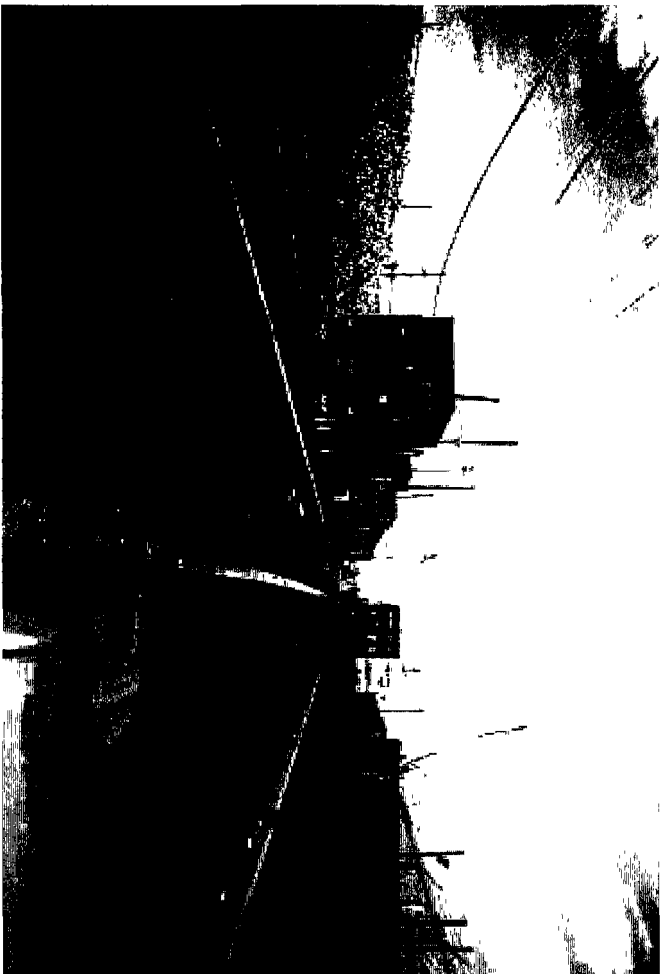
ATTACHMENT C



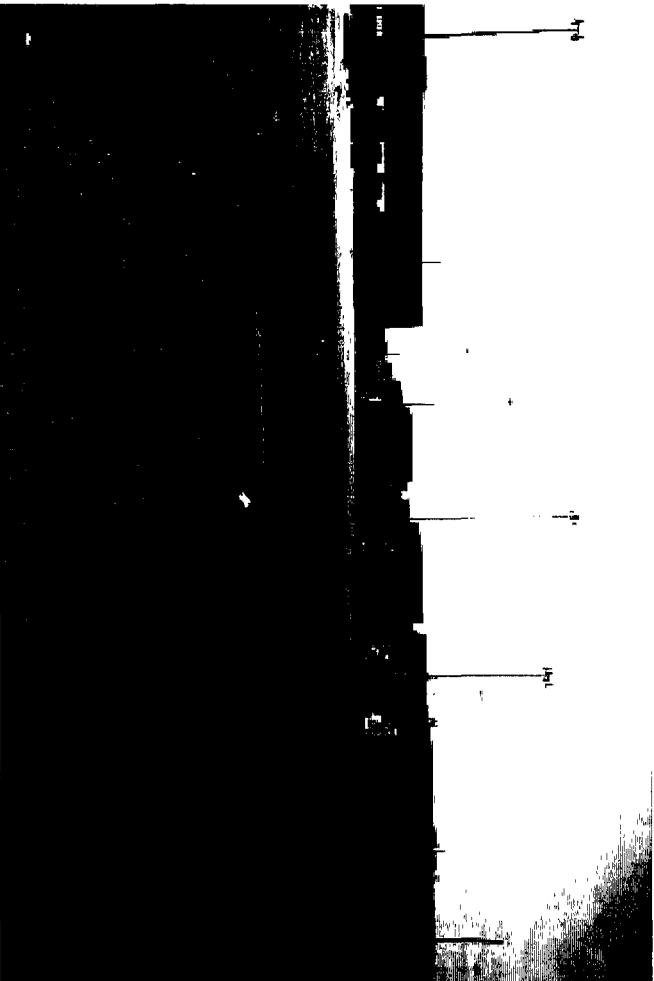
9/5/02 PNCT – 12:30 Calcutta – Westbound
Over 130 trucks in line, police needed for traffic control.
Trucks were processed until 22:00.



9/6/02 PNCT – 09: 15 Export – Eastbound
69 Containers
58 Bob Tails in line



ASI- 9/5/02 12:30
Queue during lunch, terminal shut down.



9/6/02 09:00
UMS 12 Trucks, 20 Bob Tails



PNCT 9/6/02 - 09: 15 Export Southbound
 Line extended over Calcutta, South on Export, U-turned back to Calcutta



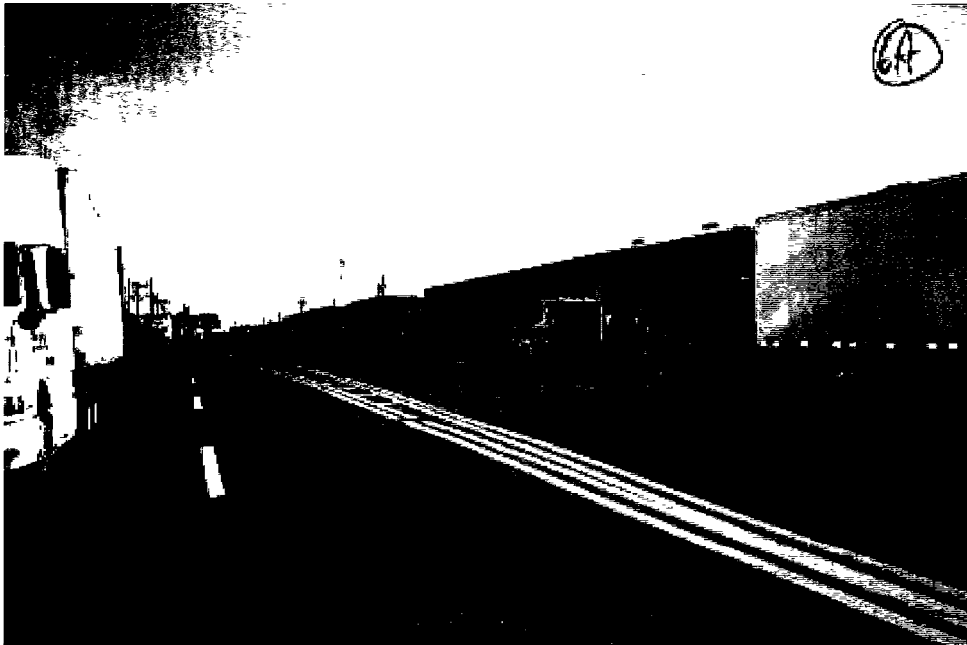
PNCT-Same Time as Above - Export Westbound



PNCT - 9/6/02 13:00
Over 115 trucks in line, extending from Calcutta to Export –
Line to Starboard and return to Calcutta.



PNCT- Export Southbound – Same Time
Line started at Calcutta to Export Street Southbound; Police needed to direct traffic



9/6/02 PNCT - 09: 15
Over 130 trucks in line from gate to end of line



UMS - 9/5/02 1230
S/L - 8 Loads
21 Bob Tails



9/5/02 09:00
UMS – 10 Loads in Line
8 Bob Tails

effort to organize harbor truck drivers at all U.S. ports.

Ron Carver, who heads that effort for the Teamsters, characterized the ILWU-Machinists dispute as a local disagreement that should have nothing to do with the coastwide contract talks. Carver said the inter-union dispute has been going on for at least two years, long before the negotiations between the ILWU and PMA began on May 13. He suggested that waterfront employers are attempting to use the jurisdictional dispute to secure an injunction against the ILWU.

Carver noted that the AFL-CIO has a process known as Article 20 to resolve such disputes. Although Richard Trumka, AFL-CIO secretary-treasurer, has informally attempted to mediate the dispute between the ILWU and the IAM, the disagreement has not been raised to the Article 20 level. "Article 20 is when there is actual raiding," he said.

Carver noted that in an agreement signed late last year by the Teamsters, the ILWU and the ILA "to make U.S.

ports "100 percent union," the parties set up their own mechanism to resolve jurisdictional disputes without resorting to Article 20. The Teamsters and the ILWU have already used the new mechanism to resolve disputes in Tacoma and Port Hueneme, Calif. This indicates the ILWU does not wish to use inter-union disputes to influence contract negotiations with employers, Carver said.

Employers say that regardless of whether jurisdictional disputes are linked to contract negotiations, such conflicts affect terminal operations. They say that if the ILWU wants to show that its jurisdictional dispute at Long Beach is unconnected to contract negotiations, the union should drop its public-relations campaign against SSA and refrain from what employers say have been work slowdowns at SSA terminals.

Some employers say they prefer to use Machinist workers for maintenance and repair of equipment because the union's members are better trained. Crosatto said longshoremen

who repair machinery go through "quick-and-dirty" training classes that do not adequately prepare them to repair sophisticated equipment.

Even some employers who would like to hire the machinists say they are afraid to do so because of the power the ILWU has over their core operations of loading and unloading vessels. Crosatto also agreed that many employers are afraid to buck the ILWU.

SSA reportedly offered to hire ILWU workers at the former Hanjin terminal in Long Beach. However, when the ILWU demanded that its maintenance and repair workers receive 'nine hours' pay for each eight-hour workday, SSA reportedly turned the work over to the Machinists union.

The Machinists don't have a coastwide contract with terminal operators, but in some contracts the machinists earn a higher base wage than ILWU workers are paid, Crosatto said. And he said Machinists union members don't demand pay for time not worked. "When you hire the ILWU," he said, "you get the ILWU work ethic." ■

All days aren't so easy

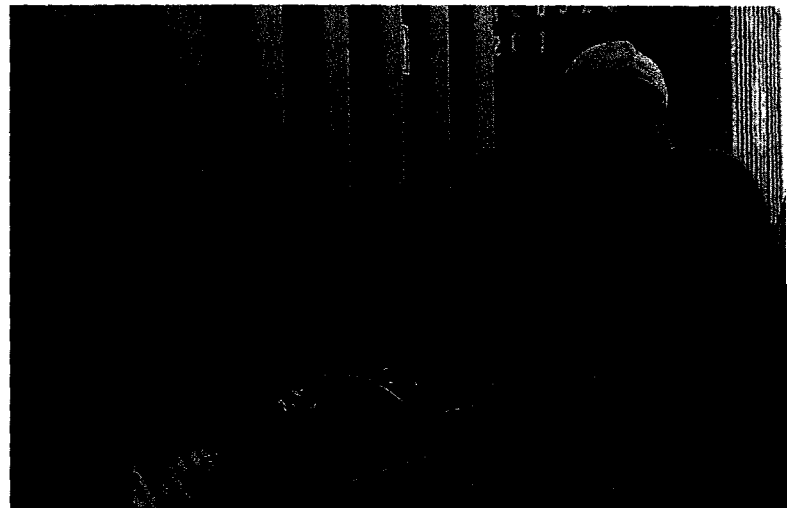
Container haulers at Port Newark-Elizabeth never know when they'll have to wait in long lines

BY CHRIS DLJPIN

Eddie Richardson downshifts as he approaches the Interport depot on Delancy Street in Newark. A driver for the intermodal trucking company Pig-Tainer, he's come to drop off an empty Cosco container and wants to make sure he's going to the right place. For a drayman, paid by the trip, time is money. If Richardson makes a mistake, he could find himself waiting for hours in the wrong line.

Following instructions from his dispatcher, he guides his rig over a rutted gravel road that snakes under the New Jersey Turnpike. Hand-painted signs direct him to a giant stack of containers in a marshy area just outside Port Newark. He's in luck: This morning there's no line at the empty-container depot. He's able to drive in, drop off his box and get out in less than a half hour.

Many days, however, things don't work out so well. In recent years, truck congestion and long lines have been a recurrent problem at the Port of New York and New Jersey.



Pig-Tainer's Eddie Richardson checks the connections on his rig. On this day, at least, congestion around Port Newark was at a minimum.

PORTS/INTERMODAL

Terminals have been undergoing reconstruction, and longshore labor shortages have slowed productivity, reducing the number of trucks that can be handled.

Trucker complaints about delays have increased. "The whole port is in a meltdown," said Dave Cannill, director of MTI Inc. in Elizabeth. "A guy used to be able to make two or three trips a day and four on a very good day. Now they are lucky if they can do one—a great day would be two."

Canill said that during the last year he has lost 10 to 15 drivers, about 20 percent of his work force, because of congestion in the port. Some drivers, tired of having to wait as long as five hours to pick up a box, are going into domestic trucking or getting out of the business. "Productivity is at an all-time low," agreed Jeff Bader, president of Golden Carriers in Hillside, N.J.

Brian Maher, chief executive of Maher Terminals, blames a shortage of longshore labor. He said delays that truckers have faced this summer and fall "are all attributable to the shortage of labor. We have plenty of land, plenty of equipment, plenty of space."

In the Port of New York and New Jersey, the size of the longshore work force is regulated by the Waterfront Commission of New York Harbor. In July the commission agreed to allow 753 new workers to be hired, but Maher said worker shortages persist, aggravated by summer vacations.

Frank M. McDonough, president of the New York Shipping Association, which represents employers of unionized longshoremen in the port, said it will take months for all of the new longshoremen to be hired, pass background checks and be trained. When the terminals are operating with full work forces, truck lines should diminish, officials say.

Meanwhile, some terminals have taken steps to smooth the flow of trucks. Maher has set up a special recording for customers, telling them where to drop off boxes. Mike Chmiel, head dispatcher at Pig-Tainer, calls the Maher number to find out where to direct his drivers. Not all terminals have such a recording, and sometimes a driver may show up at a terminal only to be told that the terminal will not accept his container or has no chassis available.

Richardson, however, is having a good day. Before driving to Pig-Tainer's terminal in South Kearny, N.J., at 9:30 a.m., he's already carried a container from the Hunts Point produce market near his home in the Bronx to a rail terminal in Secaucus, N.J.

Now having dropped off his empty at Interport, he drives to Port Elizabeth to load a container at Maher. Richardson prefers to drop off empty boxes at off-port depots where congestion isn't likely to be a problem. But eventually, draymen have to enter the terminal to pick up loaded containers.

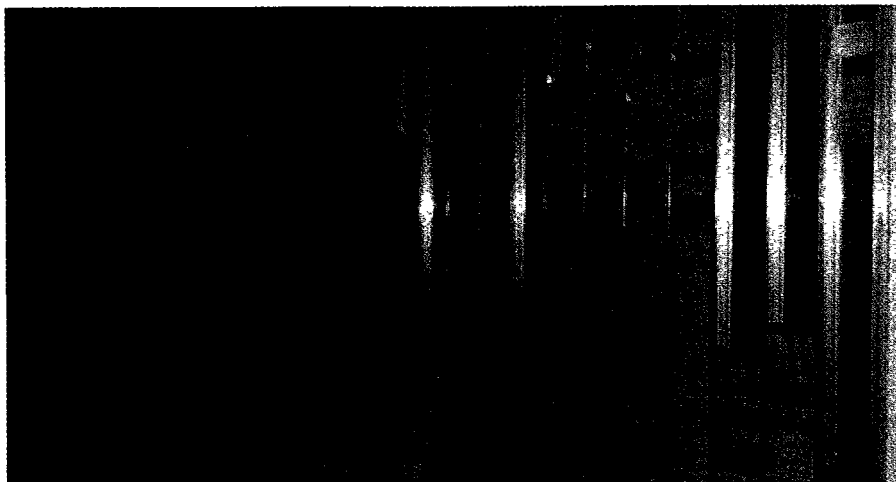
As Richardson approaches Maher Terminals, it's easy to see what truckers are complaining about. The lanes leading to the terminal gates are filled with trucks, and two dozen more are lined up on the street outside the terminal's driveway.

Despite this, trucking executives such as Cannill say that Maher runs one of the best terminals in the port. Brian Maher said labor shortages this summer forced his terminal to limit the number of trucks allowed in at a time. "Because we stayed open later than some terminals, we were getting clobbered at 5 p.m.," he said. So his terminal has had to take the anti-intuitive step of closing an hour or two earlier.

Maher said that when the new workers are added to the longshore rolls, he'd like to add a second shift that would keep his truck gates open as late as 10 p.m. He said, though, that the extended hours will have to be supported by the trucking industry to make the change worthwhile.

This morning, most of the trucks backed out onto the highway are loaded with containers. With a bare chassis, Richardson knows he is permitted to enter the terminal in a separate lane. He drives past the dozens of other trucks waiting to enter the port with loaded chassis. Pulling up to a speaker box, he recites his bill-of-lading number to a clerk at a remote facility. The clerk keys in the information and the machine spits out a card. Richardson reaches for it and drives to another booth, and is directed to a lane where the container will be loaded.

As he waits for the container to be delivered, he can see the idle straddle carriers that Brian Maher said he would have been operating if he had sufficient workers. Still, this has been a good day for Richardson. In less than two hours he's back at the gate, waiting to leave the terminal with his loaded container. Richardson realizes how lucky he has been, and asks, "Do you think I should play the lottery tomorrow?" ■



Some terminals, including Maher, have a recording for customers that tells them where to drop off containers. Mike Chmiel, head dispatcher at Pig-Tainer, uses the number to direct his drivers.

PORTS/INTERMODAL

End of the line(s)?

Terminal operators in California may not like the idea, but they realize that an appointment system for truckers is inevitable

BY BILL MONGELLJZZO

Until about two months ago, Ed DeNike opposed the idea of an appointment system for truckers calling at marine terminals. "It is very difficult to make an appointment system work," said DeNike, chief operating officer of Stevedoring Services of America.

But SSA and other terminal operators at California ports may have no choice but to implement a trucker appointment system by early next year. "If for no other reason, it's because of the Lowenthal bill," DeNike said.

Assemblyman Alan Lowenthal, D-Long Beach, got terminal operators' attention this year when he introduced a bill in the California Legislature that would fine them \$250 for every truck that must wait in line for more than 30 minutes. On busy days, SSA terminals in Southern California handle 2,000 truck moves. That's a potential liability of \$500,000 a day in a port complex where trucks regularly wait in line for an hour or longer. "With that kind of exposure, it will force us to have some kind of appointment system," DeNike said.

Lowenthal's bill continues to progress through the California Legislature. Its chief sponsor, the California Trucking Association, predicts that the bill will be on the governor's desk by the time the legislative session ends late this month. The American Trucking Associations Intermodal Conference cites the California bill as model legislation that will likely be picked up by other states if it passes in California.

Terminal operators concede that even if the Lowenthal bill is not passed, appointment systems for truckers are probably inevitable. Phillip Wright, West Coast vice president at Zim-American Israeli Shipping Corp., said terminal operators require a method of forecasting gate volumes each day. An appointment system, imperfect though it might be, is probably the best solution the industry can come up with at this time. "If we can see what the demands on our terminal will be, then we can put our resources where they're needed most," he said.

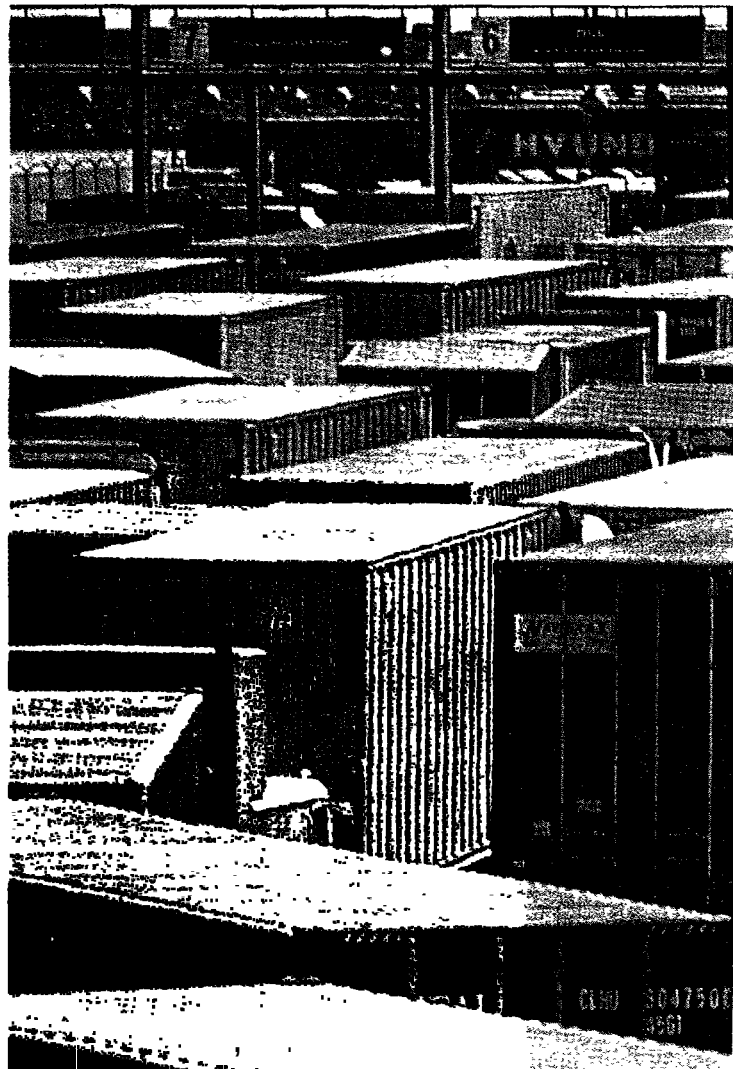
Some terminal operators have developed proprietary scheduling systems for their customers, but no U.S. port has a system through which trucking companies can access all container terminals through a single portal. That could change next month when eModal.com in Los Angeles-Long Beach launches its system known as the Scheduler.

John Cushing, eModal president, said he expects Maer-

sk Sealand to begin using the Scheduler in September at its new terminal in Los Angeles. SSA should follow shortly afterward at its Pacific Container Terminal in Long Beach, Cushing said.

Cushing emphasizes that the Scheduler has been under development for more than a year. "It was pre-Lowenthal, pre-anything political," he said.

Founded almost three years ago, eModal has operations at 46 terminals in 14 ports in the U.S. The basic eModal



Terminal operators will bear much of the cost of an appointment system for truckers.

product allows truckers to electronically check on the availability of containers at the harbor. For example, a trucking company can determine if a specific container has arrived in port, has cleared Customs and is mounted on a chassis and ready to be picked up before the dispatcher sends a driver to the terminal.

The Scheduler will be added to the basic eModal schedule of services to allow terminals to assign definite times for truckers to pick up containers. Even supporters of the appointment system concept, such as the California Trucking Association, say the Scheduler will have to overcome some significant operational hazards in order to prove itself. "A learning curve needs to take place, but we have to move forward," said Patty Senecal, vice president of sales at Transport Express and chairman of the intermodal committee of the California Trucking Association.

Terminal operators will bear much of the cost of establishing an appointment system for truckers. To use the Scheduler, terminals will pay eModal a flat monthly fee. They also will have to assign enough longshoremen to the

gate and yard operations to ensure that containers are pre-mounted and ready to roll when the trucker arrives to pick up the assigned box. Terminals may have to operate a second shift at busy ports, and that would automatically add \$20 to the cost of handling each container just to cover the higher wages paid to longshoremen for shift work, DeNike said.

In return, terminal operators will expect that truckers arrive on time. DeNike said that if an appointment system is going to work smoothly, truckers must arrive within an hour of their scheduled time.

But Seneca1 said that truckers would not participate in a terminal's appointment system with such a narrow window of operations. Truckers say that because of the congestion on many California roads, windows should begin at 24 hours, and as the bugs are worked out of the system, they can be reduced to four hours.

Terminals that use eModal's scheduling system will be free to set whatever pick-up windows they wish, but the Scheduler will assist them in the planning process, Cushing said. Terminal operators will be able to plan their scheduling system based on zones, capacity and time intervals.

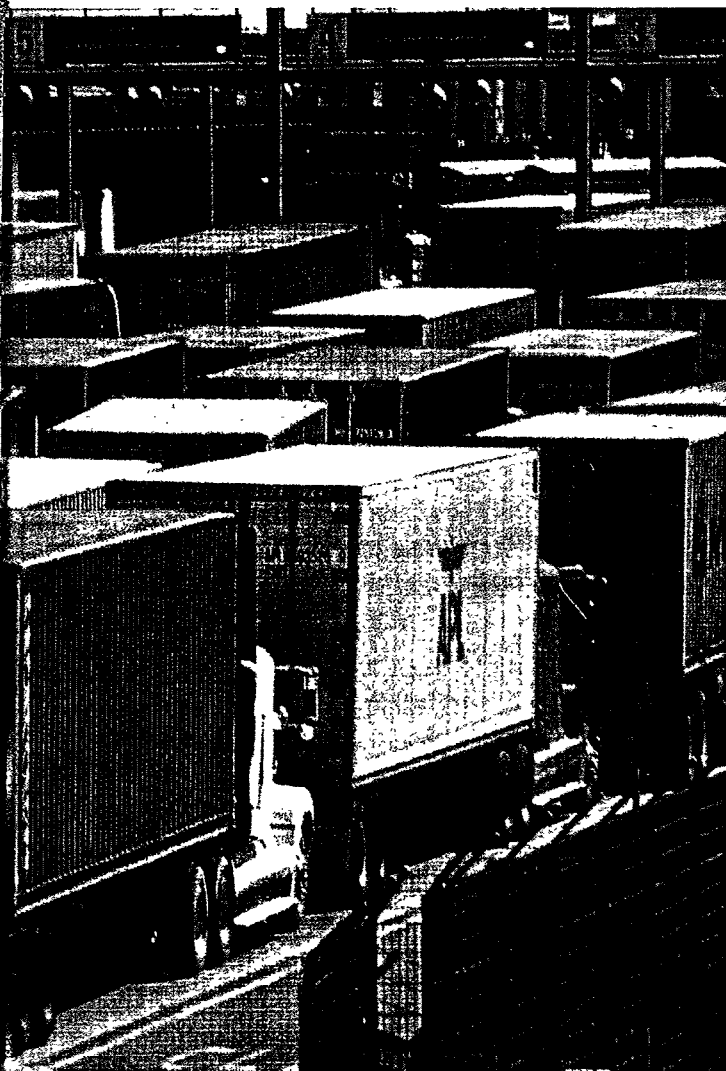
For example, a large terminal may divide its facility into three zones. It may determine that each zone has the capacity to process 80 trucks per hour. As trucking companies contact the terminal electronically with requests to pick up specific containers at specific times, they will be assigned a scheduler number. When the capacity of a zone is filled for a certain booking period, the trucker will be assigned to another time.

This system, which has been modeled extensively in the eModal laboratory, should allow terminal operators to schedule only as many appointments as they can accommodate in a given time period, Cushing said.

Terminal operators remain skeptical; Now, even truckers with a firm appointment arrive late or without the necessary documentation. In busy ports such as Los Angeles-Long Beach, which has 14 terminals, terminal operators say the archaic International Longshore and Warehouse Union dispatch system makes it almost impossible to get marine clerks to the job on time. Marine clerks process truckers into and out of terminals.

Marine Terminals Corp. has its own electronic access system known as Voyager. Truckers that use the system properly should always arrive at the terminal with the correct documentation, but 12 percent of the drivers are sent to the trouble window because of inaccurate paperwork or other problems, said Marine Terminals President Douglas Tilden.

If the Lowenthal bill passes, terminals that can process 250 trucks per hour will restrict appointments to a much lower number rather than risk paying a \$250 fine for every truck that waits in line for more than 30 minutes, Tilden said. "The reality is, an appointment system will reduce terminal velocity," he said. ■



Will they pay?

Port authority studies whether to charge for online information system

BY BILL MONGELLUZZO

Sept. 30 is a critical date for companies operating in the Port of New York and New Jersey. For the last 11 months, they've enjoyed free use of First, an Internet portal service that provides current information on conditions at the port's marine terminals. But the free ride may be about to end — during the next month, the port authority will decide whether to continue subsidizing the program when the initial contract expires.

First is the acronym for First Information Real Time System for Transport. It's used by more than 1.50 shipping lines, shippers, terminal operators, truckers and customs brokers to share information. It was developed by Americas Systems Inc., which hopes to introduce similar portals in other ports.

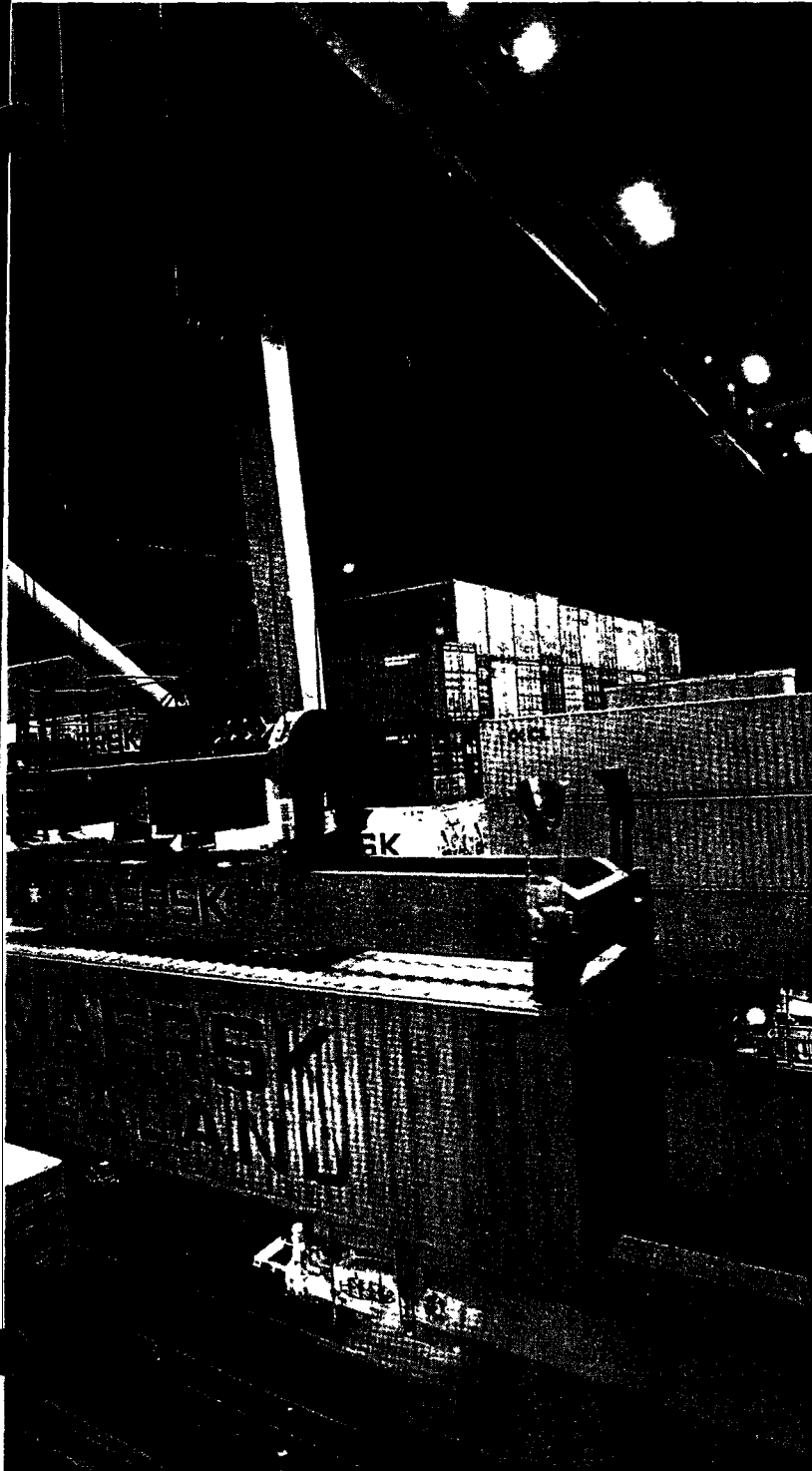
Customs brokers and truckers use First to access current information on such issues as container availability, truck lines at marine terminals and congestion on harbor-area roads. The information helps companies to avoid long lines and to save money by dispatching drivers only when containers are ready for pickup. "It's a good thing for the Port of New York," said Matt Brauner, vice president of Brauner International Corp., a Jersey City, N.J., freight forwarder and customs broker.

But as Sept. 30 approaches, the question is whether users will be willing to pay to use First. The port authority would like for First to become self-supporting. The agency is trying to decide whether to subsidize First for another year or to start charging for it after September.

There's widespread support for the system as long as it's free. A pay-per-use system, though, may be a different story. "I don't know who will use it if it isn't available for free," Brauner said.

Steven Bushey, president of Americas Systems, a Murray Hill, N.J., company that specializes in transportation technology, said First is an effort to eliminate information gaps that add to costs of port users. "We're still using an awful lot of paper," he said.

Documents are still faxed back and forth between terminals and truckers or brokers. Many trucking dispatchers call container terminals on the phone to find out whether containers are ready for pickup. When late charges are due on previous shipments, unsuspecting drivers must wait in long lines before a container is released to them.



The port authority hopes ocean carriers will participate in First because they generate much of the documentation used in the harbor.

MAERSK SEALAND

First automates these transactions. Many users like the idea of a one-stop community portal — as long as it's free. If the port authority quits underwriting the cost, "I guess we'll go back to the **telephone**," Brauner said.

Besides the cost, some users worry that First represents yet another electronic information system that must be provided with data. For terminals and other companies that operate in multiple ports, the proliferation of web portals and other electronic information systems has become a problem. The systems require different kinds of information, often in different formats.

Port authority officials acknowledge that cost is an issue. Shipping lines have invested heavily in **websites** and online portals such as Intra and GT Nexus. Importers and brokers pay customs user fees. Harbor truckers must pay state and federal licensing fees. Supporting First would be yet another cost, and some companies are not prepared to pay for the benefits of a community portal. "It's a business decision," said Karen Ryan Tobia, the port authority's manager of technical planning and project manager for First.

The port authority's strategy is to get the major terminal operators in New York-New Jersey on board, and then hope hundreds of truckers, brokers and other port users will follow.

Bushey of Americas Systems noted that most trucking companies call regularly at more than one terminal. "Clearly, the more terminals that sign on, the more beneficial it is for truckers who use multiple terminals," he said.

So far, however, only **Howland Hook** and Port Newark Container Terminal are actively providing information through First. Tobia said she believes **Maher** Terminals and Global Stevedoring will commit to First. Brooklyn-based American Stevedoring participated for a while, but discontinued for technical reasons and is expected to come back, she said. **Maersk Sealand** is "under discussion," she said.

Customers can continue to use electronic data interchange to gain access to terminals' proprietary online portals systems via electronic data interchange. It's just that they will access the terminal systems through First. "First is an ED1 engine. It's an umbrella system — a one-stop shop," **Bushey** said.

In addition to trying to get terminals to participate, the port authority is talking to the dozens of shipping lines that call in New York-New Jersey because they generate much of the documentation that is used in the harbor, Tobia said.

Shipping lines have been cautious about committing to First. They operate at multiple ports and don't want to have to pay to use community portals at each one. Furthermore, carriers already file information electronically to Customs and other government

agencies. For them, First would mean yet another data feed.

First may have to offer other services to enhance its attractiveness. Trucking companies, for example, want detailed information when it comes to container availability. Knowing whether a container is ready for pickup is not enough. If the container is not available, harbor truckers must know the reason why so they can do what is necessary to obtain release.

A private operator, eModal.com, operates community portals on the West Coast and at other ports, and will launch a trucker appointment system next month in Los Angeles-Long Beach. First is equipped to offer a truck scheduling system if the New York-New Jersey maritime community wants one. "We have in place now the basic foundation for a trucker appointment system," Tobia said. ■

Texas-sized channel

Fort of Freeport takes first steps toward possible deepening to 60 feet

BY JANET PLUME

The Port of Freeport, Texas, is thinking big. It already has a 45-foot-deep channel that is among the deepest on the Gulf Coast. Now port officials are trying to launch an effort to deepen the Brazos River Ship Channel to 60 feet and widen the 400-foot channel entrance to 900 feet.

"It would have a long-term economic impact on the region," said Pete Reixach, the port's executive director. "We're in Congress now trying to get seed money, about \$500,000, to kick off a feasibility study." The Corps of Engineers has contracted with Gulf Engineers & Consultants of Baton Rouge, La., to talk to port users about the proposal.

Reixach estimates the full feasibility study will cost about \$5 million, with the entire deepening project cost-

ing \$300 million to \$400 million. The primary beneficiaries would be shippers of liquid-bulk cargo. "The driving factor is the 26 million to 28 million tons of crude petroleum that is imported annually through the private facilities here," Reixach said.

Very-large crude carriers now must anchor offshore and transload their petroleum cargoes into smaller vessels. "When you start talking about eliminating the lightering operation by deepening the channel, it's a huge cost benefit for the crude carriers," Reixach said. "You also eliminate any environmental risks that accompany the lightering operation."

In recent years, Port **Freeport** has expanded its bulk cargo base to include cargoes such as bananas and bagged cargoes. Reixach said a deeper

Big win for truckers

California bill awaiting governor's signature would make terminals responsible for providing safe intermodal chassis

BY BILL MONGELLUZZO

Frustrated by lack of federal action to ensure that terminals provide safe intermodal equipment, truckers have taken their fight to the state level. Last month they scored their biggest victory yet. The California Legislature gave final approval to a bill requiring marine terminals to certify the safety of their intermodal chassis, and to pay any fines that truckers receive for operating defective chassis.

The "roadability" bill, which Gov. Gray Davis is expected to sign by the end of September and which would take effect Jan. 1, is likely to set a pattern for trucker-supported legislation in other states.

The bill, introduced by Sen. Gloria Romero, D-Los Angeles, represents a major victory for truckers and the Teamsters union, two interest groups that also persuaded California lawmakers to pass the Lowenthal bill. That legislation will impose \$250 fines on marine terminals each time a truck is forced to wait in line more than 30 minutes at a marine terminal.

The roadability legislation and the Lowenthal bill will have far-reaching impact. According to PIERS, the Port Import/Export Reporting Service of the Journal of Commerce, 43 percent of the loaded containers in U.S. international trade pass through the ports of Los Angeles, Long Beach and Oakland. About half of those move to and from destinations in the eastern half of the country.

California is not the first state to enact legislation to protect truckers against being supplied with unsafe equipment. South Carolina, Louisiana and Illinois have passed roadability legislation, and bills have been proposed in New Jersey, Pennsylvania, Florida, Virginia and Texas.

Ship lines and terminal operators say California's legislation provides them with further incentive to get out of the business of supplying chassis to truckers and shippers. The U.S. is the only major market where the steamship industry supplies chassis. In Europe and Asia, trucking companies or forwarders usually supply them.

Ed DeNike, chief operating officer at Stevedoring Services of America, said that even now, it costs about \$2,200 per unit per year to depreciate, license, insure, maintain and repair chassis. He said the California legislation will increase costs further by adding to the liability of terminals and shipping lines.

Tony Scocia, president of APM Terminals, the terminal-operating unit of A.P. Moller, said the Increased liability will



Carriers and terminal operators say California's legislation gives them further reason to get out of the business of supplying chassis.

encourage carriers to look seriously for someone else to supply chassis — a step he has advocated for years.

Shipping lines say trucking companies are the logical entity to supply chassis. However, harbor trucking companies operate on slim margins and are notoriously cash-poor. The owner-operators who contract with harbor trucking companies have even less money. U.S. motor carriers say

TOM PAVA PHOTOGRAPHY

PORTS/INTERMODAL



Members of the International Longshore and Warehouse Union perform maintenance and repair on chassis at West Coast ports.

they cannot afford to own and maintain chassis, as their counterparts in Europe do.

Costs are especially high at California ports, where chassis maintenance and repair at West Coast ports is performed by members of the International Longshore and Warehouse Union. Greg Steffle, a trucking executive and attorney who does consulting work for the California Trucking Association and American Trucking Associations, said outside firms could do the work for about half the cost.

Some shipping lines have discussed getting out of the business by selling their chassis to trucking companies for \$1 apiece. Others say it would be easier to give them the chassis and take the tax write-off. Truckers dismiss such talk as fanciful.

"Where would we put them?" said Stephanie Williams, vice president of legislative and regulatory affairs at the California Trucking Association. Williams said that marine terminals have large facilities for storing containers and chassis. Trucking companies don't.

Truckers and the Teamsters union argue that drivers are forced to accept unsafe chassis and get stuck with the fines when they are ticketed by police after leaving the terminal. Terminal operators note that under the Uniform Intermodal Interchange Agreement, drivers have the right to reject unsafe chassis, but truckers say they have little or no opportunity to inspect chassis at busy marine terminals.

Representatives of the **ocean** shipping, railroad, trucking and intermodal leasing industries have been meeting regularly for a year to devise a national solution to the roadability issue, said Joni Casey, president of the Intermodal Association of North America. "IANA's position is that this is a private-sector issue and has to be resolved by the private sector," Casey said.

The California legislation could encourage the private

sector to act sooner instead of later.

The issue dovetails with continuing discussion over whether terminals should improve capacity by stacking containers or operate with a "wheeled" system in which each container sits on its own chassis. A wheeled operation enables truckers to get in and out of a terminal more quickly than if they have to wait for longshoremen to retrieve containers from a stack and place them on chassis.

Tom Ward, a partner in Jordan Woodman Dobson, an Oakland marine architectural and engineering firm, said that if shipping lines and terminal operators exit the chassis business, large retailers that demand wheeled operations at busy California ports may have to supply the chassis. Retailers are unlikely to willingly accept the cost and liability of chassis ownership.

If truckers own the chassis, they're likely to demand different operating practices. They'll probably insist that containers be loaded and unloaded at off-dock consolidation or deconsolidation warehouses while drivers are paid for waiting. Harbor truck drivers are paid by the trip, not by the hour.

Another option would be for the warehouse operator to lift the container off the chassis so the trucker could return the chassis to the harbor to pick up another load. But Ward said that would raise a new set of problems: Would warehouses be willing to invest in equipment to lift containers on and off chassis? And could warehouse loading docks be redesigned to unload containers?

Williams of the California Trucking Association said threats by shipping lines to get out of the chassis business are similar to the threats they made after introduction of the Lowenthal bill. "It's bully talk," she said. Shipping lines should work with the trucking industry to find a mutually agreeable solution instead of having an "I'm-going-to-get-you" attitude. ■

Start the clock

Lowenthal bill provides impetus for California terminals to establish appointment systems and to extend gate hours

BY BILL MONGELLUZZO

Marine terminal operators still don't like the Lowenthal bill, which would subject them to a \$250 fine each time a truck has to wait in line at their terminals for more than 30 minutes. But now that it has passed the California Legislature and has been sent to Gov. Gray Davis, they're trying to adjust.

"We're not happy with it," said Tony Scioscia, president of APM Terminals North America, the terminal operator for Maersk Sealand. But, he added, "We'll do what we have to do."

One thing that terminal operators almost certainly will do is establish appointment systems for truckers, so that they don't have to wait in long lines. "Every terminal operator should have an appointment system," said Ed DeNike, chief operating officer of Stevedoring Services of America, which operates several container terminals in Los Angeles-Long Beach and Oakland.

APL Ltd. is considering extended gate hours as well as an appointment system, and may end up with a combination of the two strategies, said William Hamlin, president, North America region, for APL Ltd. "Each terminal must determine what works for them," he said.

The legislation, which Gov. Gray Davis is expected to sign, will take effect Jan. 1. It was introduced by Assemblyman Alan Lowenthal, D-Long Beach, with the support of organized labor and the California Trucking Association. The Teamsters union is preparing to push for similar legislation in other states. "I think they will drop bills in Washington state and New Jersey," said Stephanie Williams, vice president of legislative and regulatory affairs at the California Trucking Association.

There has been some suggestion that port authorities in other states might use the legislation as a marketing tool to divert cargo from other ports. But they may have a difficult time fending off similar bills in their own states. The California Trucking Association cleverly wrote the bill as environmental legislation designed to reduce diesel emissions. Port communities across the country have become increasingly sensitive to clean-air issues as trade volumes have grown.

Truckers and terminal operators have been at odds for years over delays that force drivers to wait in long lines outside terminal gates. At busy Southern California ports, those waiting times regularly exceed one hour and often extend to two or three hours. Busy terminals process 1,000 to 3,000 gate moves a day, so the \$250-per-truck fines will add up quickly. "This

will cost big money," DeNike said.

In its final form, however, the Lowenthal bill wasn't as onerous as terminal operators had feared. "Most terminals will be able to comply," said Thomas Ward, a principal in the marine architectural and engineering firm Jordon Woodman Dobson, which designs terminal operating systems.

Last-minute amendments provided terminals with exemptions that they may be able to use to minimize fines.

The simplest way to avoid costly fines is to extend terminal gate hours — something harbor truckers have sought for years. Under the bill, terminals in Oakland that run "adequately manned gates" at least 65 hours each week will be exempt from fines. Terminals in Los Angeles-Long Beach must open their gates at least 70 hours a week to qualify for the exemption.

This option, however, is costly. It



TOM PAIVA PHOTOGRAPHY

Waiting times at busy Southern California ports regularly exceed one hour and often extend to two or three hours.

PORTS/INTERMODAL

would require a combination of night gates and at least one weekend gate. Under the International Longshore and Warehouse Union contract, longshoremen working night and weekend gates earn as much as 1.6 times the base hourly wage of \$27.68. The "hoot owl" shift of 3 a.m. to 8 a.m. is the most popular with trucking companies, but terminals are required to provide longshoremen with eight hours of pay for the five hours of early-morning work.

The Lowenthal bill also specifies that terminals that implement an appointment system for trucks will not have to pay fines for any truckers that fail to participate in the system. Terminals will be fined only for truckers who show up within one hour of their appointed time and must wait in line for more than 30 minutes.

Establishing appointment systems and special lanes for truckers with appointments is easier said than done. No terminal operator now has a full-service appointment system that can serve as an industry model, Hamlin said.

Some terminal operators, such as Marine Terminals Corp., have software systems for gate operations that can be modified to accommodate an appointment system. The commercial software company eModal.com is preparing to unveil the Scheduler, a trucker-appointment system. Also, SSA since 1998 has operated an appointment system for inbound containers at its Pacific Container Terminal in Long Beach.

An effective appointment system requires participation by all parties in the intermodal chain — the shipping line, terminal operator, customs broker, trucking company and especially the importers who will have to extend their hours of operation beyond the traditional 8 a.m.-to-5 p.m. work schedule.

Terminal operators in California will have help in developing measures to comply with the legislation. Lowenthal is establishing an industry working group to discuss best practices. The Steamship Association of Southern California is prepared to work with its members to share experiences on measures that work, said Tim Parker, executive secretary. "I am confident terminal operators will rise to the occasion," he said.

JWD's Ward sees terminal operators falling into three categories:

- Low-volume terminals that do not have long lines and won't have to change their operations.
- Terminals that believe an appointment system is unworkable, which will extend their gate hours.
- Terminals that have the technological capability to opt for the least-expensive measure, which is an appointment system.

Mega-terminals that have opened in the past year have built-in efficiency measures such as extra gate lanes and separate entrances for loaded and empty containers. Maersk Sealand's new Pier 400 in Los Angeles has two gate complexes with a total of 56 truck lanes.

Trucking industry executives view extended gate hours as the solution for busy ports such as Los Angeles-Long



The Lowenthal bill exempts terminals from being fined for events beyond their control such as a labor action by marine clerks.

Beach, but they see the appointment system as an adequate initial step. "The really good terminals that care about productivity will produce a good product," said Greg Steffle, chief executive of the Imagine Transport Group in Long Beach and an attorney who does consulting work for the California and American trucking associations.

When shipping lines and terminal operators were fighting the Lowenthal bill this year in Sacramento, they complained that they have no control over when the trucks arrive at their facilities. The appointment system is viewed as a tool for such control.

The terminals also complained that they have no control over their own labor, with longshoremen regularly reporting late to their jobs because of an archaic dispatching system. They also warned that the bill would give the ILWU extraordinary leverage over terminal operators. If marine clerks who regularly work the gates at certain terminals want to put pressure on an employer, they can slow operations by calling in sick and forcing the terminal to hire part-time workers who would require an hour of on-the-job training.

The Lowenthal bill contains a provision to help terminal operators prevent such hard-nosed tactics. The bill exempts terminals from being fined for events beyond their control, such as an earthquake or a labor action. Williams said modern software allows terminals to crack their daily operations and prove that a job action such as a sick-out or slowdown has occurred. ■

PORTS/INTERMODAL

'Perfect Storm' at NY-NJ

Maher Terminals works to ease trucker congestion

BY WILLIAM ARMBRUSTER

The truck drivers were upset. They'd been waiting in line for hours outside **Maher Terminals** in Elizabeth, N.J. Frustrated at the pace of International Longshoremen's Association workers at the gate, the drivers began honking their horns. An ILA worker responded by dropping his pants and "mooning" the drivers.

The incident was a vivid, if crude, demonstration of the current level of tension among truckers, dockworkers, forwarders and others involved in moving containers in and out of the Port of New York and New Jersey.

An unusual confluence of events has led to unusually severe congestion at **Maher Terminals**, the port's largest terminal. An explosion of peak-season imports, the closing of the former Maersk Universal terminal and the addition of several new all-water services linking the East Coast and Asia via the Panama Canal have combined to create the massive congestion.

"We find ourselves in our own version of 'The Perfect Storm,'" said Joe Curto, vice president of operations at **Maher Terminals**.

Long Wait For Truckers. The congestion is felt acutely by drivers, who have to wait hours to pick up chassis or loads. But shippers, forwarders and customs brokers also are feeling the effects. **Maher** is taking steps to relieve the congestion, but the problems persist.

"It's ridiculous," said Ken Kerr, a truck driver from **Watchung**, N.J., as he waited in line for a chassis inside **Maher Terminals'** Fleet Street terminal on a recent Friday morning.

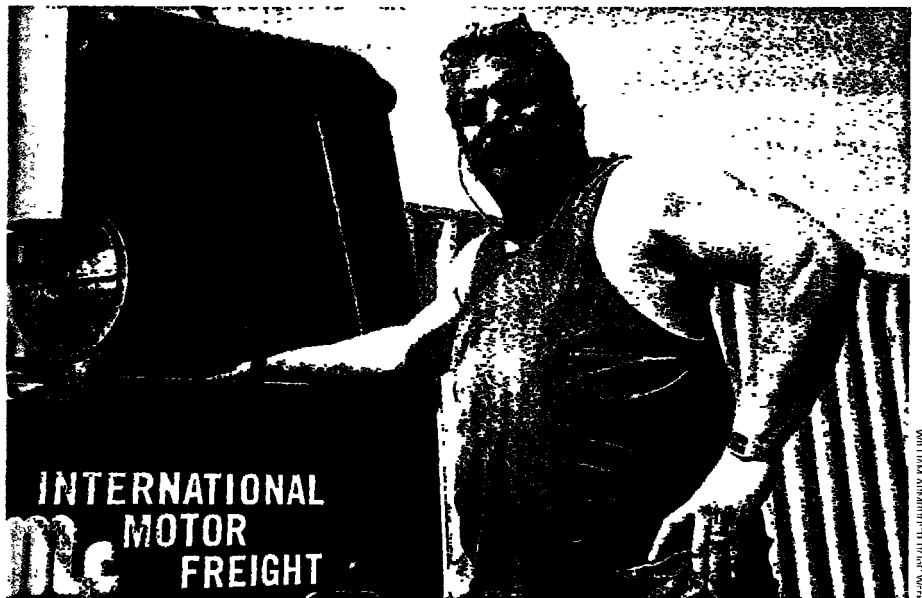
Kerr's sentiments are shared by thousands of other drivers who pick up and deliver containers at the port com-

plex. Some that morning had already been waiting four hours just to pick up a chassis. After that, they had to get into another line to pick up the container.

"This has been extraordinary. We haven't had this kind of dilemma in the past," said Lillian Borrone, director of port commerce for the Port Authority of New York and New Jer-

sey. Universal terminal in Port Newark at the end of March when it consolidated operations at the former Sea-Land terminal in Elizabeth, the site of its planned mega-hub for the Northeast. But Curto said the big crunch didn't come until June, when shipments for the holiday shopping season began to arrive.

In addition, carriers such as China



Ken Kerr, a trucker waiting in line at **Maher Terminals**, says the delays are 'ridiculous.'

sey. Like Curto, Borrone attributes the delays to tremendous growth in trade and to the shutdown of the Maersk Universal terminal.

"It's an unfortunate situation for everyone involved, particularly for the truckers," said Brian **Maher**, chairman of the terminal operator.

Drivers aren't the only ones complaining. "Pick-up and delivery conditions have been horrendous," said Ray Gorman, sales director for Merzarzio USA, a forwarder and customs broker.

Maersk Sealand closed the Maeisk

Ocean Shipping Co., China Shipping Group, CMA-CGM and Evergreen Marine Corp. have launched new all-water services between the Far East and the East Coast, ironically designed in part to avoid congestion at West Coast ports.

The congestion is hitting truckers especially hard. Kerr, who drives for International Motor Freight, is relatively lucky. He gets paid by the hour, unlike owner-operators, who are considered to be self-employed independent contractors and are paid by the



Joe Curto

load. With the surge in congestion at the port, the independent drivers may get to handle only one load a day — a day that may stretch from 6 a.m. until 10 p.m. “I feel sorry for the owner-operators. They can’t make ends meet. They’re burning more fuel than they’re making money,” Kerr said.

“Coming here, we don’t make any money,” said Eddie Gentile, an owner-operator from Linden, N.J., who reported that his average wait at the Maher Fleet Street terminal in the last two months has been five to six hours.

Who’s To Blame? Richard York, a driver from Colonia, N.J., blames the terminal operator for the delays. “They took on too much work. They can’t handle it here,” he said.

Brian Maher rejects that criticism. “It was primarily the closing of the Maersk Universal terminal that created the dislocation,” he said.

When Maersk Sealand gave notice to Hanjin that it would no longer be able to handle the South Korean carrier’s business, Maher agreed to take the business because of its contractual relationship with Yangming Marine Transport, Hanjin’s alliance partner.

Brian Maher said the problem was aggravated by the port authority’s delay in reaching new lease agreements with its tenants. “The port is two to three years behind where it intended to be in terms of reinvestment. If leases had gone forward in 1997 and 1998, there would be a whole different configuration to the port and

there would already have been substantial investments in infrastructure and equipment to handle the increased volume,” he said.

Maher and the port authority are responding to the surge in traffic with several steps designed to ease the delays. Maher opened an import delivery facility at Berth 57 at the former Maersk Universal terminal on July 17. Some vessels will be unloaded there and then moved to Fleet Street for loading.

In addition, on July 31 the company plans to open an off-terminal depot for empty containers at the Interport yard in Newark.

“We think those two steps together will normalize the trade,” said Maher.

Maher is also considering keeping its gates at Fleet Street open until midnight. The gates are currently open from 6 a.m. to 4 p.m. For awhile, Maher had kept them open until 6 p.m., but by the time trucks were actually able to make their pickups, it was 10 or 11 p.m. And sometimes they were turned away before they could make the pickup.

Kerr notes that one day he waited from 2 p.m. until 10:45 p.m., only to be told that the terminal was closing for the night.

Al Cernadas, executive vice president of the ILA and president of Local 1235 in Newark and Elizabeth, said his members are doing the best they can to expedite the movement of trucks waiting for pickups. “There’s been no slowdown,” he said.

Meanwhile, the Waterfront Commission of New York Harbor recently approved a request by the New York Shipping Association to add 481 dockworkers in the port. But even when those jobs are filled — a step that may take another month — employers might request approval to hire another 100 longshoremen, Curto said.

Maher, P&O Ports and an auto processor are all occupying parts of the

“I feel sorry for the owner-operators. They can’t make ends meet. They’re burning more fuel than they’re making money.”

Ken Kerr
*International Motor Freight
truck driver*

Maersk Universal terminal on a temporary basis, the facility’s future disposition remains up in the air. P&O Ports, Hanjin and a consortium led by American Stevedoring Inc. are all jockeying for the rights to operate the 160-acre piece of real estate.

Asked when that situation will finally be resolved, Borrone sighed and said, “My hope is that by the September board meeting we would be ready to bring it before the board.” That meeting is scheduled for Sept. 28. The truckers can only hope that the steps being taken by Maher Terminals will have long since eased their situation by then. ■

Notice to the Shipping Public

Based on further changes in fuel costs, the United States South Europe Conference announces, on behalf of its Members PONL and Maersk Sealand, that its present Eastbound and Westbound Interim Fuel Participation (IFP) will be increased to the following levels effective 1st September 2000:

\$ 90.00 per 20 ft. Container
\$180.00 per 40 ft. Container
— all other cargo — 7.5 percent

Issued 28th July 2000
Crawley, England
44 (0) 1293 535162

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Petition No.: _____

**PETITION OF THE ASSOCIATION OF BI-STATE MOTOR CARRIERS, INC.
TO INVESTIGATE TRUCK DETENTION PRACTICES
OF THE NEW YORK TERMINAL CONFERENCE
AT THE NEW YORK/NEW JERSEY PORT DISTRICT**

AFFIDAVIT IN SUPPORT OF THE PETITION

We, the undersigned members of the ASSOCIATION OF BI-STATE MOTOR CARRIERS, INC. ("the Association"), declare the following to the best of our personal knowledge and information:

1. We, the undersigned, as owners, managers, and operators of trucking firms (hereinafter, "the truckers") routinely cause to be delivered and transported maritime containers, empty and laden, and chassis, in relation to the import/export commerce of the United States, in the New York/New Jersey Port District ("the Port") and vicinity utilizing duly licensed motor carriers under Federal Motor Carrier Safety Administration licenses.

2. For the past several years, the truckers utilizing the Marine Terminal Operators ("MTOs") of the New York Terminal Conference ("NYTC") have experienced significant delays in the pick-up and delivery of containers and other equipment at the NYTC terminals located in the Port.

3. When our trucks arrive at NYTC terminals, they are faced with a ~~time~~-consuming wait in very long waiting lines behind other truckers in the queue outside the terminal gate in order to arrive at an MTO's "point of processing," which, under current regulations included in the NYTC tariff begins the calculation of time regarding Truck Detention Penalties.

4. We estimate for the Port Newark Container Terminal ("PNCT"), that during the last year, and longer, it is our estimation that for seven (7) out of every ten (10) trucking transactions for either delivery or receipt of containers, chassis equipment, or other cargo handling, our truckers wait in the queue outside the terminal gate before reaching the processing gate. It has been our experience that the queue outside the processing gate can be from a minimum of thirty (30) minutes up to five (5) hours.

5. Recently, at the Universal Maritime Service Corp. ("UMS") terminal, which is a participating member of the NYTC, we have also witnessed long lines that result from congestion issues. We estimate for this terminal that during the last year, and longer, for five (5) out of every ten (10) trucking transactions for either delivery or receipt of containers, chassis equipment, or other cargo handling, our truckers wait in the queue outside the terminal gate before reaching the processing gate. It has been our experience that the queue outside the processing gate can be from a minimum of thirty (30) minutes up to three (3) hours.

6. Recently, at the American Stevedoring, Inc. ("ASI") terminal, which is a participating member of the NYTC, we have witnessed also witnessed long lines that result from congestion issues. We estimate for this terminal, that during the last year, and longer, for five (5) out of every ten (10) trucking transactions for either delivery or receipt of containers, chassis equipment, or other cargo handling, our truckers wait in the queue outside the terminal gate before reaching the processing gate. It has been our experience that the queue outside the processing gate can be from a minimum of thirty (30) minutes up to two (2) hours.

7. We have seen the photographs attached to the Affidavit of Mr. Dick Jones in support of this Petition that visually depict the port congestion conditions at PNCT, UMS, and AS1 terminals that are described herein. These photos generally represent port

congestion conditions at the terminals indicated, although we have seen much more congestion on many occasions.

8. Port congestion is so prevalent that the Port Authority of New York & New Jersey has recently converted the shoulder area of the road leading to the PNCT terminal gates, by paving it, to accommodate the long lines of idling trucks that form.

9. Due to the routine nature of the long queues which develop at the port, in particular at PNCT, the Port Authority of New York & New Jersey, issues notices as a safety alert "to all truckers" indicating special traffic patterns to be observed by the truckers

10. Currently, the NYTC tariff regulations do not provide for payment of Truck Detention Penalties, and the terminals do not pay Truck Detention Penalties, for the time our trucks are forced to wait in the queue before reaching the first point of processing.

11. Once a trucker enters an NYTC terminal and reaches the point of processing, the current NYTC tariff rules allow for one hundred **fifty** (150) minutes (single move) and two hundred ten (210) minutes (double move) of "free time" before Truck Detention Penalties begin to accrue.

12. Furthermore, an additional twenty nine (29) minutes are allowed before actual detention charges are applied

13. As such, the current NYTC tariff rules make it unlikely that detention charges will ever apply, and if detention charges do begin to accrue, the rules make it certain that only minimal amounts will apply, even though a trucker can routinely waste an entire working day at the terminal to pick up or load cargo.

14. With the current congestion and the associated delays, truckers are only capable of making one (1) and sometimes, but rarely, two (2) moves per day, whereas at

other non-NYTC operated terminals in the Port, a trucker may turn as many as three (3) moves per day.

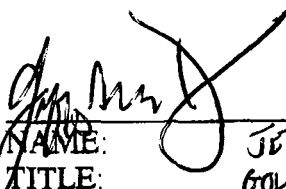
15. The delays encountered at the NYTC terminals have resulted in many of our truck drivers, especially those who are owner-operators, refusing to go to NYTC terminals.

16. The actual cost of truck detention includes truck driver compensation, additional fuel and maintenance costs, and other costs, some of which are passed on to the customer, but much of which our companies are forced to internally write-off. It is generally understood in our industry that it costs \$50 per man/truck hour to operate which underscores the need for proper compensation for Truck Detention, or better still, an improvement of port flow so that no Truck Detention charges are required.

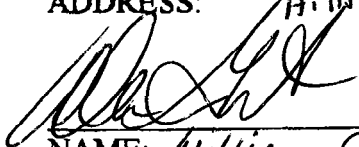
17. Finally, it is neither efficient nor cost effective for the truckers to turn their engines off and on while waiting in line. As such, each day hundreds of trucks remain idling for extended hours, causing environmental concerns.

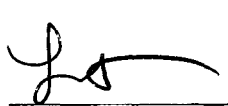
We declare, under penalty of perjury, pursuant to 28 U.S.C § 1746, that the foregoing statements are true and correct to the best of our personal knowledge and belief

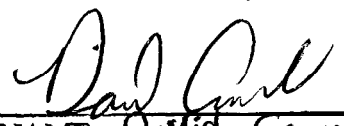
Respectfully submitted by the undersigned on this ____ day of September, 2002,

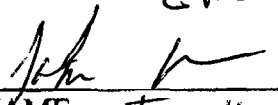

 NAME: JEFF BRADEN
 TITLE: GOLD, CARRIEN, INC
 COMPANY: 200 ROUTE 22 EAST
 ADDRESS: Hillside, NJ 07035

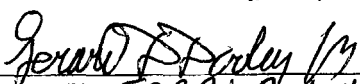
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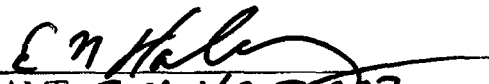

 NAME: William GRATO
 TITLE: Vice President
 COMPANY: INTL MOTOR FREIGHT
 ADDRESS: 120 TYLER ST. PONTIAC, NJ 07074

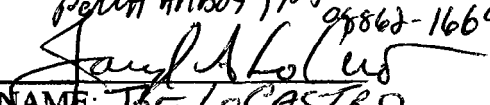

 NAME: LOU Rytow
 TITLE: agent
 COMPANY: EVANS
 ADDRESS: 1201 CONNOR ST
 ELIZABETH, NJ 07201


 NAME: David Cannillo
 TITLE: G.M
 COMPANY: MTI
 ADDRESS: 1140 C Polaris St.
 Elizabeth NJ 07201

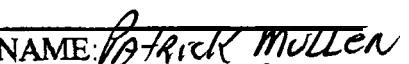

 NAME: JOHN KRUSE
 TITLE: ARE
 COMPANY: JWAY G
 ADDRESS: 639 Ramsey Ave
 Hillside NJ 07035


 NAME: JERRY OBOLEY
 TITLE: President
 COMPANY: TRANSWATS MOTOR EXPRESS
 ADDRESS: 1160 STATE ST PO BOX 1669
 Perth Amboy, NJ 08862-1669


 NAME: E N HALE
 TITLE: VICE PRESIDENT
 COMPANY: HAM INTERNATIONAL TRANSPORTATION
 ADDRESS: 700 BELLEVILLE TURNPIKE
 KENNY NJ 07032


 NAME: JOE LOCASTRO
 TITLE: EASTERN/GPS
 COMPANY: DIRECTOR OF SALES
 ADDRESS: 8501 HEGGERMAN ST
 Philadelphia, PA 19136

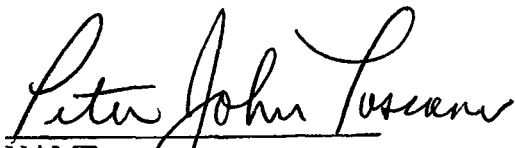

 NAME: EVANS PAPANTOUIROS
 TITLE: VP/EAST Region
 COMPANY: CONTAINERPORT GROUP
 ADDRESS: 1140 B Polaris St.
 ELIZ, NJ 07201 Paper Containers, Inc.

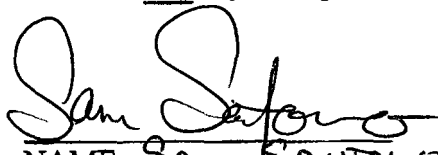

 NAME: Patrick Mullen
 TITLE: OP MGR.
 COMPANY: InterMetro/Fet/Red Rooster Bev
 ADDRESS: P.O. BOX 131
 Kearny, NJ 07032


 NAME: Ross Pantano
 TITLE: Terminal Mgr.
 COMPANY: OST Trucking Co, Inc.
 ADDRESS: 1 Atlanta Drive
 Elizabeth, NJ 07206

P. Jones to sign separate one

Respectfully submitted by the undersigned on this ____ day of September, 2002,


NAME: _____
TITLE: PRESIDENT
COMPANY: P. J. T. TRANSPORT
ADDRESS: 90 JACOBUS AVE
So Kearny NJ 07032


NAME: SAM SANTORO
TITLE: _____
COMPANY: MARINE TRANSPORT, Inc.
ADDRESS: 215 Marsh Street
Newark, NJ 07114

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Respectfully submitted by the undersigned on this ____ day of September, 2002,



NAME: JOSEPH NOONAN
TITLE: PRESIDENT
COMPANY: MARINE CONTAINER SERVICES
ADDRESS: 802-814 BELLEVUE ST IN
NEWARK, NJ 07103

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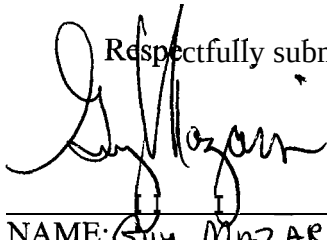
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Respectfully submitted by the undersigned on this ____ day of September, 2002,

NAME: Guy MAZARIN
TITLE: President
COMPANY: Sea Lane Express, Inc
ADDRESS: 60 CUTLER MILL RD
Suite 206
GREAT NECK, N.Y. 11021

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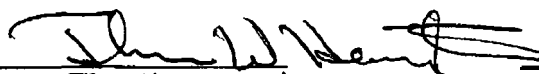
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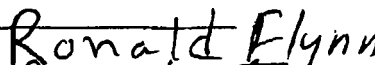
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NAME:
TITLE:
COMPANY:
ADDRESS:

NAME: 
TITLE: President
COMPANY: Best Transportation
ADDRESS: 395 Kellogg St
Port Newark, NJ 07114

NAME:
TITLE:
COMPANY:
ADDRESS:

NAME: 
TITLE: President
COMPANY: Richmond Express
ADDRESS: 1201 Corbin St
Elizabeth NJ
07201

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2018 78101

FROM: NJMTA-BI-S
Harbor Carriers Conference
FAX: 973-344-6335

August 16, 2002

FOR YOUR IMMEDIATE ATTENTION

TO: Notice to All NJMT Tenants -- Operations Managers, Dispatchers &
Traffic Managers

An Important Event**Attention all tenants:****TO ALL TRUCKERS****PORT NEWARK CONTAINER TERMINAL**
(PNCT)

EFFECTIVE MONDAY, AUGUST 19, 2002, PLEASE USE
MARSH STREET AS THE ROUTE TO TURN LEFT FOR THE TYLER
STREET HOLDING LANES. THE REASON FOR THIS REQUEST
IS TO ELIMINATE U-TURNS ON TYLER STREET, AND TO
IMPROVE INTERSECTION SAFETY.

IF THE HOLDING LINE EXTENDS TO EXPORT STREET,
ADDITIONAL TRUCKS LINING UP WILL BE HELD ON MARSH
STREET (EASTBOUND) IN THE RIGHT HAND LANE. PLEASE
DO NOT BLOCK DRIVEWAYS ON MARSH STREET,

THANK YOU FOR YOUR COOPERATION.

The Port Authority of NY & NJ
New Jersey Marine Terminals
260 Kellogg Street
Port Newark, NJ 07114
Andrew Saporito, Acting Manager
973-690-3483

Subj: **Effective 08/19/02**
Date: **8/15/02 1:12:47 PM Pacific Daylight Time**
F m m : **James.Burgess@pnct.net**
To: **Shipping@pnct.net**
C c : **NEWARKOPS@pnct.net**
File: **MarshStreet.doc (19456 bytes) DL Time (46667 bps): < 1 minute**
Sent from the Internet (Details)

FROM: NJMTA-BI-State
Harbor Carriers Conference
FAX: 973-344-6335
TO:

Any opinions expressed in this message are those of the sender and do not necessarily represent the opinions and policies of P&O Ports North America.

This email and files transmitted with it are confidential and intended solely for the use of the person or entity to which it is addressed. If you have received this in error please advise the sender immediately.

Effective 08/19/02

Truck Traffic pattern notice:

In compliance with the Port Authority to help with congestion on Tyler St. and Export Street: **All** trucks please use Marsh Street when coming to PNCT. **When** container and Bobtail traffic is heavy, PNCT will use Marsh St. **as the** primary overflow, cueing trucks on the right side of Marsh with security present to move Trucks to Tyler St. as space **comes** available. This new **traffic pattern will** help keep the streets **around** the terminal **safer** and less congested for everyone. Thank-you for your attention and understanding in this matter. If there are any questions please feel free to **call 973-522-2200** ext. 2 12 for **more information**.

PNCT Management

NEW YORK TERMINAL CONFERENCE

Org: 011408

ORIG/REV

PAGE

Marine Terminal Tariff No. 6

ORIGINAL

97

Tariff: 020

CANCELS

PAGE

BETWEEN: USA (AS SPECIFIED IN RULE 1)

EFFECTIVE DATE(MON)

02Oct1998

AND : FOREIGN PORTS AND POINTS (AS SPECIFIED IN RULE 1)

CORRECTION

RULES AND REGULATIONS

RULE NO

trucks and operators to make the cargo available to the weighmaster for this purpose.

034 10
(CONT)

The Participating Member shall not be required to permit weighing simultaneously with the loading of the truck, unless he has failed to make available to the weighmaster the space for prior weighing.

The weighmaster shall be required to properly repalletize cargo which had been palletized and to properly backpile cargo that had not been palletized.

Where a truck in the process of loading is required to make two or more trips to the Custom scale for the purpose of obtaining separate weights for various lots of merchandise, a fifty (50%) per cone surcharge shall be made on the applicable tariff rate for loading the entire quantity delivered to the truck. Any overtime, for use of the Custom scale for this purpose, shall be ordered by and be for the account of the trucker.

14. SPECIAL HANDLING

If, after cargo has been sorted, graded and stowed and/or assembled on in a terminal awaiting delivery as per bill of lading, the consignee, thereafter, desires additional sorting, grading and/or specific selection of said cargo in connection with the subsequent truck loading thereof, a written request detailing the nature of the special services desired must be submitted in advance of truck loading to the Participating Member. If the Participating Member agrees to perform these additional services, an extra charge shall be assessed of \$68.09 per straight time man hour, \$102.14 per overtime man hour, and \$132.21 per penalty meal time man hour, said charge to be computed on the basis of each fifteen (15) minutes or fraction thereof. A rental charge of \$21.65 per hour or any fraction thereof shall be made for the use of each piece of motorized equipment used in connection with such special services.

15. DELAYS AT CONTAINER TERMINAL

Participating Operators of the New York terminal Conference agree to the payment of penalty charges to motor carriers who are delayed at Container Terminals in accordance with the following schedules and conditions:

1. Free-time:

" Containers as a single move.....90 minutes
" Single move requiring roadability....150 minutes
" Double moves.....150 minutes
" Double moves requiring roadability...210 minutes

2. Computation of time:

Computation of time will be based upon the truck's arrival at the terminal, as recorded by an automatic reader, or if the truck is not so equipped, at the first point of processing. Terminal time will terminate when the trucker exits the outbound gate of the terminal, including roadability.

In the case of double moves, the trucker's total elapsed shall be used when calculating free-time and detention.

3. Exclusions:

The Terminal operator will not be responsible for delays caused by severe weather, and/or delays caused by a disruption of power, telephone, or data services such as those supplied to U.S. Customs, which are beyond the control of the Terminal Operator. The force majeure exclusions will not include delays due to failure(s) of the Terminal Operator's computer system.

Motor Carriers have an obligation to utilize the technologies and services which are made available by the Terminal Operator to pre-check or pre-clear a shipment prior to dispatching a driver to the terminal. If a paperwork or documentation problem is discovered after the driver is on the terminal, a problem which could have been avoided if the trucker pre-checked the shipment, all previous time will be voided. The

No mention of
S/S Line Chassis

Marine Terminal Tariff No. 6

Tariff: 020

BETWEEN: USA (AS SPECIFIED IN RULE 1)

AND : FOREIGN PORTS AND POINTS (AS SPECIFIED IN RULE 1)

ORIG/REV	PAGE
ORIGINAL	98
CANCEL	PAGE
EFFECTIVE DATE(RAW)	
020ct1998	
CORRECTION	

RULES AND REGULATIONS

RULE NO

terminal time will start when the documentation time is corrected.

034 10
(CONT)

Terminal Operators may deny payments of detention penalties to truckers, who on a regular basis, fail to pre-check prior to the arrival at terminals, or fail to follow terminal procedures which result in delays to themselves or other truckers.

4. Payment of Penalties:

When the power vehicle is delayed beyond the allowable free-time, the terminal operator shall be charged at a rate of \$12.50 per 15 minutes. However, there shall be no penalties paid for detentions of less than twenty-nine (29) minutes.

Claims shall be filed within forty-five (45) calendar days from the date on which the claim arose or said claim shall be barred.

5. Battlement of Disputes:

All disputes arising pursuant to this provision shall be arbitrated pursuant to the Commercial Arbitration Rules of the American Arbitration Association.



16. COMPUTATION OF TIME

Time to be computed in accordance with the following:

(a) Validation time is (1) time of issuance of a gate pass upon a motor carrier's arrival at a marine terminal facility or (2) if, upon arrival, a motor carrier is scheduled for a later service period, the time of commencement of that scheduled service period, or (3) if a motor carrier is issued a preference slip the time schedule thereon.

(b) Time for purposes of this item shall accrue from validation or appointment time. Delay demonstrated by the terminal operator or to be due to United States Government regulations, action or inaction of motor carrier personnel or other such cause shall be excluded from computation of time. Time elapsed, if any, between appointment of validation time and presentation of documents to the delivery or receiving clerk shall be presumed to be due to such causes.

17. PREREQUISITE FOR PALLETIZED, PREUNITIZED AND SKIDDED RATE

In addition to any other requirements specified elsewhere, the following rules shall apply:

A. Wherever rates in this tariff are based upon cargo being palletized, preunitized or skidded, said rates are applicable in the case of truck unloading only if the cargo is situated on the truck so the terminal's fork lift truck blades may be directly inserted without any necessity of shifting cargo prior to such insertion. If the cargo is not so situated on the truck, the N.O.S. rates are applicable.

B. In both loading and unloading situations, N.O.S. rates shall apply if the pallets, platforms, skids, etc., are not serviceable and safe to handle.

18. OPENING AND CLOSING PACKAGES AND CONTAINERS FOR U.S. GOVERNMENT AGENCY INSPECTION

A. Opening and closing package for U.S. Government Agency Inspection shall be charged at \$27.38 per package. This service shall be assessed the motor carrier.

B. Providing facility/security/clerical services during the inspection of full containers shall be charged at \$26.06 per container.

C. Prewharf examination of containers by U.S. Government Agencies shall be charged 606.90 per container. This charge will be assessed the party requiring the service.

D. When a U.S. Government agency orders positioning of containers at the LCL facility on the terminal and assistance during the dunnage and re-dunnage of contents

New York Terminal Conference	Page 12 of 35
Revised Date	

A Free-time:

" Containers as a single move.....90 minutes

" Single move requiring roadability..... 150 minutes

" Double moves.....,..... 150 minutes

" Double moves requiring roadability., ,210 minutes

B. Computation of time

Computation of time will be based upon the truck's arrival at the terminal, at the first point of processing. Terminal time will terminate when the trucker exits the outbound gate of the terminal, including roadability.

C. Exclusions:

NYTC will not be responsible for delays caused by severe weather, and/or delays caused by a disruption of power, telephone, shortage of containership line equipment, or data services such as those supplied to U.S. Customs, which are beyond the control of NYTC. The force majeure exclusions will not include delays due to failure(s) of NYTC's computer systems.

Motor Carriers have an obligation to utilize the technologies and services which are made available by NYTC to pre-check or pre-clear a shipment prior to dispatching a driver to the terminal. If a paperwork or documentation problem is discovered after the driver is on the terminal, a problem that could have been avoided if the trucker pre-checked the shipment, all previous time will be voided. The terminal time will start when the documentation time is corrected.

NYTC may deny payments of detention penalties to truckers, who on a regular basis, fail to pre-check prior to the arrival at terminals, or fail to follow terminal procedures which result in delays to themselves or other truckers.

D. Payment of Penalties:

When the power vehicle is delayed beyond the allowable free time, NYTC shall be charged at a rate of \$125 per hour. there shall be no penalties paid for detentions of less than twenty-nine (29) minutes,

Claim shall be filed within forty-five (45) calendar days from the date on which the claim arose or said claim shall be barred.

E. Settlement of Disputes

AU disputes arising pursuant to this provision shall be arbitrated pursuant to the Commercial Arbitration Rules of the American Arbitration Association.

New York Terminal Conference

Page 1 of 35

Retied Date

15 November, 2001**Marine Terminal Schedule No, 011408****NAMING RULES, REGULATIONS AND COMMODITY RATES ON CARGO
MOVING IN CONTAINERS/BREAKBULK****Revised Date: 15 November, 2001**

This schedule is issued by the New York Terminal Conference, hereafter referred to as "NYTC" under authority of the Federal Maritime Commission Agreement No 8005 and **supercedes all previously issued schedules.**

The schedule shall be applicable at any terminal facility within the Port of Greater New York and New Jersey and vicinity in which Participating Members of the New York Terminal Conference operates.

PARTICIPATING TERMINAL OPERATORS:

American Stevedoring Inc.(ASI)

138 Marsh Street

Port Newark N.J. 07114

Port Newark Container Terminal(PNCT)

231 Tyler Street

Port Newark, N.J. 07114

Universal Maritime Service Corp.(UMS)

Giralda Farms

Madison, N.J. 07094

SYSTEM USED AND TELEPHONE NUMBERS:

<u>Terminals</u>	<u>Operator</u>	<u>Phone</u>	<u>Type System</u>
Brooklyn: Red Hook Maritime Terminal	(ASI)	718-875-0777	Combination
Port Newark: Berths 2, 4, 6	(ASI)	973-522-0999	Combination
Berths 51, 53, 55, 57, 59, 61	(PNCT)	973-522-2200	Combination
Port Elizabeth: Bertha 88, 90, 92, 94, 96, 98	(UMS)	908-558-6000	Combination

PUBLISHED BY:
New York Terminal Conference
P.O. Box 875
Chatham, N.J. 07928
Phone: 908-233-6974
Fax: 908-233-5763
www.newytc.com

10. OTHER SERVICES

Nothing contained herein shall be construed as requiring NYTC to perform, without charge, any service not specifically provided for herein.

11. RESPONSIBILITY OF MOTOR CARRIERS EMPLOYEES IN TRUCK LOADING AND UNLOADING

When truck driver does not assist in the loading and unloading of his truck, NYTC shall make a surcharge, in addition to the applicable schedule rate, of \$74.93, per straight time man hour, \$114.97 per overtime man hour, and \$148.58 per penalty meal time man hour, the time to be computed on the basis of each fifteen (15) minute period or fraction thereof. Equipment is additional per schedule of equipment rates illustrated on Page 18.

12. HEAVY LIFTS

The handling of heavy lifts shall be limited to the capacity of NYTC's equipment at that terminal facility. The schedule rates set forth herein for other than heavy lifts are applicable to single packages weighing 10,000 lbs. or less.

Heavy lifts will be handled only at the discretion of NYTC. Heavy lifts on other than OFBT will be charged at triple the heavy lift rate, except that heavy lifts on freely moving wheels will be charged at the rates shown for heavy lifts on OFBT.

13. SPECIAL HANDLING

If, after cargo has been either sorted, graded and stowed and/or assembled on the terminal awaiting delivery as per Bill of Lading, the consignee, thereafter, desires additional sorting, grading, and/or specific selection of said cargo in connection with subsequent rail car loading thereof, a written request detailing the nature of the special services desired must be submitted in advance of rail car loading to NYTC. If NYTC agrees to perform these additional services, an extra charge shall be assessed of \$74.92 per straight time man hour, \$114.97 per overtime man hour, and \$148.58 per penalty meal time man hour, said charge to be computed on the basis of each fifteen (15) minutes or fraction thereof. The use of each piece of cargo handling equipment used in connection with special services shall be charged per schedule of equipment rates illustrated on Page 18.

14. DELAYS AT CONTAINER TERMINAL

NYTC agrees to the payment of penalty charges to motor carriers who are delayed at Container Terminals in accordance with the following schedules and conditions:

13 November, 2001

X A. Free-time:

"Containers, single move, 150 minutes

"Containers, double move. 210 minutes

← Change

B. Computation of time

Computation of time will be based upon the truck's arrival at the terminal, at the first point of processing. Terminal time will terminate when the trucker exits the outbound gate of the terminal.

c. Exclusions.

THIS included
chassis & Containers
NYTC will not be responsible for delays caused by severe weather, and/or delays caused by a disruption of power, telephone, shortage of containership line equipment, or data services such as those supplied to US Customs, which are beyond the control of NYTC. The force majeure exclusions will not include delays due to failure(s) of NYTC's computer systems.

Motor Carriers have an obligation to utilize the technologies and services which are made available by NYTC to pre-check or pre-clear a shipment prior to dispatching a driver to the terminal. If a paperwork or documentation problem is discovered after the driver is on the terminal, a problem that could have been avoided if the trucker pre-checked the shipment, all previous time will be voided. The terminal time will start when the documentation time is corrected,

NYTC may deny payments of detention penalties to truckers, who on a regular basis, fail to pre-check prior to the arrival at terminals, or fail to follow terminal procedures which result in delays to themselves or other truckers.

Added THIS →
Detention Payments will not be paid to motor carriers arriving at the terminal facility with a bare chassis upon which they request a container, which is already on a chassis, to be placed unless the terminal operator shall have been notified of the intended method of removal of the container from the terminal facility prior to the vessel's discharge..

Added THIS →
Detention payments will not be paid to motor carriers requiring genset mounting for reefer cargo unless the terminal operator shall have been notified no less than 24 hours prior to the intended pick up. For purposes of this paragraph, such notification may only be given during the periods from 8:00 a.m. to 12:00 noon and from 1:00 p.m. to 5:00 p.m., Monday to Friday (all ILA holidays specified in the collective bargaining agreement in effect in the Port of New York governing the employment of longshore labor being excepted)

Added THIS →
Detention payments will not be paid with respect to any transaction if the motor carrier requests assistance for such transaction. This includes transactions which may require such assistance, e.g. documentation for hazardous cargo and motor vehicles.

Detention payments **will** not be paid **unless** submitted to the terminal **operator** by the motor **carrier** who performed the move within 45 **days** of the transaction. All requests for payment of detention must be individually specified on such forms and in such **a** manner **as** may be specified by the terminal operator.

Look at this
Added →
 If any employee, agent or representative of a Motor **Carrier** (or any other person with actual or **implied** consent of the Motor Carrier) is found to have **stolen**, pilfered or vandalized and chassis component(s) or other property belonging to the retinal operator., its customers or other persons present on the terminal **with** the consent of the terminal operator the Motor **Carrier** **will** be held fully responsible for the cost of repairing or replacing said equipment. The Motor **Carrier** will also forfeit its ability to **submit** any invoicing **pertaining** to trucker detention at the terminal.

D. Payment of Penalties.

When the power vehicle is delayed beyond the allowable **free** time, **NYTC** **shall** be charged at a rate of ~~\$62.50 per 15 minutes~~ **there shall be no penalties paid for detentions of less than twenty-five (29) minutes.**

Claims shall be filed within forty-five (45) calendar days from the date on which the claim **arose** or said claim shall be barred

E Settlement of Disputes

AU disputes arising pursuant to this provision shall be arbitrated pursuant to the Commercial Arbitration Rules of the American Arbitration Association.

15. PREREQUISITE FOR **PALLETIZED, PREUNITIZED AND SKIDDED** RATE

In addition to any other requirements specified elsewhere, the following rules shall apply:

- A. Wherever rates in this schedule are based upon cargo being **palletized, preunitized** or skidded, said rates are applicable in the case of truck unloading only if the cargo is situated on the truck so the terminal's forklift truck blades may be directly inserted without any necessity of shifting cargo prior to such insertion. If the cargo is not **so** situated on the **truck**, triple the truck unloading rates will be charged, Cargo must be deemed suitable for safe handling
- B. In both loading and unloading situations, **N.O.S. (3.99)** rates shall apply if the pallets, **platforms**, skids, etc. are not serviceable and safe **to** handle.

16. **OPENING AND CLOSING PACKAGES AND CONTAINERS FOR U.S. GOVERNMENT AGENCY INSPECTION AND OTHER INSPECTION/SAMPLING AND MISCELLANEOUS TERMINAL SERVICES**

- A. **Opening** and closing package for U.S. Government Agency Inspection shall be charged at **\$30.19** per **package**. This service shall be assessed the motor carrier.

§ 515.7

cargo between any place on the terminal and railroad cars, trucks, lighters or barges or any other means of conveyance to or from the terminal facility.

(8) *Usage* means the use of terminal facility by any rail carrier, lighter operator, trucker, shipper or consignee, its agents, servants, and/or employees, when it performs its own car, lighter or truck loading or unloading, or the use of said facilities for any other gainful purpose for which a charge is not otherwise specified.

(9) *Checking* means the service of counting and checking cargo against appropriate documents for the account of the cargo or the vessel, or other person requesting same.

(10) *Heavy lift* means the service of providing heavy lift cranes and equipment for lifting cargo.

[49 FR 36305, Sept. 14, 1984; 49 FR 38544, Oct. 1, 1984]

§ 515.7 Exculpatory tariff provisions.

No terminal tariff shall contain provisions that exculpate or otherwise relieve marine terminal operators from liability for their own negligence, or that impose upon others the obligation to indemnify or hold-harmless the terminals from liability for their own negligence.

[51 FR 46570, Dec. 24, 1986]

§ 515.91 OMB control, numbers assigned pursuant to the Paperwork Reduction Act.

This section displays the control numbers assigned to information collection requirements of the Commission in this part by the Office of Management and Budget pursuant to the Paperwork Reduction Act of 1980, Pub. L. 96-511. The Commission intends that this section comply with the requirements of section 3507(f) of the Paperwork Reduction Act, which requires that agencies display a current control number assigned by the Director of the Office of Management and Budget (OMB) for each agency information collection requirement:

46 CFR Ch. IV (10-1-92 Edition)

Section	Current OMB Control No.
515.3 through 515.5.....	3072-0002

PART 525—FREE TIME AND DEMURRAGE CHARGES ON IMPORT PROPERTY APPLICABLE TO ALL COMMON CARRIERS BY WATER

AUTHORITY: 5 U.S.C. 553; secs. 17 and 43 of the Shipping Act, 1916 (46 U.S.C. App. 816, 841a); secs. 10 and 17 of the Shipping Act of 1984 (46 U.S.C. App. 1709 and 1716).

NOTE: In accordance with 44 U.S.C. 3506(c)(5), any information request or requirements in this part is not subject to the requirements of sec. 3507(f) of the Paperwork Reduction Act, because there are nine or fewer respondents.

5525.1 Free time and demurrage charges at the port of New York.

(a) Free time of five days (exclusive of Saturdays, Sundays, and legal holidays), computed from the start of business on the first day after complete discharge of the vessel, is adequate free time on import property at New York under present conditions.

(b) Free time on import property at New York shall not be less than five days, except on property of such a special nature as to require earlier removal because of local ordinances or other governmental regulations, or because piers are not equipped to care for such property for such period, or except as the Commission may hereafter direct.

(c) Except as provided in §§ 530.3(e)(2), 530.4(e) and 530.4(g) of this chapter, where a carrier is for any reason, unable, or refuses, to tender cargo for delivery during free time, free time must be extended for a period equal to the duration of the carrier's disability or refusal. If such condition arises after the expiration of free time, either no demurrage or first period demurrage, whichever is specified in the appropriate tariff, will be charged for a period equal to the duration of the carrier's inability or refusal.

(d) Where a consignee is prevented from removing its cargo by factors beyond its control (such as, but not

Section	Current OMB Control No.
through 515.5	3072-0002

IT 525—FREE TIME AND DEMUR- AGE CHARGES ON IMPORT PROPERTY APPLICABLE TO ALL COMMON CARRIERS BY WATER

Authority: 5 U.S.C. 553; secs. 17 and 43 of Shipping Act, 1916 (46 U.S.C. App. 816, 818); and 17 of the Shipping Act of 1946 (46 U.S.C. App. 1709 and 1716).

Interpretation: In accordance with 44 U.S.C. (k)(1), any information request or comments in this part is not subject to the requirements of sec. 3507(f) of the Paperwork Reduction Act, because there are nine exempt respondents.

5.1 Free time and demurrage charges at the port of New York.

- (a) Free time of five days (exclusive of Saturdays, Sundays, and legal holidays) computed from the start of business on the first day after complete discharge of the vessel, is adequate free time on import property at New York under present conditions.
- (b) Free time on import property at New York shall not be less than five days, except on property of such a special nature as to require earlier removal because of local ordinances or other governmental regulations, or because vessels are not equipped to care for such property for such period, or except as the Commission may hereafter direct.
- (c) Except as provided in 530.3(e)(2), 530.4(e) and 530.4(g) of this chapter, where a carrier is for any reason unable, or refuses, to tender cargo for delivery during free time, the time must be extended for a period equal to the duration of the carrier's disability or refusal. If such disability arises after the expiration of free time, either no demurrage or first period demurrage, whichever is specified in the appropriate tariff, will be assessed for a period equal to the duration of the carrier's inability or refusal.
- (d) Where a consignee is prevented from removing its cargo by factors beyond its control (such as, but not

limited to, longshoremen's strikes, trucking strikes or weather conditions) which affect an entire port area or a substantial portion thereof, and when a consignee is prevented from removing its cargo by a longshoremen's strike which affects only one pier or less than a substantial portion of the port area, carriers shall (after expiration of free time) assess demurrage against imports at the rate applicable to the first demurrage period, for such time as the inability to remove the cargo may continue. Every departure from the regular demurrage charges shall be reported to the Commission.

(e) The Commission makes no finding approving or disapproving demurrage rates presently effective as to import property at the Port of New York.

(f) Following a longshoremen's strike of five (5) days or more:

(1) Free time shall be extended for a period not less than five (5) days (exclusive of Saturdays, Sundays, and legal holidays) beyond the time at which it would normally terminate, for cargo which was in a free time period at the commencement of the longshoremen's strike.

(2) First period demurrage shall be extended for a period not less than five (5) calendar days beyond the time at which it would normally terminate, for cargo which was subject to first period demurrage at the commencement of the longshoremen's strike.

(g) The extensions set forth in paragraphs (f)(1) and (f)(2) of this section, shall apply only: (1) If the cargo is actually picked up within such extended time or (2) if, pursuant to an appointment system adopted by both carriers and consignees, cargo is picked up within twenty-four (24) hours of advance notification that cargo is available for pickup and readily accessible, in which latter event, time shall not be extended more than twenty-four (24) hours beyond the additional free time or demurrage period.

[49 FR 36306, Sept. 14, 1984]

PART 530—TRUCK DETENTION AT THE PORT OF NEW YORK

- SCC.
530.1 General provisions.
530.2 Documentation.
530.3 Terminals operating on appointment system.
530.4 Terminals operating a non-appointment system.
530.5 Combination non-appointment/appointment system.
530.6 Computation of time.
530.7 Penalties.
530.8 Submission of claims for penalties.
530.91 OMB control numbers assigned pursuant to the Paperwork Reduction Act.

APPENDIX A TO PART 530—NEW YORK/NEW JERSEY PORT DISTRICT

APPENDIX B TO PART 530—MOTOR CARRIER PREFERENCE SUP

Authority: 5 U.S.C. 553; 46 U.S.C. App. 816, 841a, 1709 and 1716.

Source: 49 FR 36307, Sept. 14, 1984, unless otherwise noted.

§ 530.1 General provisions.

(a) *The Port of New York* is that area designated as *The Port District* on the map (appendix A).

(b) For purposes of this part, a terminal operator is any person who receives cargo from motor carriers and/or delivers cargo to motor carriers in connection with transportation by common carrier by water, excluding persons who operate marine terminal facilities controlled by the Department of Defense including the military department and all agencies of the Department of Defense.

(c) Motor carriers (common, contract, or private), terminal operators, including steamship companies acting as terminal operators, and steamship companies whose action or inaction otherwise impedes expeditious pickup and delivery of cargo by motor carriers at marine terminal facilities within the Port of New York, shall be subject to the provisions established by terminal operators in accordance with this part, which provisions shall be reflected in the tariff of each such terminal operator.

(d) Importers and exporters, or motor carriers or other agents of importers or exporters, and terminal operators at marine terminal facilities in the Port of New York, shall be enti-

tled to receive remuneration in accordance with the provisions of this part.

(e) The person responsible for operating each marine terminal facility within the Port of New York shall identify itself to the Federal Maritime Commission not more than 10 days after the effective date of this part and shall thereafter promptly notify the Commission of any change in responsibility. Based thereon, the Federal Maritime Commission (Commission) will publish and maintain a current list identifying, as to each such marine terminal facility, the party responsible for receipt and settlement of claims arising under this part.

(f) All communications to the Federal Maritime Commission required by this part shall be directed to the Federal Maritime Commission, Office of the Secretary, 1100 L Street NW., Washington, DC 20573.

(g)(1) Except as provided in paragraph (g)(2) of this section, no penalty shall be imposed upon a terminal operator under this part if receipt or delivery of cargo at a marine terminal facility is prevented or delayed by strike or work stoppage, act of God, fire, serious accident, or severe or unusual weather condition. The Commission shall be notified in writing by the party claiming the existence of the condition who shall specify the date and time of commencement and termination of any such strike, work stoppage, or severe or unusual weather or other condition.

(2) No terminal operator shall be absolved from liability under this part for delays resulting from inadequate or insufficient labor, and/or equipment, other than reasonable delays necessary to obtain special equipment required for handling unusual cargo on a non-appointment basis.

(h) Terminal operators shall not be liable for delays due to United States Government regulations; nor shall terminal operators be liable for time consumed by receipt or delivery of cargo by marks other than by bill of lading, provided at the request of the shipper, consignee or motor carrier.

(i) Steamship companies responsible for house-to-house movement of containers, i.e., containers moving as a unit from origin to destination, are responsible under this part for delay oc-

casioned by lack of sufficient chassis, or unavailability, action or inaction of their container inspection personnel. For purposes of this part, containers shall include empty as well as stuffed containers.

(j) Disputes concerning liability under any provisions of this part shall be settled by an impartial Adjudicator selected by the Commission.

(k) Terminal operators are not required to deliver cargo to motor carriers prior to the time that the ocean vessel which transported said cargo is fully discharged. If a terminal operator exercises the option of delivering cargo to motor carriers prior to the time that the ocean carrier which transported said cargo is fully discharged, the terminal operator shall notify the consignee or its designated agent that the cargo is on the pier, at its place of rest, and segregated by bill of lading, and shall identify the terminal operator employee giving such notification.

(l) Marine terminal facilities in the Port of New York shall be operated in accordance with the appointment, non-appointment, or combination appointment/non-appointment procedures established by the terminal operator in accordance with this part. Each terminal operator shall identify in its respective tariff whether its marine terminal facility will be operated on an appointment, non-appointment, or combination appointment/non-appointment basis. Said tariff shall incorporate the specific procedures applicable at each such marine terminal facility, which procedures shall comply with the provisions of this part, be prominently displayed at the marine facility, and shall be modified on not less than 30 days' notice.

(m) Compliance is mandatory and failure of terminal operators or motor carriers to follow the provisions of this part may result in the assessment of penalties as specified in § 530.7.

§ 530.2 Documentation.

(a)(1) Delivery orders shall not be mailed or delivered to terminal operators, nor mailed or delivered to steamship companies for receipt on behalf of terminal operators, prior to arrival

sioned by lack of sufficient chassis, unavailability, action or inaction of their container inspection personnel. For purposes of this part, containers may include empty as well as stuffed containers.

(j) Disputes concerning liability under any provisions of this part shall be settled by an impartial Adjudicator selected by the Commission.

(k) Terminal operators are not required to deliver cargo to motor carriers prior to the time that the ocean carrier which transported said cargo is unloaded. If a terminal operator exercises the option of delivering cargo to motor carriers prior to the time that the ocean carrier which transported said cargo is fully discharged, the terminal operator shall notify the consignee or its designated agent that the cargo is on the pier, at a place of rest, and segregated by bill of lading, and shall identify the terminal operator employee giving such notification.

(l) Marine terminal facilities in the port of New York shall be operated in accordance with the appointment, on-appointment, or combination appointment/non-appointment procedure established by the terminal operator in accordance with this part. Each terminal operator shall identify its respective tariff whether its marine terminal facility will be operated on an appointment, non-appointment, or combination appointment/on-appointment basis. Said tariff shall incorporate the specific procedure applicable at each such marine terminal facility, which procedures shall comply with the provisions of this part, be prominently displayed at the marine facility, and shall be modified on not less than 30 days' notice.

(m) Compliance is mandatory and failure of terminal operators or motor carriers to follow the provisions of this part may result in the assessment of penalties as specified in § 530.7.

of motor carrier vehicles at marine terminal facilities. Dock receipts may be lodged with terminal operators or steamship companies for receipt on behalf of terminal operators prior to arrival of motor carrier vehicles at marine terminal facilities. Upon arrival at marine terminal facilities, motor carrier vehicle operators shall have physical possession of delivery orders required by this part, and shall either have physical possession of dock receipts required by this part or shall have had said dock receipts lodged with the terminal operator or steamship company in accordance with the above-described procedure. Motor carrier vehicles having physical possession of delivery orders or dock receipts immediately shall be issued a sequentially numbered and time-stamped gate pass by order of arrival. When dock receipts are lodged with the terminal operator or steamship company, the sequentially numbered and time-stamped gate pass immediately shall be issued upon tender of the dock receipt to the gateman by the motor carrier vehicle driver. The sequential number and all time stamps and notations recorded on the gate pass and any other arrival document shall be recorded on the copy of the delivery order or dock receipt retained by the motor carrier. Motor carrier vehicles not complying with the requirements of this paragraph shall be denied entry to the marine terminal facility.

(2) Motor carriers shall be permitted to receive cargo on Open Delivery Orders, i.e., single delivery orders covering multiple truckloads or shipments, and deliver cargo on Open Dock Receipts, i.e., single dock receipts covering multiple truckloads or shipments, upon presenting to the terminal operator, subsequent to receipt or delivery of the initial load, satisfactory evidence of authorization to effect receipt or delivery of the remaining truckloads or shipments, as established by the terminal operator and published in its tariff.

(b) Dock receipts required as full and complete documentation for receipt of export cargo shall include the following information:

(1) Name of the motor carrier.

(2) Name of forwarding agent. (If none, insert "none".)

(3) Shipper.

(4) Name of vessel.

(5) Pier, berth, or area designated for receipt of cargo.

(6) Port of discharge.

(7) Container identification and seal number. (On full container loads.)

(8) Booking number.

(9) Cargo to be held on dock should be so indicated in space provided for vessel name.

(10) Marks, number of packages, commodity, cube and weight.

(11) An original and three copies of the dock receipt authorized by the steamship line that is to receive the cargo must be tendered to the terminal operator, one copy of which shall be returned to and retained by the motor carrier in accordance with § 530.2(a)(1).

(c) Delivery order required as full and complete documentation for the delivery of import cargo shall provide the following information:

(1) Name and address of party issuing delivery order.

(2) Address of terminal.

(3) Name and address of motor carrier making pickup.

(4) Vessel name.

(5) Voyage number or estimated date of arrival.

(6) Bill of Lading number.

(7) Port of Lading.

(8) City of destination. (On full container loads.)

(9) Container identification number. (On full container loads.)

(10) Booking number. (On receipt of empty containers.)

(11) Marks, number of packages, commodity, cube and weight. When partial lots are to be delivered, they should be identified by marks.

(12) Date free time expires.

(13) Date through which demurrage is paid/guaranteed after free time has expired.

(14) An original and two copies of the delivery order, the original legibly signed in ink, with the name of the signer typed below the signature, shall be tendered to the terminal operator, one copy of which shall be returned to and retained by the motor carrier in

accordance with paragraph (a)(1) of this section.

(d)(1) Terminal operators shall not honor delivery orders with strikeouts or other changes to the original.

(2) If a motor carrier named in an original delivery order substitutes another motor carrier in its place, the motor carrier named in the original delivery order shall provide a turnover order to the second carrier containing all information required by the original delivery order. Both the original delivery order and the turnover order must be presented to the terminal operator by the motor carrier requesting delivery of cargo. Upon written request, in accordance with procedures established by the terminal operator and published in its tariff, special arrangements may be made to accommodate general agency situations.

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(e) If a motor carrier presents documents to the terminal operator which do not contain all information required by this part, or which are complete but contain inaccurate information, said motor carrier shall be required to surrender its gate pass and shall be denied service; or, at the request of said motor carrier, the terminal operator may correct or complete the deficient document and service said motor carrier in accordance with this part.

(f) If documents are rejected by the terminal operator, or service is refused for any other reason, the terminal operator shall provide the motor carrier written explanation, time-stamped, of the deficiencies in documentation or other reason(s) for refusal of service, and shall attach thereto a copy of the deficient document, if any.

(g) Paragraph (e) of this section shall not be applicable if documents are incorrect because of substitution of one vessel for another, redocking of a vessel from a scheduled pier to another, or change in consignment of an export shipment from a scheduled vessel to another due to an early close-out of the scheduled vessel or other such rescheduling for the convenience of the steamship company or terminal operator. Delay occasioned in such circumstances shall be included in the computation of time for purposes of

this rule and chargeable to the party responsible for such change.

§ 530.3 Terminals operating on appointment system

Subject to the following provisions of this section, terminal operators shall establish the basis upon which appointments will be available and shall publish in their tariffs reasonable methods and procedures for booking appointments.

(a)(1) Except for good cause, all requests for appointments shall be granted. If a request for an appointment is not granted, the terminal operator shall record the request and reason for refusal.

(2) Appointments, when granted, shall be identified by sequentially assigned numbers. The terminal operator shall record the date and time of requests for appointments, the name of the person making the requests; the date, time and identification number of scheduled appointments; and shall identify the terminal operator employee granting the appointment.

(b) Appointments to receive delivery of cargo shall not be granted by terminal operators unless and until a freight release covering subject cargo has been provided by the steamship company. Appointments shall be granted only if the terminal operator is advised of the nature, type and quantity of cargo to be delivered or received. If, because of the size, weight or shape of the cargo, special equipment is required, the terminal operator shall so advise the motor carrier at the time the appointment is granted, and the motor carrier shall advise the terminal operator of the type of *rolling stock* which it will employ to effectuate the interchange of cargo.

(c)(1) Gate passes shall be issued to motor carriers by order of arrival at the marine terminal facility. Motor carriers arriving after the time of a scheduled appointment shall be deemed to have missed the appointment and may be denied service.

(2) Except where a terminal operator has arranged for delivery of cargo on the last day of free time, or on the first or second day of demurrage, in accordance with paragraph (e)(2) of

is rule and chargeable to the party responsible for such change.

530.4 Terminals operating on appointment system.

Subject to the following provisions of this section, terminal operators shall establish the basis upon which appointments will be available and shall publish in their tariffs reasonable methods and procedures for booking appointments.

(a)(1) Except for good cause, all requests for appointments shall be granted. If a request for an appointment is not granted, the terminal operator shall record the request and reason for refusal.

(2) Appointments, when granted, shall be identified by sequentially assigned numbers. The terminal operator shall record the date and time of requests for appointments; the name of the person making the requests; the date, time and identification number of scheduled appointments; and shall identify the terminal operator employee granting the appointment.

(b) Appointments to receive delivery of cargo shall not be granted by terminal operators unless and until a receipt release covering subject cargo has been provided by the steamship company. Appointments shall be granted only if the terminal operator is advised of the nature, type and quantity of cargo to be delivered or received. If, because of the size, weight or shape of the cargo, special equipment is required, the terminal operator shall so advise the motor carrier at the time the appointment is granted, and the motor carrier shall advise the terminal operator of the type of rolling stock which it will employ to effectuate the interchange of cargo.

(c)(1) Gate passes shall be issued to motor carriers by order of arrival at the marine terminal facility. Motor carriers arriving after the time of a scheduled appointment shall be deemed to have missed the appointment and may be denied service.

(2) Except where a terminal operator has arranged for delivery of cargo on the last day of free time, or on the first or second day of demurrage, in accordance with paragraph (e)(2) of

this section, motor carriers may cancel appointments (without penalty), provided the terminal operator is given three (3) working hours' notice of said cancellation.

(d)(1) Upon receipt of a gate pass issued pursuant to paragraph (c)(1) of this section, motor carrier personnel holding dock receipts or other satisfactory evidence of authorization to effect delivery of cargo shall proceed immediately to the receiving clerk of the terminal operator who shall immediately time-stamp the gate pass upon presentation of documents. After said documents are determined to be in proper order, the motor carrier shall be routed for unloading.

(2) Upon receipt of a gate pass issued pursuant to paragraph (c)(1) of this section, motor carrier personnel holding delivery orders or other satisfactory evidence of authorization to receive delivery of cargo shall proceed to the Bureau of Customs for completion of required procedures, and thereafter, shall immediately proceed to the delivery clerk of the terminal operator who shall immediately time-stamp the gate pass upon presentation of documents. After said documents are determined to be in proper order, the motor carrier shall be routed for loading.

(e)(1) See § 525.1(c) of this chapter for provisions regarding extension of free time.

(2) At full-appointed terminals, if an appointment is not available as requested, an appointment shall be granted within 72 hours (three business days) of said request, except as provided by paragraphs (e)(2)(i) and (e)(2)(ii) of this section.

(i) *Cargo permitted 5 days' free time—Extension of free time.* (A) If an appointment is requested at least 48 hours prior to the expiration of free time, the terminal operator shall arrange to deliver cargo prior to expiration of free time, or extend free time until an appointment is granted.

(B) If an appointment is requested less than 48 hours—but more than 24 hours—prior to expiration of free time, the terminal operator shall arrange for delivery of cargo prior to the close of business on the first working day of demurrage for which first demurrage day the cargo shall be liable,

or, after said first demurrage day, cargo shall assume non-demurrage status until an appointment is granted.

(C) If an appointment is requested less than 24 hours prior to expiration of free time, the terminal operator shall arrange for delivery of cargo prior to the close of business on the second working day of demurrage for which two (2) demurrage days the cargo shall be liable, or, after said two (2) demurrage days, cargo shall assume non-demurrage status until an appointment is granted.

(ii) *Cargo permitted 2 or 3 day free time—Extension of free time.* (A) If an appointment is requested at least 24 hours prior to expiration of free time, the terminal operator shall arrange to deliver cargo prior to expiration of free time or extend free time until an appointment is granted.

(B) If an appointment is requested less than 24 hours prior to expiration of free time, the terminal operator shall arrange for delivery of cargo prior to the close of business on the first working day of demurrage for which first demurrage day the cargo shall be liable, or, after said first demurrage day, cargo shall assume non-demurrage status until an appointment is granted.

§ 530.4 Terminals operating a non-appointment system.

(a) Each business day shall be divided into a number of *service periods* (for example, periods commencing at 8 a.m., 10 a.m., 1 p.m., 3 p.m.) as scheduled by the terminal operator according to the nature and capabilities of the particular facility.

(b) Motor carriers arriving at marine terminal facilities shall be issued sequentially numbered time-stamped gate passes by order of arrival, valid for entry to the terminal facility at the time of commencement of the service period indicated thereon.

(c) Upon receipt of a gate pass issued pursuant to paragraph (b) of this section, motor carrier personnel holding dock receipts or other satisfactory evidence of authorization to effect delivery of cargo shall proceed immediately to the receiving clerk of the terminal

operator who shall immediately time-stamp the gate pass upon presentation of documents. After said documents are determined to be in proper order, the motor carrier shall be routed for unloading.

(d) Upon receipt of a gate pass issued pursuant to paragraph (b) of this section, motor carrier personnel holding delivery orders or other satisfactory evidence of authorization to receive delivery of cargo shall proceed to the Bureau of Customs for completion of required procedures and thereafter immediately proceed to the delivery clerk of the terminal operator, who shall immediately time-stamp the gate pass upon presentation of documents. After said documents are determined to be in proper order, the motor carrier shall be routed for loading.

(e) A motor carrier entitled to a gate pass scheduling service for a later service period, but unwilling to wait for that service, may elect, not more than 30 minutes after issuance of said gate pass, to receive a preference slip (appendix B), entitling said motor carrier to service on the next business day as specified thereon. However, free time will not be extended if cargo is on the last day of free time, nor will collection of demurrage charges be suspended.

(f) Motor carriers arriving at a marine terminal facility after the capacity of said facility has been reached may be turned away, but shall be given preference for service on the next business day according to the order in which they arrived and were turned away. Motor carriers turned away under these circumstances shall be issued a preference slip (appendix B), sequentially numbered, which shall assure preference for service on the next business day and, where cargo is on the last day of free time, create a one-day extension of free time, or suspend collection of demurrage charges for one day as to cargo already on demurrage. The preference slip shall be attached to the gate pass when said gate pass is issued and all notations recorded on the preference slip shall be duplicated in the motor carrier's copy of the delivery order or dock receipt.

(g) If, at the commencement of its scheduled service period, a motor carrier is not available to receive cargo which is on the last day of free time, and because of the unavailability of said motor carrier, the terminal operator is unable to provide service on that day, there shall be no extension of free time.

(h) If all vehicles scheduled for a service period are discharged prior to the end of that period, the motor carrier available and holding the next sequenced gate pass shall be served.

(i) It shall be the responsibility of the motor carrier to determine from the terminal operator whether cargo to be delivered to said motor carrier is on the pier, at its place of rest, and segregated by bill of lading.

§ 530.5 Combination non-appointment/appointment system.

(a) An express line or non-appointment line may be established in conjunction with an appointment system in such a manner as the terminal operator determines best suits the needs of the particular facility.

(b) All rules applicable to non-appointment facilities (§ 530.4) shall be applicable to the non-appointment portion of a combination non-appointment/appointment terminal operation.

(c) If a motor carrier attempts to make an appointment at a facility operating a combination system, and no appointment is available, and then said motor carrier seeks service as a non-appointment vehicle, said motor carrier shall be treated as a non-appointment vehicle for purposes of extension of free time.

§ 530.6 Computation of time.

(a) Validation time is: (1) Time of issuance of a gate pass upon a motor carrier's arrival at a marine terminal facility or (2) if, upon arrival, a motor carrier is scheduled for a later service period, the time of commencement of that scheduled service period, or (3) if a motor carrier is issued a preference slip pursuant to § 530.4(e) or § 530.4(f), the time scheduled thereon.

(b) Time for purposes of this part shall accrue from validation or ap-

(g) If, at the commencement of its scheduled service period, a motor carrier is not available to receive cargo which is on the last day of free time, not because of the unavailability of said motor carrier, the terminal operator is unable to provide service on that day, there shall be no extension of free time.

(h) If all vehicles scheduled for a service period are discharged prior to the end of that period, the motor carrier, available and holding the next scheduled gate pass shall be served.

(i) It shall be the responsibility of the motor carrier to determine from the terminal operator whether cargo is delivered to said motor carrier is on the pier, at its place of rest, and segregated by bill of lading.

§ 530.5 Combination non-appointment/appointment system.

(a) An express line or non-appointment line may be established in conjunction with an appointment system in such a manner as the terminal operator determines best suits the needs of the particular facility.

(b) All rules applicable to non-appointment facilities (§ 530.4) shall be applicable to the non-appointment portion of a combination non-appointment/appointment terminal operation.

(c) If a motor carrier attempts to make an appointment at a facility operating a combination system, and no appointment is available, and then said motor carrier seeks service as a non-appointment vehicle, said motor carrier shall be treated as a non-appointment vehicle for purposes of extension of free time.

§ 530.6 Computation of time.

(a) Validation time is: (1) Time of issuance of a gate pass upon a motor carrier's arrival at a marine terminal facility or (2) if, upon arrival, a motor carrier is scheduled for a later service period, the time of commencement of that scheduled service period, or (3) if a motor carrier is issued a preference pursuant to § 530.4(e) or § 530.4(f), the time scheduled thereon.

(b) Time for purposes of this part shall accrue from validation or ap-

pointment time. Delay demonstrated by the terminal operator to be due to United States Government regulations, action or inaction of motor carrier personnel, or other such cause, shall be excluded from computation of time. Time elapsed, if any, between appointment or validation time and presentation of documents to the delivery or receiving clerk shall be presumed to be due to such cause.

§ 530.7 Penalties.

(a) A terminal operator who refuses to serve a motor carrier after rejecting, for lack of full and complete documentation, a delivery order or dock receipt which does contain the information required by this part, shall be subject to a penalty of \$30.

(b) If a motor carrier fails to meet a scheduled appointment at a marine terminal facility, said motor carrier shall be subject to a charge of \$15. If, pursuant to § 530.3(b) a motor carrier is advised that special equipment will be required and the motor carrier fails to meet said appointment, the motor carrier shall be subject to a charge of \$30.

(c) If, pursuant to § 530.2(e), a terminal operator completes or corrects deficient documents presented by a motor carrier, a charge of \$15 shall be assessed against said motor carrier.

(d) If, contrary to § 530.3(b) a freight release covering subject cargo has not been authorized prior to a scheduled appointment, the terminal operator that granted said appointment shall be assessed a penalty of \$30.

(e) If, pursuant to § 530.1(k) or a request under § 530.4(i) a terminal operator notifies a motor carrier that cargo is on the pier, at its place of rest, and segregated by bill of lading, and cargo is not on the pier, at its place of rest, and segregated by bill of lading, when the motor carrier attempts to obtain said cargo, the terminal operator shall be subject to a penalty of \$30.

(f) *Time allowances*—(1) *Containers handled as a single unit.* If service is not completed within the following times, penalty charges will accrue against the terminal operator at a rate of \$8.00 per 15 minutes, or any fraction thereof, in excess of these times.

Appointment..... 75 minutes.
Non-appointment..... 120 minutes.

(2) *Non-containerized cargo.* When vehicles are loaded by the terminal operator, or unloaded by the terminal operator at the request of the motor carrier, within the time periods set forth below, there will be no penalty. If a vehicle is not loaded or unloaded within the following time periods, penalty charges will accrue against the terminal operator at a rate of \$8.00 per 15 minutes, or any fraction thereof, in excess of these times.

(i) Non-Appointment Vehicles:

0 to 5,000 pounds..... 210 minutes.
5,001 to 10,000 pounds..... 240 minutes.
10,001 to 15,000 pounds..... 270 minutes.
15,001 to 30,000 pounds..... 285 minutes.
Over 30,000 pounds..... 300 minutes.

(ii) Appointment Vehicles:

2,000 pounds or less..... 90 minutes.
2,001 to 5,000 pounds..... 120 minutes.
5,001 to 10,000 pounds..... 150 minutes.
10,001 to 15,000 pounds..... 180 minutes.
15,001 to 20,000 pounds..... 210 minutes.
20,001 to 25,000 pounds..... 240 minutes.
Over 25,000 pounds..... 270 minutes.

(g) When freight is unloaded by the driver or other personnel of the motor carrier and unloading is not completed within the times prescribed by paragraph (f) of this section, as computed from the time that the vehicle is spotted at a place convenient for unloading, the terminal operator shall be entitled to a penalty payment of \$8.00 for each 15 minute period or any fraction thereof in excess of the specified time, unless the delay is demonstrated by the motor carrier to have been occasioned by the action or inaction of the terminal operator.

(h) A motor carrier admitted to a marine terminal facility for loading or unloading—or holding an appointment for loading or unloading—shall be completely loaded or unloaded prior to the close of that business day. If the motor carrier is not completely loaded or unloaded when the terminal closes on that business day, time for purposes of this part shall accrue only while the terminal is conducting operations. In addition:

(1) Motor carriers holding appointments shall be entitled to a penalty payment of \$30 from the terminal op-

erator whether the shutout of the vehicle was due to refusal of management to authorize overtime, or labor's refusal to work overtime.

(2) Non-appointment vehicles shall be entitled to a penalty payment of \$30 from the terminal operator if the shutout of the vehicle was due to refusal of management to authorize overtime. If the shutout results from labor's refusal to work overtime, the terminal operator shall not be subject to a penalty.

(3) Management shall be presumed to have refused to authorize overtime, unless the terminal operator establishes otherwise.

[49 FR 36307, Sept. 14, 1984, as amended at 52 FR 2704, Jan. 26, 1987]

§ 530.8 Submission of claims for penalties.

(a) All communication required by this section shall be via certified mail; return receipt requested.

(b) Any person claiming payments under this section shall file a written claim with the terminal operator or motor carrier against whom said claim is made.

(c)(1) Claims shall be filed within forty-five (45) calendar days from the date on which the claim arose or said claim shall be barred. The party against whom claim is made shall within twenty (20) calendar days from receipt of said claim make payment thereon or reject. In rejecting a claim, the terminal operator or motor carrier shall set forth the reason or reasons for said rejection and shall provide available documentation substantiating said rejection. Claims rejected because they do not contain sufficient information may be resubmitted no later than twenty (20) days from receipt of rejection.

(2) Rejected claims may be submitted for review within twenty (20) days of receipt of rejection to the Adjudicator who will affirm or reverse the rejection of claims within 30 days of receipt of the request for review. All decisions of said Adjudicator shall be final and binding.

(d)(1) Claims submitted by motor carriers, or importers or exporters on whose behalf motor carriers act, shall include the motor carrier's copy of the applicable delivery order or dock re-

ceipt, any other relevant document, a brief, but complete description of the facts giving rise to the claim, and a statement of the amount claimed.

(2) Claims filed by terminal operators shall include the terminal operator's copy of the applicable delivery order or dock receipt, a copy of the gate pass and any other arrival documents issued, copies of all other relevant documents, a brief explanation of the facts giving rise to the claim, and a statement of the amount claimed.

(e)(1) If the party identified as the terminal operator at a marine terminal facility under § 530.1(e) rejects a claim pursuant to § 530.1(i) or § 530.2(g), or otherwise denies a claim on the ground that the delay was caused by the steamship company, the original claim and a statement of the reasons for rejection shall be forwarded within seven days to the steamship company alleged by the terminal operator to be liable for the claim, copy to the claimant.

(2) The steamship company shall pay or reject the claim within twenty (20) calendar days from receipt thereof.

(3) If the claim is rejected by the steamship company, the claimant may submit both rejections to the Adjudicator who shall review the rejection of the claim by both parties and determine liability as between the two.

§ 530.91 OMB control numbers assigned pursuant to the Paperwork Reduction Act.

This section displays the control numbers assigned to information collection requirements of the Commission in this part by the Office of Management and Budget pursuant to the Paperwork Reduction Act of 1980, Public Law 96-511. The Commission intends that this section comply with the requirements of section 3507(f) of the Paperwork Reduction Act, which requires that agencies display a current control number assigned by the Director of the Office of Management and Budget (OMB) for each agency information collection requirement:

of any other relevant document; a brief, but complete description of the facts giving rise to the claim, and a statement of the amount claimed.

(2) Claims filed by terminal operators shall include the terminal operator's copy of the applicable delivery order or dock receipt, a copy of the bill of lading and any other arrival documents issued, copies of all other relevant documents, a brief explanation of the facts giving rise to the claim, and a statement of the amount claimed.

(e) If the party identified as the terminal operator at a marine terminal facility under § 530.1(e) rejects a claim pursuant to § 530.1(l) or § 530.1(g), or otherwise denies a claim on the ground that the delay was caused by the steamship company, the claimant shall submit a statement of the facts for rejection shall be forwarded within seven days to the steamship company alleged by the terminal operator to be liable for the claim, copy to the claimant.

(2) The steamship company shall accept or reject the claim within twenty (20) calendar days from receipt thereof.

(3) If the claim is rejected by the steamship company, the claimant may submit both rejections to the Adjudicator who shall review the rejection of the claim by both parties and determine liability as between the two.

530.91 OMB control numbers assigned pursuant to the Paperwork Reduction Act.

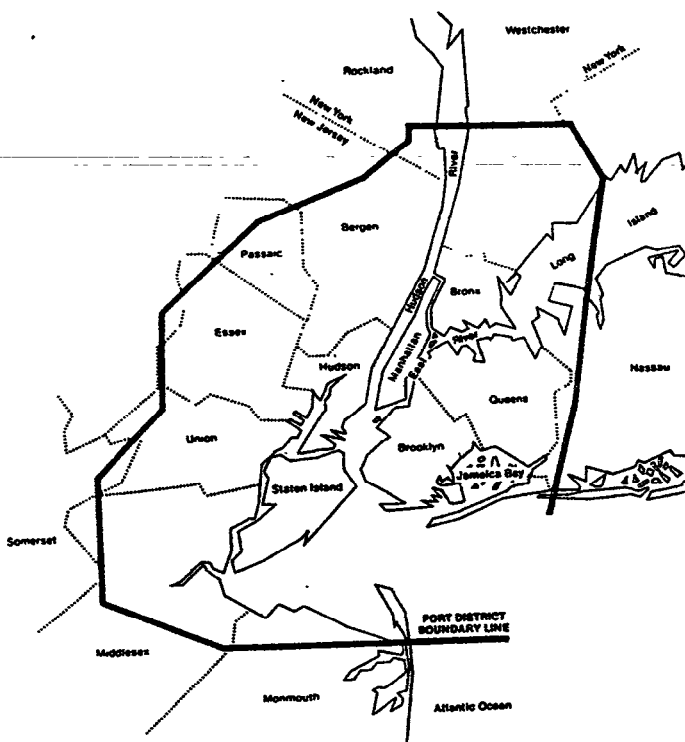
This section displays the control numbers assigned to information collection requirements of the Commission in this part by the Office of Management and Budget pursuant to the Paperwork Reduction Act of 1980, Public Law 96-511. The Commission certifies that this section complies with the requirements of section 3507(f) of the Paperwork Reduction Act, which requires that agencies display a current control number assigned by the Director of the Office of Management and Budget (OMB) for each agency information collection requirement:

Section	Current OMB Control No.	Section	Current OMB Control No.
530.1 through 530.3	3072-0010		
530.8	3072-0010		

Appendix A to 46 CFR
Part 530

(From 1981 "New York Port
Handbook")

New York/New Jersey Port District



1-92 Edition)
**New York/New Jersey
Port District**

Federal Maritime Commission

Appendix B to 46 CFR Part 530

Pt. 530, Ap

Motor Carrier Preference Slip
(See § 530.4)

No. _____	TIME STAMP DATE AND TIME	
STEVEDORING CO. INC.		
LOCATION (Pier/Berth/Shed) _____		
MOTOR CARRIER _____		
The above indicated vehicle could not be serviced today. Preference for service will be given the next business day at _____ a.m./p.m.		
D/R's _____	Pkgs./Pieces _____	WEIGHT _____
D/O's _____	Pkgs./Pieces _____	WEIGHT _____
CONTAINER # _____	GATEMAN _____	

EXHIBIT J



Assembly Bill No. 2650

CHAPTER 1129

An act to amend Section 42407 of, to add Section 40720 to, to add Chapter 9.8 (commencing with Section 44299.80) to Part 5 of Division 26 of, to add and repeal Section 40720.5 of, and to repeal Section 44299.83 of, the Health and Safety Code, relating to air pollution.

[Approved by Governor September 30, 2002. Filed
with Secretary of State September 30, 2002.]

LEGISLATIVE COUNSEL'S DIGEST

AB 2650, Lowenthal. Air pollution: diesel emissions: California Port Community Air Quality Program: Bay Area Air Quality Management District and South Coast Air Quality Management District.

(1) Existing law requires the State Air Resources Board to endeavor to achieve the maximum degree of emission reduction possible from vehicular and mobile sources of air pollution in order to accomplish the attainment of the state ambient air quality standards at the earliest practicable date. Existing law delegates to air quality management districts and air pollution control districts primary responsibility for all nonvehicular sources of air pollution.

This bill would require each marine terminal in the state to operate in a manner that does not cause the engines on trucks to idle for more than 30 minutes while waiting to load or unload at the terminal, and would charge the district with geographical jurisdiction over that marine terminal with enforcing the requirement. The bill would make any owner or operator of a marine terminal that acts in violation of that requirement subject to a fine. The bill would also make any action taken by a marine terminal to pass the costs of that fine onto the owner or operator of a truck a violation of nonvehicular air pollution control laws. Because other enforcement provisions of law make a violation of those laws a crime, this bill would create a state-mandated local program by creating a new crime and by imposing additional enforcement duties on local districts. The bill would impose a fine on the owner or operator of the marine terminal or port for taking any action to divert idling trucks to area freeways or alternate staging areas. The bill would exempt from the requirement any marine terminal that provides specified staffing at receiving and delivery gates. The bill also would exempt from the requirement, until July 1, 2003, any marine terminal that implements, or begins to implement, a scheduling or appointment system for trucks

to enter the marine terminal. The bill would require a marine terminal implementing a scheduling or appointment system to adhere to specified criteria.

(2) Existing law establishes the Carl Moyer Memorial Air Quality Standards Attainment Program, administered by the state board, which provides grants through the districts to offset the incremental cost of projects that reduce emissions of oxides of nitrogen (NO_x) from specified **onroad** vehicles, **offroad** nonrecreational equipment and vehicles, locomotives, diesel marine vessels, stationary agricultural engines, and other high-emitting diesel engine categories.

This bill would create the California Port Community Air Quality Program in the Bay Area Air Quality Management District and the South Coast Air Quality Management District, to be administered and implemented by those districts within their jurisdictions. The bill would require those districts to provide grants to offset the advanced introduction costs of eligible projects that reduce **onroad** emissions of particulate matter within communities adjacent to marine terminals or ports within the jurisdiction of those districts. The bill would authorize those districts to utilize moneys derived **from** fines imposed within the district's jurisdiction for a violation of the provisions described in (1) to offset the costs incurred in administering, enforcing, and monitoring the activities described in (1). The bill would authorize any moneys derived from those fines that remain after the district offsets its costs to be used by the district to fund the grant program.

(3) The bill would make certain findings and declarations regarding the inapplicability of a general statute within the meaning of Section 16 of Article IV of the California Constitution.

(4) The California Constitution requires the state to reimburse local agencies and school districts for certain costs mandated by the state. Statutory provisions establish procedures for making that reimbursement, including the creation of a State Mandates Claims Fund to pay the costs of mandates that do not exceed \$1,000,000 statewide and other procedures for claims whose statewide costs exceed \$1,000,000.

This bill would provide that with regard to certain mandates no reimbursement is required by **this** act for a specified reason.

With regard to any other mandates, this bill would provide that, if the Commission on State Mandates determines that the bill contains costs so mandated by the state, reimbursement for those costs shall be made pursuant to the statutory provisions noted above.

The people of the State of California do enact as follows.

SECTION 1. The Legislature finds and declares all of the following:

(a) Air pollution in the state is an ongoing problem that impacts the health and safety of its residents.

(b) Long lines at California marine terminals and ports **often** become congested and force trucks to idle for extended periods of time.

(c) Idling trucks emit air contaminants, including oxides of nitrogen (NO_x), carbon dioxide (CO₂), and particulate matter.

(d) Many marine terminals and ports in the state are close in proximity to homes and businesses.

(e) Owners and operators of marine terminals and ports generally do not directly own or control trucks that conduct transactions at their site. However, due to the manner in which some marine terminals and ports are operated, including, but not limited to, setting short gate hours and maintaining systems that do not spread truck transactions throughout the day, and because trucks must operate within the systems established by the owners and operators of marine terminals, trucks are forced to **idle** for extended periods of time and create severe congestion on public roadways in communities at and near marine terminals and ports.

(f) It is the intent of the Legislature to prohibit extended idling by trucks at marine terminals and ports in the state in order to protect the health and safety of all Californians.

(g) It is the intent of the Legislature, in enacting the provisions of this act, to reduce only emissions of particulate matter that are caused by trucks idling at marine terminals and ports in the state.

(h) It is not the intent of the Legislature, in providing a system for the provisions of grants for the reduction of emission of particulate matter at marine terminals and ports in the state, to delegate any authority for the control of emissions from mobile sources to districts.

SEC. 2. Section 40720 is added to the Health and Safety Code, to read:

40720. (a) Each marine terminal in the state shall operate in a manner that does not cause the engines on trucks to idle or queue for more than 30 ~~minutes~~ while waiting to enter the gate into the marine terminal.

(1) Any owner or operator of a marine terminal that operates in violation of this subdivision is subject to a \$250 fine per vehicle per violation.

(2) Marine terminals in the state shall be monitored by the district with jurisdiction over that terminal to ensure compliance with this subdivision.

(3) Citations for violations of this subdivision shall be issued by the applicable district, and shall include the truck license plate number, the name of the marine terminal and port at **which** the **violation** occurred, and the date and time of the **violation**.

(4) Any action taken by the marine terminal to assess, or seek reimbursement from, the driver or owner of a truck for a violation of this subdivision shall constitute a violation of Article 3 (commencing with Section 42400) of Chapter 4 of Part 4.

(5) Any owner or operator of a marine terminal or port, or any agent thereof, who takes any action intended to **avoid** or circumvent the requirements of this subdivision or to avoid or circumvent the reduction of emissions of particulate matter **from idling** or queuing trucks is subject to a seven hundred fifty dollar (\$750) fine per vehicle per violation, including, but not limited to, either of the following actions:

(A) Diverting an idling truck to area freeways or alternate staging areas, including, but not limited to, requiring a truck to idle or queue inside the gate of a marine terminal.

(B) Requiring or directing a truckdriver to turn on and off an engine while queuing.

(6) The owner or operator of a **marine** terminal does not violate this subdivision by **causing** a truck to idle for more than 30 minutes while waiting to enter the gate into the marine terminal, if the delay is caused by acts of God, strikes, or declared state and federal emergencies, or if the district finds that an unavoidable or unforeseeable event caused trucks to idle and that the terminal is in good faith compliance with this section.

(7) Failure to pay a fine imposed pursuant to paragraph (1) or (5) shall constitute a violation of Article 3 (commencing with Section 42400) of Chapter 4 of Part 4.

(b) (1) Subdivision (a) does not apply to any marine terminal that provides, as determined by the district, two continuous hours of uninterrupted, fully staffed receiving and delivery gates two hours prior to and after, peak commuter hours each day, at least **five** days per week.

(2) For the purposes of this subdivision, "peak commuter hours" shall be those hours determined by the district, **in** consultation with the owners and operators of the marine terminals within each district's jurisdiction and any labor union that is represented at those marine terminals. The district shall notify the marine terminals of the final determination of the peak commuter hours.

(c) Subdivision (a) does not apply to any marine terminal that operates fully staffed receiving and delivery gates for 65 hours, five days per week, if that marine terminal is located at a port that processes less than 3 million containers (20-foot equivalent units (TEUs)) annually.

(d) Subdivision (a) does not apply to any marine terminal that operates fully staffed receiving and delivery gates for 70 hours, **five** days per week, if that marine terminal is located at a port that processes more than 3 million containers (20-foot equivalent units (TEUs)) annually.

(e) The district shall determine the necessary level of monitoring and enforcement commensurate with the level of the truck idling problem existing within its **jurisdiction**.

(f) For the purposes of this section, “marine terminal” means a facility that meets all of the following criteria:

- (1) Is located at a bay or harbor.
- (2) Is primarily used for loading or unloading containerized cargo onto or off of a ship or marine vessel.
- (3) Contains one or more of the following:
 - (A) Piers.
 - (B) Wharves.
 - (C) Slips.
 - (D) Berths.
 - (E) Quays.
- (4) Is located at a port that processes 100,000 or more containers (20-foot equivalent units (TEUs)) annually.

(g) Notwithstanding subdivision (a), if a marine terminal implements a scheduling or appointment system for trucks to enter the terminal, the terminal shall be subject to a fine pursuant to subdivision (a) only for a truck that makes use of the system and whose engine idles for more than 30 minutes while waiting to enter the gate into the terminal, commencing from the start of the appointment or the time the truck arrives, whichever is later. The scheduling or appointment system shall meet all of the following requirements:

- (1) Provide appointments on a first-come, first-served basis.
- (2) Provide appointments that last at least 60 **minutes** and are continuously staggered throughout the day.
- (3) Not discriminate against any motor carrier that conducts transactions at the marine terminal in scheduling appointments.
- (4) Not interfere with a double transaction once inside the gate.
- (5) Not turn away or fine a motor carrier if that motor carrier misses an appointment.

SEC. 2.5. Section 40720.5 is added to the Health and Safety Code, to read:

40720.5. (a) Subdivision (a) of Section 40720 does not apply to any marine terminal that implements, or **begins** to implement, a scheduling or appointment system for trucks to enter the marine terminal.

(b) Any marine terminal that implements, or begins to implement a scheduling or appointment system for trucks to enter the marine terminal shall notify the applicable district of that implementation as soon as practicable.

(c) This section shall become inoperative on July 1, 2003, and, as of January 1, 2004, is repealed, unless a later enacted statute that is enacted

before January 1, 2004, deletes or extends the dates on which it becomes inoperative and is repealed.

SEC. 3. Section 42407 of the Health and Safety Code is amended to read:

42407. Except as provided in Sections 40720 and 42403.5, this article is not applicable to vehicular sources.

SEC. 4. Chapter 9.8 (commencing with Section 44299.80) is added to Part 5 of Division 26 of the Health and Safety Code, to read:

CHAPTER 9.8. THE CALIFORNIA PORT COMMUNITY AIR QUALITY PROGRAM

44299.80. As used in this chapter, the following terms have the following meanings:

(a) "Advanced introduction cost" means the cost of a project less a baseline cost that would otherwise be incurred by the applicant in the normal course of business based on the actual age and turnover rates of trucks used at ports, and may include, but is not limited to, any of the following: incremental engine costs, re-engine or retrofit costs, additional operational costs, incremental fuel costs, facility modifications, and scrappage costs to eliminate operation on highways in the state.

(b) "Cost-effectiveness" means the funds provided to a project for each ton of particulate matter reduction attributed to a project or to the program as a whole. In calculating cost-effectiveness, a one-time grant of funds made at the beginning of a project shall be annualized using a time value of public funds or discount rate determined for each project. Cost-effectiveness shall be calculated by dividing annualized costs by local emissions reductions of PM.

(c) "Covered engine" includes an engine from any onroad heavy-duty diesel truck or bus weighing over 33,000 pounds and used in for-hire or proprietary trucking operated by a trucking company that services a port in the state.

(d) "Covered source" includes onroad heavy-duty diesel vehicles and other onroad high-emitting diesel engine categories.

(e) "Covered vehicle" includes any vehicle or piece of equipment powered by a covered engine.

(f) "District" means the Bay Area Air Quality Management District as described in Chapter 4 (commencing with Section 40200) of Part 3 and the South Coast Air Quality Management District as described in Chapter 5.5 (commencing with Section 40400) of Part 3.

(g) "Fund" means the California Port Community Air Quality Program Trust Fund established pursuant to Section 44299.84.

- (h) “Gr-bhph” means grams-per brake horsepower hour.
 - (i) “Marine terminal” has the same meaning as in Section 40720.
 - (j) “New very low-emission vehicle” means a vehicle that qualifies as a very low-emission vehicle when it is a new vehicle, as defined in Section 430 of the Vehicle Code, with regard to particulate matter emissions standards or that is modified with the approval and warranty of the original **equipment** manufacturer to qualify as a very low-emission vehicle with regard to particulate matter emissions standards within 12 months of delivery to an owner for private or commercial use.
 - (k) “Port” means any sea or river port in the state.
 - (l) “PM” means particulate matter.
 - (m) “Program” means the California Port Community Air Quality Program created by this chapter.
 - (n) “Project” means the replacement, repowering, scrapping or retrofitting of a covered vehicle or covered engine that receives a grant pursuant to this chapter.
 - (o) “Repower” means replacing an engine with a different **engine**. The **term** “repower” as used in this chapter, refers to replacing an older, uncontrolled engine with a newer model **engine** that meets the latest emissions standards.
 - (p) “Retrofit” means making modifications to the engine and fuel system so that the retrofitted engine does not have the same emissions of particulate matter as the original engine.
 - (q) “Very low-emission vehicle” means a vehicle with emissions significantly lower than otherwise applicable baseline emission standards or uncontrolled emission levels.
- 44299.81. (a) The California Port Community Air Quality Program is hereby established in the Bay Area Air Quality Management District and the South Coast Air Quality Management District.
- (b) The program shall be implemented and administered by a district within its jurisdiction. The district shall provide grants to offset the advanced introduction costs of eligible projects that reduce **onroad** emissions of particulate matter within communities adjacent to marine terminals.
- (c) A district may use moneys derived from fines imposed **within** its Jurisdiction pursuant to paragraphs (1) and (5) of subdivision (a) of Section 40720 to offset costs incurred performing the administration, enforcement, and monitoring activities as required pursuant to that section.
- (d) A district shall use any moneys denved **from** fines imposed within its **jurisdiction** pursuant to paragraphs (1) and (5) of subdivision (a) of Section 40720 that are not expended to offset costs pursuant to paragraph (c) to fund the grant program.

44299.82. (a) A district shall determine the projects eligible for grants within that district. Those projects may include, but are not limited to, any of the following:

(1) Purchase of a new very-low-emission covered vehicle or covered engine to replace an older heavy-duty diesel vehicle or engine.

(2) Purchase and use of PM emission-reducing add-on equipment for a covered vehicle.

(3) Implementation of a practical, low-emission retrofit technology, repower option, advanced technology, or low sulfur diesel or alternative fuel mixture for a covered engine.

(b) In determining eligible projects, the district shall consider whether the project will have the following effects:

(1) Reduce **onroad** PM emissions to the maximum extent feasible on a timely and cost-effective basis at the marine terminal or port and within the surrounding communities.

(2) Meet environmental justice goals and objectives set by the state and local air pollution control agencies, including, but not limited to, districts.

(3) Benefit small businesses, giving particular emphasis to independent minority owners and operators.

(4) Assist in meeting the 0.01 gr-bhph emission standards adopted by the federal Environmental Protection Agency for 2007 and later model year diesel heavy-duty engines and vehicles (40 C.F.R. Sec. 86.007-l 1).

(c) A person that owns a covered vehicle that operates near or in a **marine** terminal or port is eligible to apply for a project grant if the district with jurisdiction over that marine terminal or port determines that the covered vehicle contributes significantly to the PM emissions inventory in the communities adjacent to that marine terminal or port.

(d) Each district shall allocate grant funds in the following manner:

(1) Covered engines and covered vehicles that are manufactured prior to 1994 shall receive 50 percent of the funds to purchase pre-existing engines or vehicles that are certified by the state board to have been manufactured after 1993. If the replacement engine or vehicle is not equipped with a PM retrofit device verified by the state board, those funds shall be utilized to purchase a PM retrofit device that **is** verified by the state board and to offset incremental costs incurred during the first year of utilizing low-sulfur diesel fuel with not more than 15 parts per million sulfur. The total cost to offset the incremental costs may not exceed 10 percent of the cost of the retrofit control device.

(2) The remaining 50 percent of the funds shall be used to fund the purchase of engines or vehicles, including, but not limited to, engines that are certified to be cleaner than existing exhaust emission standards, and the repower or retrofit of **existing** engines to meet the 0.01 gr-bhph

PM emission standard. A new engine purchased pursuant to this section may operate on any fuel source if that fuel source is certified by the state board. If a new engine does not meet the 0.01 gr-bhph PM emission standards, a portion of these funds shall be utilized to purchase a PM retrofit device that is verified by the state board and to offset the incremental costs incurred during the first year of utilizing low-sulfur diesel fuel with not more than 15 parts per million sulfur to achieve the 0.01 gr-bhph PM emission standard. The total cost to offset the incremental costs shall not exceed 10 percent of the cost of the retrofit control device.

(e) A district shall give priority to those grant applicants that provide the greatest reduction in PM emissions.

(f) A district may give priority to any grant applicant who provides matching funds for the grant.

(g) A district may provide a grant to a project that involves replacing an engine that was manufactured before 1988, only if the applicant delivers that engine to the district or its agent for scrappage. The grant award amount shall include the costs the district will incur in scrapping that engine.

(h) A district may provide a grant for a project involving PM control retrofit technology only if that technology has been determined to be eligible for use by the state board.

(i) In determining eligible projects, a district may not exclude any technology based on the type of fuel utilized by that technology.

44299.83. (a) Notwithstanding paragraph (4) of subdivision (b) of Section 44299.82, a district may, on a case by case basis, determine that a project that meets a PM standard that is less stringent than 0.01 gr-bhph, but does not exceed 0.1 gr-bhph, is eligible for funding if it meets all of the following conditions:

(1) The project is proposed, pursuant to paragraph (1) of subdivision (d) of Section 44299.82 to reduce emissions from engines manufactured before 1994.

(2) The district has determined that the applicant's cost of meeting a 0.01 gr-bhph standard will exceed thirty-seven thousand five hundred dollars (\$37,500).

(3) The district has evaluated the emission reductions that can be achieved by the applicant through available purchase and retrofit options and the costs of these options prior to making the determination.

(b) This section shall remain in effect only until January 1, 2005, and as of that date is repealed, unless a later enacted statute, that is enacted before January 1, 2005, deletes or extends that date.

44299.85. (a) A district may include any reduction in PM emissions that result from the implementation of the program in any

state implementation plan, or revision of that plan, that is submitted to the state board pursuant to Chapter 10 (commencing with Section 409 10) of Part 3 for a particulate matter nonattainment area.

(b) All emission reductions or reduction credits resulting from a project funded by a district pursuant to this chapter are the property of the district that approved the grant. The district may utilize those emission reductions or reduction credits first to fulfill local and regional commitments to air quality standards. Any additional reductions or credits that exist after the local or regional commitment to air quality is **fulfilled** may be used by the state board to fulfill the state's commitment to air quality standards and attainment.

SEC. 5. The Legislature finds and declares that, due to the unique circumstances relating to air quality in the communities surrounding ports in the Bay Area Air Quality Management District and the South Coast Air Quality Management District, a statute of general applicability cannot be enacted within the meaning of subdivision (b) of Section 16 of Article IV of the California Constitution.

SEC. 6. No reimbursement is required by this act pursuant to Section 6 of Article XIII B of the California Constitution for certain costs that may be incurred by a local agency or school district because in that regard this act creates a new crime or infraction, eliminates a crime or infraction, or changes the penalty for a crime or infraction, within the meaning of Section 17556 of the Government Code, or changes the definition of a crime within the meaning of Section 6 of Article XIII B of the California Constitution.

However, notwithstanding Section 176 10 of the Government Code, if the Commission on State Mandates determines that this act contains other costs mandated by the state, reimbursement to local agencies and school districts for those costs shall be made pursuant to Part 7 (commencing with Section 17500) of Division 4 of Title 2 of the Government Code. If the statewide cost of the claim for reimbursement does not exceed one million dollars (\$1 ,000,000), reimbursement shall be made from the State Mandates Claims Fund.